BlackBuck (BLACKBUCK)

Conference call transcripts, oldest-first. 8 call(s). Generated 2026-06-08.

Call: Dec 2024

Ref: BLACKBUCK/CORP/2024-25/18
December 18, 2024
To
National Stock Exchange of India Ltd.,
Exchange Plaza, C-1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400001

Scrip Code: 544288, Scrip Symbol: BLACKBUCK, Series – EQ
ISIN- INE0UIZ01018

Dear Sir/ Madam,
Sub: Transcript of the Earnings Conference Call for Analysts and Investors conducted on December 13, 2024.
Ref: Disclosure under Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Pursuant to Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby provide the transcript of the Earnings Conference Call for Analysts and Investors conducted on Friday, December 13, 2024.

Enclosed is the transcript of the Earnings Conference Call, which is also hosted on the website of the company. The link to access the transcript is provided below:
https://www.blackbuck.com/investor-relations.html

Kindly take the above information on record.

Thanking you

Yours Sincerely,
For Zinka Logistics Solutions Limited

____
Barun Pandey
Company Secretary and Compliance Officer
Membership No: A39508

"Zinka Logistics Solutions Limited
Q2 and H1 FY '25 Earnings Conference Call "
December 13, 2024

MANAGEMENT : MR. RAJESH KUMAR NAIDU YABAJI – CHAIRMAN , MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – ZINKA LOGISTICS SOLUTIONS LIMITED
MR. SATYAKAM G N – CHIEF FINANCIAL OFFICER – ZINKA LOGISTICS SOLUTIONS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Zinka Logistics Solutions Limited Q2 and H1 FY '25 Earnings Conference Call hosted by EY. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assis tance during this conference call, please signal the operator by pressing star and then zero on your touch -tone phone. Participants who have joined via webcast can adjust their viewing quality by pressing settings button on the bottom right of your viewing panel. Please note that this conference is being recorded.
I now hand the conference over to Mr. Kanav Khanna from EY. Thank you and over to you, sir.
Kanav Khanna: Thank you and good evening. Welcome to Zinka Logistics Solutions Limited Q2 and H1 FY '25 earnings call. Please note that a copy of the disclosure is available on the investor section of the website as well as on the stock exchanges.
Anything said on this call which reflects the outlook towards the future or which could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces. Please note that the audio of the earnings call is th e copyright material of Zinka Logistics Solutions Limited and cannot be copied or rebroadcasted, attributed in the PR media without specific or written consent of the company.
To give you an in -depth understanding of the company and answer to all your queries, we have from the management side Mr. Rajesh Kumar Naidu Yabaji, CMD and CEO and Mr. Satyakam G N, CFO. With this, I would like to hand over the call to Mr. Yabaji. Over to you, sir.
Rajesh Yabaji: Thanks, Kanav. I'll take it from here. Good evening, everyone. Welcome to BlackBuck's first earnings call as a public company. I hope I'm audible. So taking you guys into the results directly, the snapshot of Q2 -25, as a company, we delivered close to abou t INR104 crores in overall revenues, which is about close to 54% growth on a year -on-year basis. Most of our revenues typically convert into contribution margin with a very high efficiency beca use of very small direct costs.
We made close to about INR95.36 crores in contribution margin, which is a growth of about roughly 56% on a year -on-year basis. And continuing to play on the operating leverage story of the company, we've been able to deliver an adjusted EBITDA of close to INR25 crores, which on a year -on-year basis is roughly INR30 crores over the previous year quarter. Because in the previous year quarter, we made roughly about close to negative of INR5 crores in adjusted EBITDA, which now is plus INR25 crores.
Most of these financial numbers are basically delivered through an underlay of very strong operating key KPIs. As you can see, we had close to about 7 lakh transacting customers in the last quarter, which is roughly close to about 20% of India's truck oper ators.
India has about 3.5 million truck operators of that 7 lakh have transacted with us on the platform, which is about close to 22% growth on a year -on-year basis. As our customers continue to use our services, as we continue to get better at multiple services , delivering to them, users who use

greater than or equal to two services on the platform has risen to about 3.3 0 lakh users in the last quarter, which is again about 33% growth on a year -on-year basis. Payments is one of the core revenue verticals for us today, which basically contributes to the overall revenue of the company today.
The GTV in payments is a leading indicator of how revenue in this particular vertical compound. Close to about INR5,300 crores of GTV in payments is what we did in the last quarter, with about close to 32% growth on a year

-on-year basis. The Q2 2025 for us was a strong growth
quarter, at the same time delivering strong profitability, while not compromising on our long - term vision of organising India's transportation.
When I move to the next slide, taking a step back and looking at what we really are solving as a company . If you look at trucking, trucking is the core of how transportation gets executed in the country today. One of the largest un -organised sectors with about $180 billion spend happening, growing at a very strong pace of 8% to 9% from a cargo perspective. And India, from a logistics spend perspective, spends about between 14% to 16% points in logistics, and a bulk of that goes

into transportation.
And compared to that of the Western world is like 7% to 9% points. So this is a big delta which essentially can be turned around and a future of transportation of India can be built. Now if you zoom down at the microeconomic level, this entire transport in India is executed by small and medium scale truck operators, who own less than 5 trucks largely.
And India has a land to 3.5 million truck operators who own 12.5 million trucks. Now if you look at each of the activities which these truck operators are involved in, right from entering this business buying a truck, right to financing which is done by lo cal fund brokers, loads which has multiple intermediaries. Any value chain which serves this small truck operator in the country is layered by middlemen and has a lot of leakages.
What we believe is that the answer towards disrupting India's trucking, disrupting India's transportation and creating a very efficient trucking network for the country, the answer starts with organizing the truck operator which is going to help us in tran sforming Indian trucking. So in that direction, we have a very robust strategy which we have been executing over the last 5 years. Our strategy hasn't changed.
We continue to execute on this strategy. The three key pillars, we have offerings which we have built for our truck operators, offering essentially our problems we are solving for our customers, problems around fleet management, the first era of problems a round making their payments efficient through tolling, through fueling, making their entire fleet management effective through helping them do vehicle tracking, launching fuel sensors, helping them get access to loans on the platform, helping them access to loads to be able to fill their capacities on time.
So we have been solving every possible problem in the life of a truck operator which digitally can be delivered 10x better and 10x efficient and we continue to double down in that area. Next, as these offerings are delivered through our platform, through o ur app, the BlackBuck app, which essentially keeps getting stronger.

As consumers, when we use mobile apps, apps on our mobile phone, we typically will have social media apps or browsers which typically will take largest mind share. For a truck operator, we are an app, I am very proud that we form in the top 2 -3 apps what h e uses on a daily basis. And on an average, a truck operator on a daily basis is using our app for like 41 minutes, which is continuously going up on an year -on-year basis.
We are talking about customers who are typically uneducated, middle -aged and need hand -holding in really leapfrogging into the digital era. We have a very unique omnichannel strategy where we are equipped with 10,000 physical touchpoint networks on the ground, combining salespeople, technicians who install a device, a fuel sensor, chann el partners who keep our products and services available in their points like be it a lubricant shop will be having our products, a garage will be having our products all across the country. So these are the three key levers of our strategy which we have c ontinuously doubled dow

n and we are doubling down as
we keep moving forward.
As we work on these strategies, our metrics continue to improve. This is a broad representation of how our metrics have improved on a quarter -on-quarter basis from an year -on-year perspective and from a half -year perspective. Most of our metrics, the way t hey are trending on a quarter -on-quarter basis also represent directionally the half -year trend metrics.
So we largely focus on quarter -on-quarter performance and call out selectively wherever the half-year performance has to be mentioned. The leading metric for us in terms of how many customers continue to transact with us, that's 7 lakh this quarter, which grew from 5.7 lakhs the previous year, the same quarter, which is close to about 22% growth on a year -on-year basis. Users who are using greater than or equal to two services, that's about 3,29,000 this quarter. Last year, it was close to 2,50,000, which is a 33% growth. Time spent on the app by our customer is close to 41 minutes this year, which last year was 38 minutes, which is an 8% growth over a year -on-year. So that's like describing that users are using us , users are using us deeply.
Now, from getting into more use cases, GTV on payments, which is one of the leading vectors of revenues, moving from INR4,000 crores to INR5,300 crores, which is a 32% growth on a year-on-year basis. Again, similar to that, on a half -year basis, it's 35% growth. Number of payment transactions is again trending in line with the GTV of payments.
When all of these metrics go in, gross revenues continue to compound. As I mentioned, close to INR104 crores is what we've made in gross revenues this quarter, which is a 54% growth over the last year. Revenue from continuing operations, a few segments, that's INR99 crores this quarter, growing from INR63 crores from the last quarter, which is a 56% growth.
Cutting out the revenue from growth businesses, which basically removes tolling revenues and vehicle tracking service revenues because they contribute to the majority part of the revenues,

we have grown at about close to 150% from an year -on-year basis, gr owing from INR5.5 crores to close to INR13.5 crores. And from a revenue mix perspective, roughly 8% to 9% of the revenue was contributed by the growth businesses, which are breaking out, which are scaling at a rapid pace. That number now is close to 14% in the recent quarter.

That defines that the new businesses continue to do well and continue to break out. At a contribution margin level, INR61 crores last quarter to this quarter 95 crores, which is 56% growth on a year -on-year basis. Contribution margin continues to be in the range of 91 %-92% because of the quality of revenues what we have.

And as all of these compound, the platform continues to show a very strong operating leverage where the company has delivered close to about INR25 crores in adjusted EBITDA, adjusted for exceptional items and ESOP expenses, and which is roughly a turnaround of INR30 crores from the previous year of negative of 5 to this year of plus INR25, INR30 crores of movement in year-on-year adjusted EBITDA. And when you look that into the half -year basis, consistently, my negative of 11 years last year, H1, to this year, plus of INR43 crores, which is a INR54 crores shift in adjusted EBITDA metric for the business.

Moving forward, summarizing these things in like five key highlights, there is a strong performance on overall revenues, growing at 54% on a year -on-year basis in the last quarter. The core businesses continue to compound strongly, leveraging the digital tailwinds of the Indian economy and the modernization story of the truckers. We've grown at 47% in this quarter on a year -on-year basis. New business verticals continue to break out.

The revenue momentum right now is demonstrated from loa

ds marketplace and vehicle finance
businesses. These are the ones which are driving the revenue growth, about 144% in the recent quarter on a year -on-year basis. And as I mentioned, operational metrics continue to grow stronger with 22% growth in monthly transaction truck operators, 32% growth in payments, and 8% growth in the time spent by the users on the app.

All of this has helped us turn around our adjusted EBITDA story. In the first quarter, we have improved by, on a year -on-year basis, improved by INR30 crores in adjusted EBITDA, moving from negative of 5 to positive of plus INR25 crores in this quarter. And on a half -year basis, we've created a displacement of INR54 crores in the overall adjusted EBITDA basis, moving from negative of INR11 crores to positive of INR43 crores this particular half -year.

Now, just explaining the operating leverage story in a more zoomed -in fashion, if you see, I've put two comparisons. One comparison is a year -on-year comparison of the Q2 -25 from Q2 -24. Other comparison is the sequential quarter Q2 -25 with Q1 -25.

If you see, the revenue change in the year -on-year basis between quarters is close to INR37 crores. And the adjusted EBITDA change is close to INR30 crores. So that's an 81% efficiency in the revenue growth to the adjusted EBITDA flow -through.

And that's something which is demonstrated generally on a sequential quarter basis as well. As you can see, there is only a change of INR6 crores in revenues, but the adjusted EBITDA continued to climb at about INR6.5 crores, which is 107% efficiency. The core reason for this is, our revenues are recurring in nature, which means FY '20 customers, FY '21 customers which we acquired a long time back, there is no cost below the contribution margin line item which we really incur for the revenues which we have acquired from them in those years.

And hence, those revenues continue to become free and continue to basically help us demonstrate operating leverage. And the expense which we incur this quarter generates newer revenues. And that's largely the CAC for those revenues and gets paid back in a very healthy fashion in between like 9 to 12 months, whatever CAC we invest in our business.

And number two, the reason is that the revenues, when it translates into contribution margin, because of the platform nature of revenues, because of net income -based kind of businesses, it translates into efficiency of contribution margin of 91 %-92%. And user churn is at a very low level on a year -on-year rolling basis that again contributes to a very strong operating leverage. And there is no real asset involved in our business in majority of the revenues what we deploy today.

These four reasons enable us to build a profile of revenues which creates a strong operating leverage. And we have seen this phenomena play out with us over the last eight quarters and would sufficiently be playing out as we keep building the company into the future as well. Now, wrapping up with the financial metrics, the P&L snapshot, broadly on the similar lines as the KPIs as we have mentioned, calling out the revenue from operations growing at 56%, other income growth 27%, largely interest income, tot al income growing at 54%, from INR68 crores to INR104 crores.

Direct costs, because some direct costs are more like semi -variable in nature. So some operating leverage kicking in there as well, have not grown with the pace of revenues grown at only 39% on a year -on-year basis. Contribution margin grew slightly at a h igher pace, 56% on a year -on-year basis.

And total expenses grew at a meager 7% on a year -on-year basis, which led to adjusted EBITDA turnaround of plus INR30 crores on a year -on-year basis. Important story is that we continue to deliver profitability on a PA T basis in the last few quarters. On a PA T, when we

exclude the
exceptional line items and the discontinued operation, which was discontinued operation was positive, exceptional was negative.

We have delivered a PAT of INR12.36 crores the last quarter, which compared to the previous year same quarter was negative of close to INR40 crores, which is a turnaround of close to about plus INR52 crores on a PA T basis. So that's the summary on an overall P&L snapshot basis.

Walking you through the entire numbers from PA T to adjusted EBITDA, the key points to note over here is that from PA T of negative INR270 crores, we have made a one -time profit from the discontinued operations, which was the hive -off of the enterprise business, wh ich we had contract trade business, which we used to operate and which was hive d-off in the last quarter.

The INR40 crores gain is coming from there. And exceptional item of close to INR321 crores, which was a share -based payment as per Ind -AS accounting, it was supposed to be accounted in this quarter, which was largely through conversion ratio change by the existing investors prior to DRHP in the month of July. So July, August, September is the quarter by which this expense has come over here .

And two other line items, which basically are material is the depreciation amortization, which is going to be in the range of INR7 crores, INR7 crores to INR8 crores, continually every quarter. And the ESOP expenses, which will be again in the range of INR4 crores to INR5 crores every quarter. So , if you remove the, if you less the discontinued operations and add back these items, you get to the adjusted PA T of INR25 crores in this quarter. Similarly, the same commentary holds good for the first half of this year.

Now, if you look at cash flow, cash flow again, the story from PA T of negative of INR240 crores on the overall H1 of '25, adding back the exceptional item of INR320 crores of share -based payment and employee share -based payment of about INR8 crores and the enterprise trade sale of INR41 crores. And if you add back the rest of the items, we get down to an operating cash flow of INR28 crores.

This number largely guides alongside adjusted EBITDA. This is for the first half of the full year. This number generally guides along with the adjusted EBITDA. This time it's lower by about INR12 crores -INR13 crores because of one -time cash flow associated with IPO expenses, which basically has led to this small dent in cash flow in this particular H1. But this should in the long - term trend with the adjusted EBITDA with some approximations of the cash flow f or devices, GPS devices, which we'll be installin g. So that's a broad summary of the earnings from our side.

And now we can open the floor for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have the first question from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria: Hi, thank you for taking my question and congrats on good execution. My first question is on tolling business. If you'd be able to share some metrics around GTV revenues and our market share there, that would be helpful ?

Rajesh Yabaji : Yes. So Gaurav, as you have seen, we've reported the GTV of payments already. Right. GTV of payments basically has grown by close to about 32% at a quarter level on a year -on-year basis. That metric we've shared and we will continue to report that as we keep moving forward. On the market share, that's again an estimate which we had shared in the RHP.

There's an estimate which we make, basis the -- we engaged a market research company which helped us build that estimate. We calculate that estimate internally more from the N MDC data on a monthly basis.

On the market share, the company has actually improved, really well over the past two quarters. But we will not be shar

ing that number, on the earnings call because, the estimation is more an
internal number and GTV is a very strong proxy to understand how the market share would have

grown.
Gaurav Rateria: Got it, Rajesh. Secondly, just want to understand from monetization point of view, we have improved our monetization. ARPUs have been going up because we were able to charge our truck operators also apart from the commission income. So where are we in that journey and how to think about those monetization levers over the next one to two years?

Rajesh Yabaji : Yes. So I think, we as a company, three, four years back, as you rightly said, largely it was plain vanilla services. The first service out of the stack was the, payment stack, which gave us our first, 100 - 200,000 users.
Then we launched the telematics stack where vehicle tracking solution was the next deeply penetrated, solution . And then we launched the, loads marketplace vertical, which again was a big success with, users getting 200,000 in like no time in that particular vertical . So, I think the way to look at monetization is that existing verticals, which basically is the payments , telematics. How can we, monetize better and deeper in those verticals? Second is, how are we able to, launch new verticals with the same customer base and customer, you typically take a higher mindshare of the customer, be useful for the customer for newer areas by tracking multiple services for them . So our growth story, as you can see from a revenue compounding perspective, has been a mix of all of these levers .
The way to look at is that, in terms of revenues from the core verticals, from the key KPIs, what you've seen , they will be growing at that base definitely as we keep moving forward, because that comes from a function of how India is building roads, India is building roads at a CAGR of like 5 %-6% on a year -on-year basis, number of trucks in the market are growing, they are growing again at a CAGR of 5%-6%, how the, toll fares, fuel prices, all of them are trending . Toll fares are growing at like 7% on a year -on-year basis .
So modeling all of this, like with the GTV gives rise to, how really, the monetization continues to expand in the core businesses itself . Multiplied by that, we, offer to customers various different value -added services, we charge them for different, incremental services, what they get us from the platform . Penetration of those services with the customers is the next lever, because different services have varied degrees of penetration anywhere in the range of like 10% to like 20%-25% points .
And they are penetrating at a different level. So penetration of those services gives rise to that. Third is our ability to charge these customers . So earlier, even if to, charge for the platform to use tolling, the one -time fees for tolling, be the replacement fee for a FASTag , be the service fee for a, repair for a GPS device, be the upfront cost of the first year program of the GPS device, all of these, because of the market shares what we have, we are able to exercise, pricing power. And we have seen that, over the last two quarters, and some of that, continues to follow through into the next following years as well.
Gaurav Rateria: Got it. Lastly, where are we in the journey of transition to the GNSS and how to, see what kind of new opportunities or headwinds that can come in our core business because of that transition? Thank you.
Rajesh Yabaji : Yes. I think one way to look at GNSS is because there is a change happening. I think that is why you probably use the word headwind . But the way, but the mechanism of how a GNSS is going to get implemented in the market . Government has laid out that, in a fully elaborate way . So, today, when a truck is going to cross a toll plaza, the default position of the toll plaza is clo

sed.

And when the FASTag and authenticated, the plaza opens and the truck goes through . Then in the newer mechanism, the default position of the toll plaza is going to be open. And the FASTag , if it is not in the positive balance status as a hot listed or blacklisted, that's when basically the toll plaza will be closed and the truck won't be allowed to go through .
That's point number one. Second biggest change is that today, if you cross a particular toll plaza, depending on the toll plaza, the actual fare is charged to you directly, regardless of whether you travel one kilometer or you travel 100 kilometer on that particular highway. Tomorrow, the calculation of the distance of how much you travel is going to be done through a GPS based device, which is going to be fitted on the truck, which is going to be AI certified device.
So, if you look at it, today we operate and these are two of our core businesses, which are basically tolling and vehicle tracking, which also contribute to 85% of the revenue of the company . And today only one is mandatory product. Second is not. Second is largely a

modernization tailwind, which we are riding on . Tomorrow, with G NSS based tolling, actually both the businesses become, mandatory . And there is like a regulatory and a digitization tailwind, which we essentially are going to, get access to.
And today in the country, BlackBuck is the only provider which has dominant market shares in both these two areas, has an on -ground technician network across the country, which can install, repair a GPS device, has an AI certified and a validated device, w hich we, have, ICAT certified device, which we have. And we are like ready to, get into the new era of GNSS based tolling. And has a very strong payment stack, which is best in class in the market.
And, for a trucker, trucker fast tag is a BlackBuck FASTag . We are synonymous to that . So, ability for BlackBuck to be able to play a dominant role in the new GNSS era is a 10x opportunity than probably, a change management driven, headwind, which we may face.
And there, government has launched the detail notification, government is being conducting pilots . And we still are yet to receive any incremental information on when this will essentially, happen. But a large initiative like this typically would take, anywhere in the range of three to five years to sort of come through is our estimate.
But we are fully prepared with both, on the GPS side with AI certifications. And today, we have large amount of sales in our vehicle tracking service devices on AI devices as well. And on the payment stack, continue to dominate.
So, ye s, so that's the update from our side. And, that's what we think about how GNSS is going to be. And just to put in numbers, GNSS based tolling will probably create , a billion -dollar kind of opportunity in the telematics space in India, which today is a very smaller opportunity, because still truckers are getting, modernized continuously as months pass by. So that's going to unlock and make it an opportunity overnight. And we as a company really welcome that.
Moderator: Thank you. The next question is from the line of Sachin Dixit from JM Financial. Please go ahead.

Sachin Dixit: Hi, Rajesh and Satya. Congrats on getting listed and having your first call. So my first question is regards to the data point that you shared in the presentation, which is this 41 minutes daily on the app.
I mean, honestly thinking, obviously, we are not able to visualize, but it seems quite a lot of time on the app. Can you also dive further into like what exactly are they spending time on? Is it actually necessary or they are just slow in dealing with the app, which is why they're spending so much time?
Rajesh Yabaji : Yes.

So basically, starting with, understanding, as rightly said, 40 minutes, that's the engagement we have on the app . First of all, the entire app definition of the trucking, the definition of BlackBuck for a truck operator is more like a app meant to run his business .
Assuming, probably if there is a stock trader, he would be really glued on to his, app, trading things. For him, app is the eyes, hands and legs and ears for him on the ground, when the truck is essentially being executed somewhere far away. India is a lan d of truck operators, where people own trucks, three to five, and they employ drivers who drive the truck.
So typical use case is, imagine a trucker who's sitting out of Chandigarh, have three trucks , has employed drivers, the truck is essentially going across the country is in Chennai . Now, if you look at it, so that's the use case , number one. Number two, if you look at the use case in payments for them, right?
We are talking about users who typically spend on our app per truck, INR16,000 to INR17,000 on tolling, on three, four trucks, like INR50,000 on a monthly basis, compared to a car user on Fastag , let's say I'm talking right now only on Fastag, compared to car user on Fastag, who spends like INR5,000 probably in a year, right? So this truck guy who's spending INR50,000 is also from the lower section of the demography, right? Because in the end, he ends up making INR30,000-INR35,000 on net earnings on a monthly basis.
So he's hand to mouth on working capital. So it typically recharges, every alternate day, typically 20-22 days is when he recharges. Second is, each of the swipe value is very high, really monitoring this expense, where is it going, each of the truck looking at balances, right? If there is any wrong deductions, how does he really use the app to manage that wrong deductions, right? So payments are a very intense use case for him, because he logs in, checks balances, does the entire account settlement manage ment on the app.
Next, obviously, somebody is using all the payment stacks fueling as well. That's again, another use case, which gets added. Second biggest use case, which is the vehicle traction solution use case, is a very continuous use case, right? Every third day or fourth day, he has to deliver goods to the end customer. Now the truck is in transit, what is the number of hours it's going to take to reach? Where is it? Navigating the driver to the final end location, right?

Using the GPS device, which is fitted on the truck, he's able to see it on the app, right? Then in a day, how many rest stops has the driver taken? Is he stopping in wrong areas? How many kilometers has he driven, right? Because if a truck doesn't travel for more than 400 to 450

kilometers per day, he's going to incur a loss. So app essentially gives him the power to manage his operations on a click, sitting at the house with crossed legs, right?

So that's the use case for the truck operator, right? Then if you look at the next biggest use case, which is load searching, right? So on a daily basis, about a lakh users come and search loads on the platform, right? Now these guys typically come to the platform like to search for the loads when they really, their core networks essentially are getting broken today. Today that is a use case, right? And when typically he's coming onto the app, there are various transporters he has to call to, right? Search ing for the load, searching for the right truck type for his load, right? Or doing a price comparison for the load which he's taking in the market, right? And searching on an alternate where he can get a better price, right?

So for all of these use cases, he uses the app and that's where he spends 40 minutes on the app daily. And I would say GPS use case probably will be the highest time spent. Second is the payment

s use case. Third will be the loads use case. This will be the descending order today on the app.

Sachin Dixit: Understood. Thanks for that. My second question is on basically the GNSS piece again, right? So there was some media articles that there's a pilot going on, on I think Dwarka Express way around Delhi NCR. If there are any updates regarding that with you. Secondly, there were also some articles which suggest like that there could be a potential of this instead of Fastag being the default payment ecosystem, it can shift to something like a bank account directly. I do find it slightly weird that bank accounts should get linked. But if you have any updates regarding those things, please share.

Rajesh Yabaji : So talking about the update, if you're talking about Dwarka Express highway, they are doing a pilot on ANPR, Automatic number -plate recognition , that is to detect which truck is going through. That's another mechanism they want to use to authenticate the truck, right? So it's the pilot, which is the recent one.

The pilot before which government released the detailed notification of GNSS based tolling was the pilot on the Bangalore -Mysore highway, in which execution of the pilot, we as Blackbuck were as well involved, because the truck was organized the Fastag was ours, and we had done that pilot. So if you're asking me, the ANPR pilot is still an exploration, right? And, because it's a way to recognize the truck, I would say that's the broad scope of the pilot, and really details of implementation on when is it g oing to really go through. That's still really uncertain at this point in time, right?

Next question on attaching the bank account. Fastag , today also you can attach a bank account, right? Because, if you have a car tag, you can attach your, any bank account which you use today, and your money will get debited from the bank account itself. That's a facility available today. That's a facility will be available tomorrow.

But our customers typically don't like attaching their bank account, they want control over their spends , they want control over their operations, they want to load money onto the BlackBuck account, and from there, use it and look at each of these use cases. And BlackBuck provides so

many 10 times better value proposition, to manage their tolling payments with us, that they continue to use the BlackBuck as the primary area to recharge and manage their tolling expense.

Sachin Dixit: Fair enough. Just one final housekeeping question. Your EBITDA and revenue numbers, I believe, are inclusive of other income, right? The ones you mentioned that you want to share.

Rajesh Yabaji : Are inclusive of interest income.

Sachin Dixit: All right. Thanks. Thanks so much.

Moderator: Thank you. The next question is from the line of Ankur Pant from IIFL. Please go ahead.

Ankur Pant: Hi, Rajesh. Hi, Satya. Congrats on a successful listing. I have a few questions. The first is on tolling. I'm not sure if I missed this, but what was the market share that you mentioned? And going ahead, where do you see that? How much of a runway do we have in the tolling business to increase this market share? That's the first question.

Rajesh Yabaji : So basically, you would have seen that in the RHP, the last year full market share was close to 33%, right? As we ended the last quarter, we were close to at 40%. And we continue to trend

ahead. And if you're asking me on future, I mean, we continue to acquire market share in the range of 0.4 % to 0.5% every month, and continue to add customers on tolling very strongly on the platform. I would say as a guideline, I have decided not to give guidance.
Ankur Pant: Sure. Thank you. And on the tolling piece, are you thinking of increasing monetization by increasing the activation fees or the gold fees in near future?

Or that is something that will
happen over time and not really looking at it on an immediate basis or on a near term basis?
Rajesh Yabaji : There is an increase in fees in the range of 20% to 40%, depending on different fees and charges on the tolling and the GPS product both on renewals, both on first time activation and the various different charges. That has already got an effect in the last quarter. And you would see some of that helping us in driving revenue growth as we keep moving forward. So for this year, that charges growth has already been implemented for this financial year, has gotten also implemented very smoothly with no churn at all. And yes.
Ankur Pant: And so our one -edge growth has been very strong at 55% on our revenue. And so going ahead in 2H, is there anything that should be aware of in the base for last year that could lower growth for 2H? Or this is a normalized growth that we can see? So just trying to understand the base.
Rajesh Yabaji : I can answer probably the middle part of your question. I don't think there will be any base impact because it was pretty much a BAU. And yes, I mean, it's going to be a normal base of last of H2. And we continue to compound the way we were compounding right now.
Ankur Pant: Thank you so much. Yes, that's all from my side. Thank you.
Moderator: Thank you. We have the next question from the line of Manish Poddar from Invesco Asset Management. Please go ahead.

Manish Poddar: Hi, I just have two data points. One is, have you all shared gold members in the tolling business ? That data point as a trend net?
Rajesh Yabaji : Sorry, can you come again, Manish?
Manish Poddar: Members which have this gold program?
Rajesh Yabaji : No, we have not shared that.
Manish Poddar: Can you help me understand, how is that number trending?
Rajesh Yabaji : Broadly in line with the growth of the users on the platform.
Manish Poddar: Okay. And on the new businesses in terms of the lending part, can you talk about the pipeline of lenders getting added up there? Thanks.
Rajesh Yabaji : So basically, right now, we have discussions with like a lot of players, because everybody is excited. They've seen the model breakout with multiple financiers and banks. So everybody wants to partner. But as we speak, in terms of active technology integrations, we have one partner, incrementally new, two partners in pipeline. And in terms of discussions, we definitely have about five to seven partners in pipeline. And, some of this should materialize over the next, two to three quarters.
Manish Poddar: Okay, fair enough. Thank you so much.
Moderator: Thank you. The next question is from the line of Pratik Poddar from Bandhan AMC. Please go ahead.
Pratik Poddar: Hi Rajesh, could you just split the newer businesses into loads and how much revenue would have come from, let's say, the vehicle finance business this quarter?
Rajesh Yabaji : So basically, these revenues are very small. So at this point in time, we're thinking that, we'll keep this at consol level and as the se businesses mature, we'll start splitting this in the upcoming results. So probably for about, next, maybe three to four quarters, we'll continue to keep this in this way.
Pratik Poddar: And where does the fuel part of the business get reported? It's a part of the growth business only?
Rajesh Yabaji : Growth. It's part of the growth business only.
Pratik Poddar: Okay, but it's too minuscule to call out. I'm assuming that.
Rajesh Yabaji : Yes
Pratik Poddar: Okay . The second was just on this lending part. Today, this is not on our books, right? These are all partner books.
Rajesh Yabaji : These are all partner books, like in the lifetime, again, repeating the metric about, 8% kind of a number is what we've disbursed in our own book. 92% continues to be in the partner

book.

Incrementally, the same strategy would continue. And we only would be using our book for new partner development and for new product development. As we have done before as well and into the future as well.
Pratik Poddar: Got it. And the MTU numbers which you disclose, is it the September exit MTU numbers or for the quarter, the average?
Rajesh Yabaji : No, it's the average of three months, July, August, September, July, monthly active, monthly transacting, August, monthly transacting, September, monthly transacting, average of the three numbers.
Pratik Poddar: The exit is higher than the average, right? That's a fair understanding. Given that you called out you're gaining 0.5%
Rajesh Yabaji : That's why you'll see H1 number will always be lower than the Q2 number.
Pratik Poddar: Yes, that answers the question. Okay. And just last question. When you say time spent, again, 41 would be a function of number of services which a customer takes, right? Like if he has taken the telematic services, his time spent will be higher versus someone who has not yet taken.
Rajesh Yabaji : It will be higher. Let’s say one customer ’s standalone on tolling or standalone on vehicle tracking. Standalone vehicle tracking will be much higher because the sessions per day are way, way, way higher than the tolling user. But if it's combined, then it's like this breaks out, right? And load marketplace will not be more like everyday usage. But the day usage comes in, it'll be very intense. And the next couple of days, there'll be very high usage.
Pratik Poddar: So this 41 i s an average of all the things, that's the way to understand
Rajesh Yabaji : When you have assuming that you had, we have let's say 7 lakh mo nthly transacting users, which on a daily basis will be 4 lakh transacting users, 3 lakh transacting users. Those 4 lakh transacting users on that day spent that multiplied by 41 minutes, basically. So it's basically all the like transacting day averages is what this number is.
Pratik Poddar: It's a sum product, right?
Rajesh Yabaji : It will be a sum product. Should be mostly be a sum product. We'll get back to yo u on that Pratik.
Pratik Poddar: Thanks Rajesh.
Moderator: Thank you. The next question is from the line of Chintan Shah from JM Financial Family Office. Please go ahead.
Chintan Shah: Hi, thank you so much for the opportunity. So I had a couple of questions. So first one is on our tolling business. So please help me understand, currently we already have a high er market share. So my sense is within 2 years to 3 years, there's a limit on basically how much market share that we gain.

So is it fair to say that within 2 years to 3 years the growth rate would be largely the macro factors that is the increase in tolling rate as well as the new routes that get added and the growth could slow down to say somewhere around the range of 15 % to 20% that is my first question. And second, one is in terms of profitability and the loads business.
Now we have done very well in terms of acquisition of truck operators, but for the load business to materially kick in, we also need a lot of new shippers on the other end. So could you please help us understand if we acquire the shippers, we'll have to incur costs. So that could probably impact our profitability. So what's your sense on this? Could that impact our profitability materially or something else to say? Tho se are broadly my two questions .
Rajesh Yabaji : Answering the first question, as you rightly said the growth of revenues in tolling for us is a function of three vectors. First vector is basically the how India macro grows. As you rightly articulated, 15 % to 20% growth directly comes from how India macro grows because government is laying mo

re roads, state highways get replaced by national highways. So more toll spend happens, more flo w through to FASTag happen and the number of trucks keep growing.
So 15 % to 20% growth typically comes in from the macro factors. Second area is that we continue to gain market share. And we've always been positively surprised ourselves because with higher, at a very higher market share position, we've always gained higher per centage points of market share. That has happened continuously. And we've always tried to project that internal to the company that will grow a little lower.
But I think somebody really delivering a very strong value proposition to a small scale trucker in the country. I think we are the only ones who are doing and we continue to gain market share. Last FY24, w e as a company gained like 7 percentage points market share over the previous year. This year again, probably we'll be gaining similar or more.
So I think the market share growth is the second lever of growth. Third lever of growth is our penetration of value added services. Like we provide much more better value to our customers than others. And we also charge our customers for these value streams. That has helped us break

out and add another alpha on top of that, which has helped us compound our revenues at like 47 percentage kind of a level and in the core verticals.
So I would say that, as you rightly said the base growth will always be available , but I think we will, as a company, continue to generate some alpha from being a superior tag in the market and continue to keep gaining market share for a good long time of probably 3 years to 5 years a nd on top of that, for our value added services which we provide. So that's the answer to the question number one.
Quest ion number two. In building the - as you rightly said the freight marketplace is at its nascent stages and we continue to double down in that area. And that's one of the very core dreams of the founding team and the management team here at Black Buck to crack that as well. Important to understand is that one of our first attempts at cracking the freight marketplace couldn't happen

largely because of non -availability of supply, sticky supply on the platform and a wrong choice of a business model.
And as you see, the fragmented side of the marketplace typically takes - the larger fragmented side of the marketplace typically takes the larger cost. And in this case, truck operators high resistance to get to a digital platform usage, learn a plat form, trust the platform. So by having 7 lakh users actively transacting on a monthly basis on our platform, we've already solved one side of the marketplace problem.
And we broke a two -sided marketplace problem into more of one side because supply is getting solved through the fleet management use cases which we are solving. Now, a lot of money, like a lot of money which to build this marketplace was needed for supply which is again solved for. Then a lot of money which was needed to build demand, we have actually incu rred that money over the past 3 to 4 years. And the profitability of the freight marketplace business is also converging over the years as well a nd the growth in the revenue of the marketplace business is also coming through. So, the team which onboard supply beca use we need to continue to grow - the team which onboard demand because we need to continue to grow demand on the platform is again an in dependent team.
It's a 200 -250 member sales team which is already there. The cost of that is already baked into the c ost which you are seeing. So, to build the entire marketplace platform which is the classifieds -based way to crack the loads platform is already - costs are already loaded and it's converging on profitability. Second part which is the brokerage platform where we closed -lo

op
the transaction and we basically are making money not out of subscription only, but we are making money from the tak e rate in a transaction.
That is a model again, where we again have to incrementally spend for demand and that's a model which we have tested out in Bangalore. We've expanded to five hubs. That's a model we're going to double down on too and that's going to be one of the newer vectors of growth for the company in the coming years. And probably 1 to 2 years down the line, you will see that being one of the strongest vectors of growth for the company, b ut if you're asking me the first model as I told you is converging on burn.
The second model doesn't need that burn because at a hub level, you need less money to break even, and then yo u generate surplus cash. So we don't see in the foreseeable future, this being a drain on profitability on the overall company, like at this point in time and continue to converge on the p rofitability from this business vertical.
Chintan Shah: Got it, Rajesh. It's very well explained, b ut just one follow up on this. When you see that this segment becomes of a significant scale for us in terms of revenue mix b ecause my sense is a payment sometime in terms of time there's a limitation to it, b ut this is the real se gment which can offers a larger time. So unless it's just materiality, there should be some constraint in terms of time for us. So when you think this will achieve material kind of a level for us?
Rajesh Yabaji : So, I mean, if you're asking me - so just to put out in perspective, the way we are organized as a company, t he core businesses which are contributi ng to 85% of the revenue. From management

bandwidth perspective takes up only like 20% of the managemen t bandwidth. Management bandwidth is actually new initiatives. And more so in the marketplace businesses which is both the brokerage and the marketplace platform is where significant amount o f time is invested today.
Now, the answer to the question we as a company have got into a zone where we don't let an

initiative break out until unless we have like very high level of confid ence on that initiative a nd that initiative incrementally generates higher contribution prof it. I would say that freight marketplace platform is generating c ontribution profit continuously a nd that is probably we're going to converge.

But brokerage is where I would say your answer is also there is that when we make revenue out of the net commission from a brokerage transaction, that's where the largest part of the revenue is. I would say it'll take at least a couple of years to show re ally strong signs on when that would break out, but if you're asking me fr om a mindshare perspective, cracking that problem perspective, it's at the top of the mind for us as a management team on the brokerage business.

Chintan Shah: Okay, got it. Understood. That's good to hear. Thank you so much for answering all my questions and all the best.

Moderator: Thank you. The next question is from the line of Nilesh Jain from Astute Investments. Please go ahead.

Nilesh Jain: Hi, thank you for the opportunity. I mean we were studying global peers who are there in similar businesses in all your different platform offer ings. So when we looked at FTA it does around 160 million orders against us currently which we are doing 2 million orders. And I mean like you mentioned in your previous answer there are various challenges, b ut over time, you feel that we can scale this model.

So do you think that in India, we can move or there's a growth as there's a story where India can move towards the FTA operating in China or it's going to be limited? I mean, if you can answer that?

Rajesh Yabaji : So if you're asking me in terms of like FTA kind of a model coming in place directly by anyone starting from scratc

h assuming. India is a land where as I was mentioning fleet operators are the ones who own the trucks, drivers drive it. In China, the large majority of the market is owner cum drivers who drive the truck themselves and own it as well. So the entire building of supply for full truck alliance was largely about capturing drivers and getting the phone, their smart app, their app installed in the ir smartphone a nd they were able to get the truck location, as well as the truck owner's mindshare.

In India, the location of the truck and the location of the truck owner is different. And you need to acquire the truck operator and also know the location of the truck. We as a company through the entire tolling dominance and the vehicle tracking solution dominance have been able to solve both the truck operator mindshare and the location of the truck. And on top of that, we are able to launch the entire loads marketplace platform.

And now as we speak, we are into very intensely building it. We have definitely, you would have seen the DRHP that the growth rates in the marketplace vertical businesses is very strong and we are able to also successfully close loop the transactions as well. So, I mean, if you're asking me whether the line of building is in the line of full truck alliance, answer is yes. But India will have a very in dependent path.

India will have an independent problem solving, where probably the pit stops are going to look very different. We have probably - we probably as a company stand with the very highest level of engagement with truck operators and probably at the same time also have the burden to crack this model. So, a lot of work is on and we , I mean, we believe we will be able to crack it in few years to come.

Nilesh Jain: Okay, sure. T hank you. My second question was right now we have around close to a million truck operators. So just wanted to understand a truck operator like you mentioned, owns around five or six trucks. So currently out of the 9 million truck operators, how many trucks would we have on a p latform? So that gives us an idea in terms of from existing truck operators, there's further scope there apart from adding on new truck operators. If yo u can give some numbers on that?

Rajesh Yabaji : Just correcting the number s there. India has 3.5 million truck operators who own 12.5 millio n trucks in the country. So of this 3.5 million truck operators on a monthly transacting active is roughly 700,000 users which is 20%. This i s what I was mentioning. The 1 million number was full financial year ‘24, which was the annual transacting truck operators .

More relevant number is a monthly transacting truck operator because their business and everything happens on a monthly basis . So we have, from a truck operator share perspective, you can assume we have close to about 20% share, number one. Number two, of the visibility of fleet, what we have in terms of he either taking a FASTag or putting a truck on GPS on the platform, the visibility of what trucks we have of the truck operators who transact roughly 7 lakh truck operators, the ratio is roughly closer to two trucks per truck operator on our platform .

That is only for the trucks, which he's putting it up for use case with us. What we believe through

our research is that he typically would be having another one or two trucks more as well, so I would assume a similar market share from a truck share perspective as well, which is roughly in the range of 20% as well.
Nilesh Jain: Right, Okay. Just last question, it's just going through your application. So INR700, which is the platform fee. So is it a recurring basis or just one time, if I have to onboard a truck, that's a onetime fee we have to pay?
Rajesh Yabaji : Yes. So on t olling, obviously, there are various different charges, the charge which you are refer

ring to that charge is a one time fee to buy a tag from us and use the platform for tolling.
And the way c harges work on the platform. Just to explain and elaborate. Our app is more like, let's say, more like an a la carte, you come in, you can use the app for free.
The only service which is fully freely available, you don't have to pay even a single rupee is the lowes t tier of the marketplace program, which is not a premium program, the standard program,

where you can come, you can see loads and get in touch with the shippers on the platform. Other than that, if you have to use anything else, assuming that you need to buy a fuel sensor, you need to request for a fuel sensor, fuel sensor will be installed in your truck, and then you can start seeing the fuel sensor product. So if you pay for fuel sensor, fuel sensor will get unlocked.
If you want to buy a FASTag from us, you pay the platform fee for FASTag of INR700, and then you start, get a FASTag from us, then you start us ing the FASTag on the platform. So it's more like, there's no mandation that somebody has to come and use everything . He can come select what he wants to use, and start using that platform. And obviously, shorter answer INR700 is the one time fee for the FASTag what he's buying from us.
Nilesh Jain: Okay, sure. Thank you so much. And I wish you all the best.
Moderator: The next question is from the line of Devendra Wadhwa from Value Prolific. Please go ahead.
Devendra Wadhwa: Sir, I just wanted to ask tha t - I just want to understand that how you partner with the FASTag companies? And how is your business model different from the other bank who is providing FASTags ?
Rajesh Yabaji : Yes. So basically, first thing is that in terms of differentiation, I'll answer differentiation question, and then I'll answer the partnership question. We as a company have solely focused on the truck operator as a customer segment, and we are cracking every thing for them.
Now, when it comes to tolling, if you look at a truck operator, a truck operator is like 100 times more powerful user than a car FASTag user. Car FASTag user annually probably spends INR5000-INR10,000 on a FASTag . A truck operator who has three trucks, average monthly is INR16,000 per truck, three trucks monthly is INR48,000-50,000, annually is INR6 lakh .
And average swipe value ranges in the range of like INR500 to INR800 for a truck operator. So any sort of issues, double deduction issues, be it in terms of incremental value -added services, the truck, what he really needs, we are the only company which is building very specific FASTag , specific value -added services for this on the platform. And to support such a user, we also have a very strong on -ground network of close to 10,000 physical touchpoint network s.
So this is the differentiation which he gets, which is not there with any other competing tag. And this is the reason why we have gained market share tremendously. That's the answer to the second question.
Answer to the first question is that how do we partner? We have partner banks on the backend, whose tag we use, whose prepaid switch we use, and we technically, the tag is from the bank, but is a white label tag with the value -added services with the front -end customer interface of the mobile app and the on -ground network. It is the BlackBu ck app which he use s to do the tolling end -to-end.
So we have two partner banks, which we have two partner banks, one, PPI issuer we have partnered with to do tolling. So we have three partners live as we speak on tolling on the backend.

Devendra Wadhwa: Okay. And my next question is that we know that you are entering into the NBFC business. So why can't we do just like channelizing the fund and arranging loans entering into NBFC? W

e
are getting exposure of loans on our books. So can't we do by just being a channel partner, not entering into the NBFC?
Rajesh Yabaji : Of course. I mean, your question is absolutely right. We as a company do not have aspirations

to be a large NBFC.
We as a company are doing majority of the business, as I mentioned before also, roughly in the lifetime of the vehicle finance business we have done over the last two years, only 8% of the loans have been originated on our balance sheet. A lot of that has been originated for compliance because as an NBFC, you need to kick start a business and demonstrate more than 50% of your assets are deployed in NBFC oriented nature of business. So as a first quote of toll NBFC is not the mainstay business.
92%++ of the business has been originated as a channel partner to the banks and NBFC 's we have partnered with. We make ,our majority of the revenue stream there comes from origination free income and the loan management fee income. That's the core business model which you are rightly guiding to.
And we use the NBFC only to launch a new partner, to build new processes, that's the use case of the NBFC , but not to build a balance sheet heavy business and to really outscale that. And hence you will never see a lot of growth in the NBFC business. It will only be used as a partner development or a product development lever in our business.
Devendra Wadhwa: Okay, got it sir. Thank you.
Moderator: As there are no further questions, I would now like to hand the conference over to the management, Mr. Yabaji for closing comments. Over to you, sir.
Rajesh Yabaji : Yes, thank you so much for joining our call. And this was our first earnings call in the public markets. I think we released the results, just very close to 10 -15 minutes just before the earnings call start.
I think that was a miss from our side. I think we will ensure that results are released one and a half to two hours before the Earnings Call presentation. And because this time we had a very short time to get prepared. There was a miss from our side. We will ensure we will not repeat this as we move forward. And ye s, I think we are back to BAU after the whole IPO journey, which took out a bit of mindshare from execution.
But I think we are back heads down executing in the last two weeks. And yes, focused on really building the future of trucking for India, because lots of work to do. Thank you so much for attending the call and see you in the next quarter.
Moderator: Thank you. On behalf of Zinka Logistics Solutions Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Feb 2025

Ref: BLACKBUCK/CORP/2024 -25/40
February 11 , 2025
To
National Stock Exchange of India Ltd.,
Exchange Plaza, C -1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051 To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code: 5 44288, Scrip Symbol: BLACKBUCK, Series – EQ
ISIN - INE0UIZ01018
Dear Sir/ Madam,
Sub: Transcript of the Earnings Conference Call for Analysts and Investors conducted on February 05, 2025 .
Ref: Disclosure under Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .
Pursuant to Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby provide the transcript of the Earnings Conference Call for Analysts an d Investors conducted on Wednesday , February 05, 2025 during 05:00 PM (IST) to 6:20 PM (IST).
Enclosed is the transcript of the Earnings Conference Call, which is also hosted on the website of the company. The link to access the transcript is provided below:
https://www.bla ckbuck.com/investor -relations.html
Kindly take the above information on record.
Thanking you
Yours Sincerely,
For Zinka Logistics Solutions Limited
____
Barun Pandey
Company Secretary and Compliance Officer
Membership No: A39508
Page 1 of 26 “Zinka Logistics Solutions Limited
Q3 FY '25 Earnings Conference Call ”
February 05, 202 5
MANAGEMENT: MR. RAJESH KUMAR NAIDU YABAJI – CHAIRMAN,
MANAGING DIRECTOR AND CHIEF EXECUTIVE
OFFICER – ZINKA LOGISTICS SOLUTIONS LIMITED
MR. SATYAKAM G N – CHIEF FINANCIAL OFFICER –
ZINKA LOGISTICS SOLUTIONS LIMITED
MR. ABHILASH ASWAL – ZINKA LOGISTICS
SOLUTIONS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Zink a Logistics Solutions Limited Earnings Conference call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Abhilash Aswal from Zinka Logistics Solutions Limited. Thank you and over to you, sir.
Abhilash Aswal: Thank you and good evening. Welcome to Zinka Logistics Solutions Limited Q3 FY25 earnings call. Please note that a copy of disclosure is available on the investor relations section of the website as well as on the stock exchanges.
Anything said on this call which reflects the outlook towards the future, or which could be construed as a forward -looking statement must be reviewed in conjunction with the risk that the company faces. Please note that the audio of the earnings call is the copyright material of Zinka Logistics Solutions Limited and cannot be copied, rebroadcasted or attributed in the PR media without specific and written consent of the company.
To give you an in -depth understanding of the company and answer all your queries, we have from the management side, Mr. Rajesh Kumar Naidu Yabaji, CMD and CEO and Mr. Satya kam Naik, CFO. With this, I would like to hand over the call to Mr. Rajesh. Thank you.
Rajesh Yabaji: Good evening, everyone. Welcome to our second earnings call. As a public company, this is

our second quarter of performance, and we will walk you through what has happened in the last quarter.

Jumping straight into the snapshot of the results, the snapshot of Q3 is in front of you. We did close to about INR123 crores in overall revenues which is close to about 45% growth on a year-on-year basis. Because of the nature of revenues in our business which are largely software in nature and hence the direct costs to the business are fairly low, most of the revenues convert into contribution profits.

We at a contribution profit level have done close to about 93%. That has been the trajectory largely over the course of last 2 -3 years as well. So, we made close to about INR115 crores in contribution profit which is a 48% growth on a year -on-year basis. With a model where revenues compound continuously and customers we have acquired over the period of time, there is no incremental cost of acquisition, there is a very strong flow through of revenue growth into adjusted EBITDA.

And this quarter, we have been able to deliver an adjusted EBITDA of close to INR42 crores which is close to 5 times growth over the last year. From last year, we did close to about INR7.5 crores in adjusted EBITDA. That number now has gone to INR42 crores. And these are the top -line financial metrics. Most of them get delivered by active work on operating metrics.

Few operating metrics to discuss. The number one is number of customers who use us. This is the metric on transacting customers in the last quarter for us.

We have 7,35,000 transacting customers which is a growth of 21% on a year -on-year basis. Then these customers broadly again if you look at it, these are like in excess of 20% of India's truck operators who are transacting with us and loyal to us. In these users, not only that they use us for probably one service, a lot of them use us powerfully.

3,50,000 users which is roughly half of the users of the transacting customers are using greater than or equal to two services on the platform which on an absolute basis is roughly a growth of close to about 30% on a year -on-year basis. One of our largest revenue verticals is payment

s.

Under payments, we make revenue when the proxy for making revenue comes from the GTV of payments.

We made close to about INR6,100 crores of GTV in the payments vertical for us which is a combination of tolling and fuelling payments and that's a growth of close to about 35% year -on-year basis. So, at a broad level to summarize what we have done, we continue our trajectory of consistent profitable growth because most of our profits, all the profits are coming in from our core verticals which today are market leaders from a perspective of market shares, from a customer NPS perspective, customer love. I think we are doing phenomenally well.

Those are growing at a very healthy pace while we continue to invest into newer growth opportunities sort of which gives us a balance in being able to deliver profitability at the same time, continue to keep our goal at redefining India's trucking and continue to go on onto that particular path. Now again, you know, every earnings call probably I will narrate our problem statement which we are solving. So, this is our trucking industry where you know for India, we spend 15%-16% of India's GDP we spend on logistics and Indian logistics gets executed dominantly through trucks.

Indian trucking industry is a 200 billion dollar industry which is fast growing, largely operated by small and medium scale truck operators. 75% of these guys own less than 5 trucks. Now if you look at the life cycle of this particular truck operator right from buying a truck which again makes a truck costly by like 10 %-15% because of intermediaries in the transaction to financing a truck where half the industry is local pawnbroker led with interest rates of like 24 %-48%. Then getting access to loads where there is again dead wastage of days because a truck runs in India only for like 14 -16 days a month remaining time he is searching for load, waiting to get unloaded etc. So, and on a transaction, he again loses 15 %-20% of the brokerage commission. So, if you pick up any value stream in a trucker's life, it is typically delivered through intermediaries and is inefficient. This leads to India's trucking, you know, being inefficient and this is something which is the root cause for India's logistics being bottlenecked, India's logistics being high cost and we believe that the route towards transforming this is to really transform t he life of the truck operators.

This is the mission we have chosen in the midterm for us probably for the next 5 -10 years, we will be solving at the core for the fleet operator and through solving for that we will try to dream about how can we transform India's trucking.

Narrowing that down into really what's our strategy to go after this particular problem, there

are three pronged strategies. One is offerings.
Offerings is nothing but a resultant of problem -solving for this particular customer base. Year after year, quarter after quarter, we have continuously picked up problem statements for our customers and we have solved them because technology is a lever to solve like most of these particular challenges and we have been active to solve them .
As you can see, with the myriad of, you know, solutions we provide for the truck operator, a lot of them are in the growth phases and nascent phases of development and the core verticals are tolling and GPS which contribute to 87% of our revenue and we continue to execute in this direction of problem -solving for our customers.
Second area is the whole platform. Our customers get their services delivered through the mobile app. They come and use the platform. Platform continues to get stronger, you know, year after year, quarter after quarter. We have close to about 20% of India transacting on our app and their usage continues to go up . As you can see, there is one vertical called as fleet docs.
That's a feature

for truck operators to manage all the documents at one place, their fitness certificate their pollution certificate, any challan on their vehicle driving, etc etera . All those alerts, insurance expiry, everything can get managed at one place . So, such a feature creates higher utility for the app for the customers.
He starts spending more amount of time . And as and when we keep improving each of our existing features, he spends more time . So, 45 minutes is the daily app usage in this quarter for our customers, which has moved up significantly about 15% over the last year, which was 39 minutes .
So, this continues to compound. And, as a nature of our customer, right, he essentially needs handholding. Our entire acquisition and servicing is offline. We have a 9000 physical touch point network across the country, which sells and services to this particular customer, and which has 80% presence . So, this is the strategy we've followed for the last, four, five years, we continue to double down on this particular strategy. And this strategy, is delivering .
Sothat's the problem we are solving. This is our strategy, in the midterm, for the next 5 -10 years, how we will execute to get closer to solving this particular problem. Now, giving you a snippet of the operational metrics, growth .
Starting with monthly transaction truck operators, which I have spoken about, on a year -on-year basis, we've grown close to about 20 %-21%. Moving from 6.1 lakh truck operators to 7.4 lakh truck operators in this particular quarter, that's a year -on-year growth of 21%. And next

metric is on power usage. 45% of these users are using greater than equal to two services on the platform, where there's a growth of 30% on a year -on-year basis.
Then these users spending more time with us, 39 minutes was their usage in the last, year, same quarter, that number has gone to 45 minutes, which is roughly 15% on a year -on-year basis. So, that's the metrics at a very broad level that, in our overall marketplace, which we have floated in our whole platform, our customers coming, using us, and are they transacting.
Next, moving to some of the metrics which define the kind of volume at which they are transacting with us . So, core vector of, measure there is the GTV on payments. GTV on payments, we have done close to INR6100 crores in GTV on payments this quarter, which was INR4500 crore s last year, same quarter, which is a growth of 35% on a year -on-year basis.
In terms of the number of payment transactions, it was about close to INR10.6 crore s transactions in the last year. Now, that number has moved to close to INR14.5 crores transactions this year, just close to a 36% growth on a year -on-year basis. And I'm not narrating, but most of these numbers are largely tracking the nine -month growth as well.
There were nine -month growth, I need to highlight, I will highlight there, but largely, they will be tracking the same numbers. As a result of activity increase, as a result of volume of things which are happening increase, our gross revenues are compounding. Our gross revenues have compounded by 45% on a year -on-year basis, moving from INR85 crores in quarterly revenues to INR123 crores in quarterly revenues, this quarter.
And if you remove the interest income, because interest income because of IPO proceeds gave a little bit of kicker, the revenue from continuing operations have grown at 41% on a year -on-year basis, from INR81 crores to INR114 crores . And a strong sequential quarter growth as well of about 15% from Q2 to Q3, which is the number which is, not present on the deck at this point. Revenue from growth businesses, which is if you leave out the core verticals of tolling and vehicle tracking, that number has grown from INR7 crores to about INR14.5 crores, which is close to doubling on a year -on-year basis.
Now, all

these metrics, when they flow into contribution profit, contribution profit has grown at about 48%, growing from INR77.5 crores to about INR115 crores in this particular quarter . And contribution margin percentage, which I was mentioning, nature of the business has not changed. So, the contribution margin levels are in the range of the 91 % to 93%, 93% levels this particular quarter, which is similar, the last quarter as well.

And because of all of this happening, and the quality of revenues, adjusted EBITDA has grown much more stronger than all of this because of operating leverage at play. Most of the revenue growth flows into adjusted EBITDA. This is what we have spoken, to most of you, over the course of the IPO and the last quarter.

So, you can see we have delivered an adjusted EBITDA of INR42 crores this quarter, which is a growth of close to 5 x from the previous quarter where we did INR7.5 crores . So, and if you even remove the interest income, this is a line item we are introducing for the first time. Most of the metrics we have continued reported at the older adjusted EBITDA.

Over the course of 2 to 3 quarters, we will move everything to adjusted EBITDA, excluding other income, because that is the right metric to measure. There, from a INR3.4 crore s last year, we have grown to INR33 crores this year, which is again a growth of roughly about close to 10 x, over the last year.

So, overall, as you can see, a very balanced growth from an overall revenue perspective, very strong growth on profitability because of operating leverage at play and the nature of the business is playing out, and like, continuous, aggression on the new initiatives as I will outlay as we move forward.

So, summarizing the key highlights from the numbers we have seen . The first part, I will comment on the core businesses of the company . We have continued to maintain strong growth momentum on the overall, business growing at 45% in the, from a quarter -on-quarter basis and 9 months, 50%.

What is important to track is that the core businesses continue to compound, 35%, this quarter growth, 43%, 9 months. As in the discussion with most of you, you have seen that even in the DRHP, the first, one of the biggest risks disclosed in our revenue is the fast track program management fee, which is linked to government policies . And roughly about between 30 % to 35% of revenues come from such a line item .

And what is important to note is that in the past, government had given minimal visibility into how this particular program management fee is going to track into the future. What we are pleased to report is that in January, government has come out with a notification, clarifying really what this MDR, what this program management fee is going to be in the future, which gives a very strong cementing to the revenues, the quality of the revenues and the revenue visibility and predictability for our company into the future, which will help, us plan things better.

So, on an overall revenue, the update is that we are growing strongly and the quality of the growth and the quality of the revenues continue to get cemented. Coming to the next line item, in terms of new business verticals, we keep doing a lot of work, more importantly to note management teams, 80% of the bandwidth typically goes into like really driving the new initiatives growth, because you know, the core initiatives are really well oiled, does not really need that much of a, bandwidth from a management side.

So, one of the vectors, one of the, new businesses which we have been incubating over the last 18 months was the area of fuel sensor.

Fuel sensor was an initiative under the telematics hood, where we were selling units, but we were not able to sell at a particular price point where the Indian truck operator would be able to leverage value like from that.

We w

ere able to really re -engineer that particular device, work with our suppliers over the course of period in Russia and in China, over the past 18 months and were able to launch a device at a price point where we are able to get the customers get more value at that particular price point .

And we were able to build the whole installation and service network in parallel to that per fuel sensor. These two initiatives went live over the past six months that led to a growth where the total sales we did in the last quarter is equal to the total lifetime sales we did till that point in time .

So, we have been able to unlock a category which basically will stabilize in the course of the next18-24 months, and we will be able to give rise to a new vertical which will deliver

revenues equivalent to the current overall telematics revenues .
So, that's a big unlock for us and we believe that in every six months we will be able to create such a big unlock as we keep explaining you and delivering the earnings results, you know, quarter on quarter basis. Then next metric is on platform engagement because those are the lead vectors of growth for revenue because we need to acquire new customers, our GTV growth needs to keep coming through and users need to use us more.
On a year -on-year basis, as I reported, we've grown on like in excess of 20% on the monthly transaction truck operators, our payments GTV growth has come through at 34% and users are using us more by spending 15% more time on a year -on-year basis. So, that is the lead vector of growth where we are fundamentally, getting stronger year -on-year.
Now, moving to profitability metric, as I mentioned, in this financial year, already at a nine - month level, we have delivered INR85 crores of adjusted EBITDA profits, which is our operational profitability metric, which same thing, previous year we did negative INR3.4 crores, which is a jump of INR88.5 crores over the last financial year. And speaking about the quarter, from last year INR7.5 crores to this year INR42 crores, which is a jump of INR35 crores.
So, very strong profitability performance, which we've always articulated that we are in a technology -led business, where you will see strong operating leverage. We have minimal increase in costs year -on-year, but we continue to increase our acquisitions, and we continue to increase our revenue at a much stronger pace, as we keep delivering momentum.
Talking about operating leverage, because I've used that word multiple times in the course of my presentation, we presented the slide, same slide last quarter, presenting the same slide again. You look at Q3 FY25 to Q3 FY24, we've grown in revenues INR38 crores. Adjusted EBITDA has grown INR34 crores, which is a 91% efficiency flow -through on a year -on-year basis.
Same thing, looked at a sequential quarter basis. Like, if you look at Q2 FY24 to Q3 FY24, our revenue has grown roughly about 15 percentage points, which is INR19 crores growth. Adjusted EBITDA has grown from INR25 crores to INR42 crores, which is INR17.5 crores growth, which is again on a sequential basis, operating leverage of 93% .
Again, there's no secret sauce to this, no hidden sauce to this, that secret sauce we've explained multiple times. This is happening because majority of our revenues are recurring in nature. Like, we acquire customers, but these customers cost is charged off in the P&L , in the sales and marketing cost in this quarter. But these customers once acquired, because the kind of

products we've built, they are sticky, and our annual churn is quite minimal. So, the recurring revenue continues to compound, right?
Second aspect is that inside the recurring revenue, one more compounding impact is that th ese customers off -take and take -up n

ewer services. When they take up newer services, the revenue
of these customers continue to compound . Second lever, when these revenues grow, the efficiency at which they convert into contribution margin is very high. With a 93% contribution margin this quarter, revenues have converted into contribution margin .
Third, year on year, the net revenue retention is fast, is very strong and user retention is very strong. That leads to revenues compounding at a much faster pace and all of this happening without any investment in asset because we don't have to invest in any hard capex. Like, you're not running in any balance sheet heavy business. So, it's an asset -light model.
All of this , results in typically our adjusted EBITDA mimicking our cash flows and our revenues typically flowing down to adjusted EBITDA with an efficiency of in excess of 90%, in broadly in the range of 75 % to 90% depending on quarter on quarter . So, so essentially truly a platform, led revenues at work, which which is driving a strong P&L with a very strong operating leverage.
And if you map out the EBITDA chart consistently across the last seven quarters, if you look at it, we've grown in the last seven quarters from negative of six adjusted EBITDA, continuously we've grown every quarter on the sequential metric because of the operating leverage. And we are able to deliver INR42 crores in this quarter.
And that number, if you look at it, from a negative 9% has moved to plus 34% like in a 1.5 year sort of a horizon, which is like a plus 44 percentage points turnaround in profitability, which we've been able to manage because of high gross margin, because of operating leverage, which is helping us deliver this.
Coming back into basics in terms of explaining how the P&L looks like, we've covered the operational metrics, we've covered operating leverage, now back to P&L. Broad repetition of what I have spoken before, revenue from operations grown at about 41%, total income at INR123 crores growing at 45% year on year.
And as I mentioned, minimal increase in direct cost, direct cost should have grown at revenue,

but they are not because of again, leverage in the operating costs as a direct cost as well. So, they have only grown at about 11%. Contribution margin has grown at 48%. And total expenses, if you see on a year-on-year basis have only grown at 4%.

Despite a very small growth in total expense of the company. Remember that we are aggressively investing in new initiatives . We are aggressively and increasingly acquiring more customers on a quarter level in each of our business verticals, which led to our adjusted EBITDA coming to about INR42 crores, which over last year has grown about close to 5x from INR7.5 crores.

And from adjusted EBITDA, if we remove the other income, INR42 crores becomes INR33 crores, compared to INR3 crores, INR3.5 crores last year, which is close to about 10 x growth over the last year.

Now talking about much more stringent metric, which is PAT. In PAT, excluding exceptional items, in exceptional item, we largely have the share bas ed payment cost, which is a one -time cost, which from Q2 and Q3, that cost is over. So, you can assume that exceptional items from a share -based payment cost and IPO -- one time IPO link cost also over.

So, if you remove those two costs, PAT of the company this quarter is INR30 crores, compared to negative INR6.5 crores last quarter. At a PAT level also, you can see a turnaround of close to about INR37 crores of profi tability turnaround from a year -on-year basis.

And overall, PAT obviously negative because share -based payments is impacting this and one time IPO cost is impacting this. But with facts on the table and with the PAT which are known to us at this point in time, with sufficient confidence, we can probably give you a bit of guidan

ce that we will probably not be having these exceptional items in the coming quarters, probably in the immediate quarter, we can expect none of these exceptional items to be repeating in the continued operations. So, you may be seeing very fast PAT excluding exceptional item and discontinued operations mimic the PAT at overall level.

Giving you a walkthrough of PAT to adjusted EBITDA, broadly, simple. From PAT of negative INR48 crores this quarter, exceptional items is the biggest number of INR78 crores. Then your depreciation amortization is roughly about INR8 crores. Your ESOP cost is roughly about INR3 crores. And which gives you the adjusted EBITDA number of INR42 crores and other income of INR8.98 crores makes the adjusted EBITDA other income to INR33 crores .

So that's broadly what we have and would love to open the floor for questions.

Moderator: Thank you very much. We will now begin with the question -and-answer session. The first question is from Sachin Dixit from JM Financial.

Sachin Dixit: Hi, Rajesh and team, congrats on a great set of results. My first question is more of an explainer, right? I love to add some segmented colour on the business, right? When you say, for example, growth business are growing 100%. Can we break down some of it? Where is it coming from? Secondly, again, because it's a bit tough to triangulate, right? You combine core business as tolling and telematics.

But when we are looking at GTV, we are getting payments GTV, which is fuelling and tolling. So, like, it's tough to triangulate for us. Would love to have some more clarity and some more breakdown if that's possible ?

Rajesh Yabaji: Yes, so probably we are waiting for businesses to probably touch at least 15 % to 20% of the revenue contribution, where they are a bit material, or at least on an absolute basis, if they can contribute to annual revenue of at least INR50-INR60 crores. I think that's when we wanted to start giving out segmental understanding. But from your question, let me give some colour on what's really happening under the hood in new businesses.

The growth in the revenue is led primarily today by two verticals. One is the marketplace vertical, which is driven by two business models. One is the classifieds model, where we charge customers a subscription. That model has seen a very strong momentum of growth in the last two quarters. And we would, I mean, we continue to expect strong growth there.

And we expect that business, we were expecting that business to break even probably by end of this year, as in December 25 to March 26, broadly. I think that business looks to be on track in that particular zone. The second vector of growth is the vehicle finance business, which is basically a partner -led model, where we originate loans for a origination fee and a loan service income for our partners.

That is the other vector of growth, which is again compounding at a very healthy pace of probably close to again doubling. Both these businesses are probably close to doubling on a year-on-year basis. And joining the party is basically now the fuel sensor model, where you will see probably in six to nine months down the line, you would see fuel sensor also starting to make material moves in the growth businesses, providing the much -needed lift in the revenues from the overall growth businesses.

So, I would say, I would say that broadly , whatever we are selling. So, so yes, so I think this is the colour on what is the split of these. So, today materially , the load marketplace business and the vehicle finance business are contributing to majority of this particular uptick. But as we move forward in the next couple of quarters, fuel sensor will also start contributing. This is the colour and the overall thing.

Sachin Dixit: Just to clarify, fuel sensor is not part of telematic

s, it's part of growth businesses. I believe telematics is within core ?

Rajesh Yabaji: Fuel sensor is part of the telematics business vertical. Under telematics, you have GPS, and you have fuel sensor. Tolling and GPS are part of the core businesses. Fuel sensor is not part of the core business.

Sachin Dixit: At least, I think telematics at least is roughly 15 %-odd the size of overall revenue. Can we at least get the revenue number for telematics?

Rajesh Yabaji: We will probably, you know, take this request and we will come back probably next earnings. Yes, we'll look at it and we'll come back.

Sachin Dixit: Sounds good. And my second question is on the line of basically our platform partners. So, if there's any update in terms of people come joining us on FASTag side, on vehicle financing side, fuelling , I understand that there's a big scope, but any update on more partners?

Rajesh Yabaji: Yes. So, there's an update on partners. We've full -fledged launched one new partner in the FASTag space with commercials, much better than the existing commercials. So that's a, gives a good flip, point number one. Second is that as you all have seen that we've applied for the PPL license in the you know, DRHP, right? We are pursuing that strongly and we expect ourselves to be a full -fledged FASTag provider over the due course.

Next update on partners in the vehicle finance business, where we've been able to onboard a new bank to disburse loans on our platform. And again this partner is more onboarded on a CLM2 model where they will take 80% of the vehicle loan originations, and then they will have full risk on that, right? Then, so again, there again, it's a partner -led model where whatever you see in the financials, that's the sort of risk sharing.

Then that's the, that's the model, right? Then in terms of telematics, it's not partners, but we've been able to crack very strong manufacturing partnerships, both in India and in China, which is giving us further advantages in procurement in the base GPS device and incrementally even in the AIS device, where, which is going to be the future device in the country, like on the GNSS side, etc etera .

So, in both the areas of basic GPS device, we've been able to crack manufacturing partnerships, which is enabling us to lower cost of procurement in the future. Then, obviously, as I was mentioning, in the fuel sensor, we were able to again crack a better quality product at a much better price with newer manufacturing partnerships, which is again helping us drive growth.

So, each of our businesses, as you rightly asked Sachin, that we are partnering with various different people, either be it manufacturing companies, or be it with financial services partners to originate loans, or be it banking partners to do prepaid cards, etc etera . In all of these, we are continually improving in the existing partnerships.

We are signing up newer partnerships with better terms, which is helping us improve our funnels, helping us improve our business. And we are continuing and that's a continual part of the business for us.

Sachin Dixit: Perfect, perfect. Can I squeeze in one more question or I should get it back to you? I'm fine either ways ?

Rajesh Yabaji: Sure, Sachin, go ahead, please, quickly.

Sachin Dixit: So, the third question is largely on tolling market share. I understand like the tolling business, or I mean, the overall industry is growing roughly 13 %-14%, while RGTV overall repayment side is growing 35%. Where do we stand in terms of market share roughly and where can we potentially play to? If that's one question you can take.

Rajesh Yabaji: So, last financial year, basically, we blended the market share was close to what 33%, right? As we remember, which will disclose in the DRHP this year, by June, we were at about 37. Right? By Decembe

r, and by I think September and last time we gave that number that we were at 40. By December, and we already reached close to what 43%.

Sachin Dixit: And where can it potentially pla teau if you see such a plat eau happening ever?

Rajesh Yabaji: We continue to execute, we're going to execute markets pretty open for us, because nobody's really building customized specific products for truck operators. Our uptimes are the best, our incremental value props are the best. Our other products again are the best. So, customer sees

like a total value prop to really work with us. Our servicing is the best. Nobody has 9000 people on the ground.

So, I mean, yes, so we will continue to execute, and I think whatever we're seeing in the hindsight, I think we will probably at least keep doing that for the next couple of years.

Moderator: Next question is from the line of Gaurav Rateria from Morgan Stanley.

Gaurav Rateria: Hey, hi. Congrats on good execution. I have actually four questions. Feel free to dodge it if you think it's too much. I'll get back in the queue. So, my first question is on program management fee update, the regulatory update, how frequently that update comes? Is there a annual revision that happens or is it ad -hoc like it can happen in two years, it can happen in four years? The second is what is the implication of getting a PPI that we have applied for you kind of you know, covered by regulatory guidelines which you are currently not ?

And also from a unit economics perspective, you have the potential to get the entire unit economics rather than sharing it with a partner right now. The third question is on the fuel sensor, what's the starting price point right now versus alternate options available in the market which is making you completely disruptive in this market and you can kind of you know penetrate much deeper ?

And lastly, why should the employee cost even X of ESOP fall on a sequential basis when you're growing the business so healthily? Shouldn't the employee cost also grow of course at a slower rate than revenue but why should it fall in absolute terms? Thank you.

Rajesh Yabaji: Yes, yes. So, first question on MDR certainty. Gaurav, in the history of the whole program management fee, by now it's roughly close to about 11 -12 years government has been operating this program. The revision in MDR on the issuance side has only happened once, number one. Number two, the first time the revision happened was in the year, was basically in the year March 2022 - is when the revision happened. When the revision happened, first time they gave a visibility of two years which was up to March 2024 .

And after that there was literally no visibility, and it was deemed that it will continue but there was still a bit of uncertainty lying around because it was deemed that it will continue but there was no official confirmation.

Now as we speak, typically government gives out a date, a sunset date for MDR as it gave in the last notification. As it currently stands out, it's an open -ended date given out saying that this is the MDR and this will remain as we keep moving forward because the minimum cost which any company incurs is a bare minimum cost in terms of running the entire issuance stack and that number for different banks and different players is a number where they just break even at that 1% scale because of the kind of market they are serving.

The market we are serving in the 2x2 is a market which basically has least number of tags but highest amount of GTV because it's a trucker segment. India has roughly 12 million trucks and total vehicles which have a FASTag in the country , roughly will be 65 to 70 million. So, these 12 million trucks, again if you break it down, only MHCV flies on national highways, 4

mill

ion trucks out of 65 million vehicles in the country, 65 to 80 million vehicles in the country roughly produces 70% of the GTV.

So basically, for players who are not operating in this segment, in the other segment, typically it's very unprofitable to operate even at 1%. So, for government, below that literally it's very tough to operate. That's the question on MDR.

Second point is on PPI. Our drive on applying for PPI and going for that for us is more becoming a full stack payments provider. Today we depend on a lot of different uptimes and downtimes on our partner servers, on our partner's uptimes and a lot of these involve a lot of high level of coordination, a lot of effort and cost. As we become full stack, the idea is not to really move out of partners but to also have a stack which can deliver better, number one.

And then second aspect is basically on obviously economics because we get to keep the whole share. But the economics will probably not improve 25 % to 30%, probably will improve in the range of 15 % to 20%. So, economics, yes, will definitely improve. That's the second question on PPI and economics.

Third question on fuel sensor. We used to sell a fuel sensor at INR20,000 when we launched. We were able to bring some volumes and bring it down to INR15,000. We used to sell it at INR15,000 about 4 months back. And at that price point, typically the demand was not taking off because we are talking about a truck operator , who typically net earnings probably would

be INR15,000, INR20,000 per truck per month.
Now he needs to curtail theft on fuel, he needs this device but at the same time, the paying potential is low. So today in the market, we start selling the fuel sensor anywhere in the range of blended realization for us is roughly about INR10,500 to INR11,000 from the fuel sensor. In the market, you can find a fuel sensor, lowest is our price and the range of the price is up to INR25,000.
For our truck operator, really the sensitivity is that is the fuel getting stolen in the range of 5 litres and above. Sensitivity is not that if half a lit re is gone or one lit re is gone. So, the applications are wide. So, we are essentially building a product customized in such a way that we are able to produce a 99% plus plus accuracy.
We've been able to deliver with a product , which the current product is providing 99.5%.
We've been able to establish a product which is again providing a 99.5% kind of a reliability in our reading to the customer. And that we've been able to dramatically work on costs, right? And we've been able to bring that down.
And that is the reason why we are able to operate at a INR1 0,000 plus plus price point. And at the same time, we will be able to deliver a contribution margin profile of 70 % to 80% on the on the stabilized unit-economics perspective, right? So that's the fuel sensor story on what the market is selling, where we are selling and why we will be able to out beat because of focus on the customer segment, what he needs, reliability of the device, because like we have a set of a comprehensive lab, which tests out the reliability. And we've done like all this brunt work over the last 18 months, which we've been able to crack this device at this point in time.

Now, your last question, employee cost reduction, why? Right? Satya, you want to take that question?
Satyakam Naik: So, Gaurav, I think two things. One, as you have consistently said, we continue to move more towards the variabilization of the workforce , so that you would see that the other expenses has gone up. And that includes manpower and consultancy charges. I think we have explained this on every quarter that that's the intent to variabilize. That's one. Second, as always, we continue to run the lean team and the execution focus.
I think the third point, just a one time, is

that in December, some of our leave lapses, etc.
happen. So, there are some reversals in leave encashment and gratuity. So, that is to the extent of INR1.5 crores to INR1.7 crores. But other than that, as I said, continuous focus is on variabilizing the workforce. So, you will see the other expenses go up if the employee benefits expense reduce.
Gaurav Rateria: Thank you for the detailed response. All the best.
Moderator: Thank you very much. Next question is from the line of Prateek Poddar from Bandhan AMC. Please go ahead.
Prateek Poddar: Firstly, congratulations. I think this quarter EBITDA is more than what you did in H1. So, congrats for that. A couple of questions. One is, just when I see your GTV versus MTUs, right, the GTV has outperformed MTUs by almost 10%. Just curious, I would have thought that MTUs should have also grown, but that hasn't. Why is that so?
Rajesh Yabaji: Yes. So, the overall transacting truck operators if you look at it does not only come from payments business, comes from loads marketplace, comes from telematics, comes from multiple other sources of interactions. And what you are essentially looking at is basically the GTV on payment side. Point number one.
If you look at the user growth on in terms of the trucks growth, etc etera only on like -to-like payments basis that number is a little higher than the monthly transacting user growth. 20% number is the overall monthly transacting user growth. A truck on paymen ts would have grown at about 24%, 25% p oint number one. Point number tw o, we get the benefit of, sorry...
Prateek Poddar: I was asking this was on a Y-o-Y basis that's what you are saying now?
Rajesh Yabaji: Year -on-year basis. Second factor of growth is that our GTV in payments gets a compounding impact of India's national road network. India's nation al road network over the last 3 years to 5 years h as been growing at a CAGR of 5% to 7%. Now, when India's national highways get built out, the state highways which are typically narrow roads and are inefficient roads from a truck fuel mileage perspective, etc etera .
And fr om a reachability perspective the state highway usage is cannibaliz ed by the national highway introduction. Because of that, you will see more road ton per kilometre happening on national highways. That's factor number two. Factor number three is that there is an

inflationary increase in t he prices of toll fares year -on-year. Roughly in the past, toll fares have inflated at the rang e of anywhere in the range of 6%, 7% on a year -on-year basis.
That again leads to the overall GTV growth. So, trucks growth on the platform, whic h is I mentioned to you like 23%, 24% multiplied by the same trucks doing more number of kilometres on national highways multiplied by the fare increase itself, all of this leads to GTV growing at a much faster pace than the primary metrics growing .
Prateek Poddar: Got it. Now, that's really helpful. The second que stion was on fuel sensor. You said you've localized etc etera . Just from a monetization perspective this is SaaS basis in the sense you charge per month subscription service. Is that a fair understanding?
Rajesh Yabaji: Yes, it's again – yes, it's the same model we charge upfront for the first year because that includes the device cost. And after that it's annual recurring subscription which again comes for annual and it's an annuity income again, nature of revenue again will be similar as the GPS revenue.
Prateek Poddar: Got it. Fantastic. And lastly when I look at, let 's say your growth areas a nd when I see sequentially now this question is sequentially, if you see sequentially your growth area revenue increase is lower than your core business revenue increase, I would have thought that others which is basically your new growth area shou ld have grown at a faster rate

, b ut that hasn't happened. Obviously, it's a very short time. It's on sequential basis. But any thoughts why this has happened?
Rajesh Yabaji: Yes. So, it's m ore as I was mentioning, it's two vectors of growth there the AU M of lending, AUM of the loans we're disbursing in the financial services vertical and the marketplace growth, marketplace growth has continued to grow very strong . The entire , from a financial services perspective, as you are aware our partners have been cautious in the past two quarters, that's led to a little bit of dampening in the growth over there.
But other than that, there is no other challenge, you would see that growth coming through in the subsequent quarters.
Prateek Poddar: Got it. Because Q4 is generally quite strong from a disbursal perspective, etcetera a nd even from an overall movement perspective, so Q4 we 'll see the growth coming back?
Rajesh Yabaji: But this time, it is not. I would saying b ut this time, that second quarter growth as you rightly said, can you hear me, Prateek.
Prateek Poddar: Yes, loud and clear.
Rajesh Yabaji: Sorry. Sorry, can you complete your question, please? I couldn't hear you.
Prateek Poddar: No, I was saying please go ahead.
Rajesh Yabaji: Yes, so I was saying, the Q2 for us in terms of disbursements did not see a strong uptick because of measured approach by the partners. As we see into this quarter that measure d

approach slowly is going away. So, we expe ct to see better disbursements, b ut yes Q3 was definitely measured by our partners.
Prateek Poddar: And sorry my foll ow up was see if you have added one new partner, he'll get his own demand . So, from that perspective , is that a fair understanding b ecause the new partner is a bank etcetera?
Rajesh Yabaji: That's a fair understanding, b ut Prateek, every partner starts off very cautious. So, every partner typically has a strong incubation, like a good long incubation time, because it's not like if it's a payments business you can take off very fast, because in payment you flow through, there is no chance of fraud, etc etera. So now when a bank is onboarded which is basically very cautious about credit quality and all of that.
So, they typically start off slow, start off with only few areas start off with only like the be tter quality files, gain trust over a period of time. So, I would say in lending a partner senses us for a good 6 months , 9 months before they go really exponential, and which is also probably a cautiously good approach. And yes, so that's how a launch of a partner happens always.
Prateek Poddar: And lastly, any update on GNSS?
Moderator: Prateek, sorry to interrupt you. Come back for a follow up.
Prateek Poddar: Yes, fair.
Moderator: Thank you very much. Next question is from the line of Devendra Wadhwa from Value Prolific . Please go ahead.
Devendra Wadhwa: Sir, thank you for the opportunity. I wanted to ask that , that your new segment - your load matching and vehicle finance, how they're performing and what - what is the growth coming in?
Rajesh Yabaji: We were not able to hear you. No, you were not audible. Can you please repeat your question?
Devendra Wadhwa: Sir basically I'm asking your new segment like load matching and vehicle finance, what is the growth percentage coming in?

Rajesh Yabaji: What is the growth prospects in the future? Is that your question is?
Devendra Wadhwa: Yes, sir. What is the growth percentage coming in currently?
Rajesh Yabaji: Growth percentage. See, I can't like, I mean, we as we discussed last call, like we as a philosophy have taken not to provide guidance, b ut ye s you can continue to expect the current growth coming through. And we'll keep you posted on your incremental information if it is there, more subjectively on the growth initiative.
Devendra Wadhwa:

Okay, s ir I wanted to ask a follow up question on this, that what is the cost of acquisition of a customer on these segments in load matching?

Rajesh Yabaji: What is the cost of acquisition of a customer?
Devendra Wadhwa: Yes.
Rajesh Yabaji: Yes, so basically like the way to look at is that as a company, as a whole we spend about 45 lakhs in mar keting across the board. And other than that, which is a broad -based marketing, other than that, every other cost of acquisition is loaded on each of the categories, right?
So essentially, the customers for cost of acquisition of truck operators for the load matching platform becomes free, because I acquire a customer for FASTag . And, and customer pays me revenue on FASTag , right? I make revenue on FASTag . After that, the customer becomes free for usage across upsell, cross sell for any other c ategory, right?
So, the way we have structured on how we look at customer acquisition costs on our platform, is that all the categories like, all the categories of tolling and GPS are essentially our acquisition categories, not only acquire, but also deliver profits today. And these customers when they are cross sold into loads matching platform, the cost is essentially, zero, right? So that's the philosophy in which we run this, run the whole vertical.
Moderator: Thank you. Next question is from the line of Parikshit Kabra from Pkeday Advisors . Please go ahead.
Parikshit Kabra: Hi, thank you and congratulations on a great quarter. I would want to discuss a little bit on the fuel payments vertical, which you haven't mentioned as one of the key verticals that is, giving you the great growth number in your new business verticals. I want to understand why that is the case?
I know that the FASTag tolling business has regulatory push supporting you. But essentially, the value proposition to the customer between the tolling business and the fuel business is very similar and the quantum is higher here. So why isn't the fuel vertical growing as quickly?
Rajesh Yabaji: Yes, see, basically, , if you look at the landsca pe of how India operates, right? And as you rightly said, we launched the fuel vertical also from perspective of a very high value proposition, and also looking at the markets, looking at the Western markets where companies like Fleetcor , WEX have done phenomenally well, they have done phenomenally well in the fuel card space, right?
So Indian market structure, why is it different from those markets is that point number one, we have a oil marketing company structure, where there are largely four oil marketing companies, there's only one private and three government owned, right? So the real intensity to fight, for customers in terms of loyalty, etc ., isn't that high, that's point number one.
Point number two is that customers receive good amount of money in hand in cash. So they continue to still transact fuel in cash, right? So, these are two big headwinds, which basically create a -- create issues in customer stickiness, right? So, if you look at our fuel vertical, our fuel vertical, we make money in that fuel vertical, it's a good vertical, it provides ample value proposition for a customer to, really solve his proble ms.

A digital savvy customer uses very powerfully, the fuel card program, and, becomes very sticky. And this drives humongous loyalty for our, oil marketing partners as well, because they partner with us, so that their customers, can be loyal to us with them, right?
So, obviously worked on this vertical continuously, what we've been able to, come to terms with is that because of the nature of the customer we are talking about, and because of the market structure, what India has, we have been able to comfortably position a growth rate of

20%, 25% year -on-year in that vertical.
And we are growing in that manner. And, that's a growth rate, which we are expecting and that's coming through. Until and unless we crack a dramatically different value proposition, which we are again, obviously, experimenting at this point in time, which really, moves the

market to adopt thi s offering very fast, right?
So, at the moment, I will say that this mark, this business will grow with the modernization tailwinds of this industry, how aware a customer becomes, how digital a customer wants to transact, how much, really -- they want to really save money and handle their business in a much more professional way, right?
Probably, the run rate of growth will get limited to this. And until and unless we unlock something, which, we continuously are trying to, right? Until and unless something we are able to massively unlock, or a government tailwind provides us that particular opportunity.
Parikshit Kabra: Got it. All right. And my second question is, from the perspective of the other expenses and the manpo wer costs within other expenses? So, what I try to do is try to compute from what I understand the other manpower costs sitting on the other expenses is mostly a number towards the variable fees that you're paying people to acquire your customers, right?
So, what I did was I took, I also we have been told that you have a churn of about 15%. So, I took the number of new net new additions, I took out another churn rate of 15% and added that as well. And then divided your manpower cost by the number of operators that you have added to gross number of operators estimated gross number. And I've come to a number that should be a manpower cost for each customer added. Is that method more or less, right? The number is coming to about 3000?
Rajesh Yabaji: No, I think that will be that will have like multiple errors. Because remember that we are, onboarding customers in such a way that let's assuming a customer gets onboarded, via marketing campaign, but only does, a load board classified transaction, not a brokerage transaction, that will get counted as a transacting customers, right? But would not appear in the manpower cost, which you are looking at, right? Number one.
Number two is that , a lot of different customers, get onboarded on various different services. So, the LTV attribution is very different, right? So, the, the way to look at is, I would say that we typically spend to acquire on any one of the verticals, right? Like, the cost of acquisition of a customer on any one of the verticals for at a truck level, typically hovers in the range of like, INR1300, INR1400 , like kind of number, right?

And then if you look at it, if they are doing, like, if you're acquiring them on multiple services on a month level, that number probably would be a little bit higher. But the method in which you're doing that may not be the, the right method and will probably have a lot of errors and a lot of divergence in the calculation.
Because the churn of the platform, which you are mentioning in terms of 15% is not that much, because different cohorts have different churn, if it's an early cohort, because of stabilization on the platform will probably have a higher churn. But let's say, financially 2022, a customer on boarded will have minimal, like , churn on the platform.
So maybe it needs to be fine tuned a bit to look at how to look at, that particular number.
Better would be to work on GTV and probably estimate how many trucks are transacting, from that perspective, on the truck individual, category wise, and then link back the manpower cost to the new customers getting acquired on those verticals.
Moderator: Thank you very much. Parikshit , I'll request you to come back fo r a follow up question, please.
Next question is from Shubham Jain from NV Alpha Fund

. Please go ahead.
Shubham Jain: I want to understand a little more on the new initiatives or, the new segments that we've been speaking about. Which of these segments do you think can become a large scale for us? And what is the addressable opportunity in some of these pieces that we're trying to build? I know you mentioned about the fuel transfer that can be added at the telematic s business. But I was reading more towards the loads management and the v ehicle financing business?
Rajesh Yabaji: See, I mean, the one question to ask is also that, in terms of, what are the key profit pools in this market, right? A, or second question to ask is, how are profit pools evolving over the period of time, right? The answer to the first question is, yes, can you hear me now?
Moderator: Yes, sir, we can hear you. Can I re quest you to repeat once again?
Rajesh Yabaji: Yes. So, to answer this question on, emerging opportunities and, where can we see big growth, right? We can look at this question in two dimensions. First dimension is that, where are the profit pools existing today? And how are our initiatives geared up to, get them , number one?
Second question is that, in the market, where are profit pools evolving and are, do we have strategies to tap into the evolving pools, right?
So, I like, because this is how our segments are also divided, right? In terms of, first, where are profit pools today? If you look at it, one of the biggest profit pool segment in the industry is the brokerage commission profit pool, which is excess of $15 billion, because, taking out a 15%, 20% on a, $150 billion kind of a pool, gives you that number.
The initiatives going at that are basically the entire marketplace loads vertical, which has a strategy to it, where the first strategy is to bring liquidity on the platform through a classified

network, which again pays its bills by the classified revenue. And the revenue projection of that vertical probably will be max INR200 crores in probably 5 -6 years down the line on an annualized revenue basis.

Underneath that vertical, we have the brokerage vertical, which is trying to close loop these transactions and make money out of the commission income, where we have already launched, basically, we've launched one city, we've moved to five cities in the last quarter, each of these operations are stabilizing, we are creating a matching engine internally .

There's a lot of product work happening, there's a lot of R&D work happening in terms of how do you really do a very effective matching of these users and are able to close transactions, which is giving benefit to the customers and truck operators . So, this is one of the very big vectors of growth for us in the future.

If you're asking me, this is a very long drawn effort, I've mentioned this in the last quarter, we will, we as a company started off actually to crack this, but we have to take the route of solving for truck operators and generating the platform activity , so that we can crack this business vertical . So, this is one of the very first and foremost vectors of growth, which, today management is investing significant amount of time to crack this vertical.

Second area of growth, as you rightly mentioned, is the area of vehicle finance origination, where there is a $7 billion of pool origination and, NIM available. Now, our method of going at that market is basically the origination play, digital origination play on how can we really partner and originate loans for people. That's a business vertical, which is growing, probably every six months it's doubling . And, we spoke about that in the last earnings call and this earnings call as well .

These are, this is basically the profit pools, which basically exist today, and we are going after them. Next answer to the question is where are the profit pools

-- which are profit, how are profit pools moving? As you are aware, we are in the telematics vertical, we are in the telematics business.

Under telematics business, GPS is one vertical we are focusing on very heavily. Under GPS is a normal GPS and then there is AIS GPS. In multiple states across the country, GPS has become mandatory for permit renewal, passing, and etcetera. That device is basically AIS device. And AIS device is also the same device, which government wants to mandate in the era of GNSS based tolling . So, this is how the profit pool essentially, this is a new profit pool, which is getting created and profit pool is essentially moving.

We are prepared with probably the lowest cost AIS device in the country today, which we are certified with, and we have a strong installation network, which we are able to train and go after this particular opportunity . So, this is where the profit pool is moving. We are future ready, in line with that profit pool . So, a telematics opportunity, GPS, opportunity for us is big and we are aligning towards it.

Next biggest opportunity, which we have already cracked, as I was mentioning to you, customers are becoming tech savvy, are modernizing, want to save money on fuel, want to say no to getting fleeced on fuel by their driver continuously . So, they are adopting fuel sensor. What they need is a cost -effective solution in the Indian market, which can work in a rugged way in the Indian market , so, that we are providing too.

That's again a profit pool, which is not, doesn't exist, but it's getting created essentially, over a period of time . And like this, as I showed in the initial slide in terms of our business opportunities, which we as a company are building, as you can see over here, fuel payments, vehicle finance, loads platform, brokerage platform, fuel sensor platform, fleet docks platform, all of these are the newer verticals, which we are going after.

And each one of these is actually targeting TAMs of multi -hundred -million -dollar TAMs, which is, which, because we have a strong platform, which is a strong way to push the product, and we have a distribution platform, which is a strong way to service and sell the product, we are the best position to be able to gain lion's market share in each of these verticals.

Shubham Jain: Got it. Thanks so much for such an elaborate answer. I have two follow -up questions. In the loads management business, how exactly does the brokerage model work? I get the listing and classified piece, but in brokerage, what is the value addition that we do? Do we ensure fulfilment ? How does that exactly work?

Rajesh Yabaji: Yes. When you look at a marketplace transaction, typically, in any marketplace transaction, you enable discovery -- discovery and matchmaking, that's one clear area where customer is trying to get a truck, if he doesn't get a truck, his dhanda doesn't happen that day. A trucker is trying to fill his load, like fill his truck capacity, because if he idles, he loses on an average 3000 rupees a day .

So, discovery matchmaking is the biggest value prop, which we are providing in the classified as well. But when we launch brokerage, we are doing this in a much more concerted way, right? Once the discovery matchmaking happens, second area is the area of pricing .

You price a transaction, you make both the parties agree on one particular pricing and say that this particular price pay transaction agay badega , right? Now, in classifieds, we don't price a transaction. In brokerage, we price a transaction . After pricing a transaction, the transaction moves into the area of fulfilment . Fulfilment essentially is that quality of the truck, validation of the truck operator, validation of the driver, truck reaching the loading point, it getting loaded, in transit performance, truck reaching, tru

ck unloading the goods in the right condition.

Fulfilment experience, we don't provide in the classified. In brokerage model, we take care of the fulfilment experience, because we have onboarded this trucker, we know which village this guy lives, we have validated, we know this trucker much better than anyone else, we know this driver much better than anyone else, we do all host of validations before we assign a truck to a particular shipper, so that's one of the biggest value proposition in this.

Next, after you do fulfil a transaction, you create customer experience, you coordinate payments, payments flow through us. In the classified transactions, we don't do payments. In the brokerage transactions, payments flow through us. Trucker gets a guaranteed payment. We become the face.

One of the biggest problems for truckers in this market is that they conduct a transaction, but the payment doesn't come . And that's a big problem on the classifieds platform, which we

solve for trust through ratings and reviews. But in India, ratings and reviews is not enough. It's important that if can somebody come in between, and he solves for the trust in the transaction. So, in a brokerage transaction, it's BlackBuck load, it's called, on the platform, it's called BlackBuck super loads, so, loads where we are the broker, we call those loads as super loads. On a super load, he gets the payment guarantee on the platform . We are responsible for the money to flow through, because we have validated the shipper on the other side . We have gone to him, we've seen where the shipper lives, we've done the KYC, we do few orders, and we can check whether this guy pays effectively the trucker properly or not .

That's the payments part of the whole transaction . So, this is the value add in brokerage, where we enable a trucker, fill his truck faster, because loads are available online, he unloads, he books a truck immediately, shipper books a truck in a hassle -free way, both of them have a hassle -free experience on both payments, because many times, customer also pays and trucker runs away with the goods and the value of the freight as well. So, for both sides, it's very highly valuable, 10 x experience to partner with a organized company to broker the deal for them.

And that's the value prop which we bring to the table. And because of a platform which is used by 20% truckers in the country, we have very strong matching rates, very strong fulfilment rates, and we've operated freight business in the past. So, we are coming in with the learnings of what really goes wrong in this business and are able to get it first time right in terms of expansion, in terms of onboarding, in terms of getting the product made.

Moderator: Thank you very much. Shubham, I request you to come back for a follow -up question. Participants kindly restrict to two questions per participant. Next question is from the line of Nilesh Jain fro m Astute Investment Management.

Nilesh Jain: Congratulations on an excellent set of numbers. So, I had a question on the telematics side, on the GPS side. So, currently, we have around 7 lakh active monthly truck operators. And the number, what you all had reported in the RHP, right, around 4 lakh of them have telematics devices installed, which roughly comes out to be around 60% of the users.

First question was that what penetration rate, you expect going forward when you acquire new users? And secondly, the already acquired users, what will be the renewal rate or retention rate for the next year when they come for renewal? What do you expect? That would be my first question. And then I'll ask my second question after this.

Rajesh Yabaji: Yes. So, basically, as we mentioned, the first question was asked by Sachin and he was asking the same question in terms of, can we provide some visibility, at least on tele

matics from a

segmental results perspective? I think at this point in time, what you can infer is that broadly the growth is trending, how it was trending before in terms of telematics devices.

Broadly, we are in the same course. That's answer number one in terms of growth pattern. And just to correct for you, the number mentioned there was actually devices. So, the number of users is actually lesser, because one trucker typically has 1.5, 1.6 active devices. So, the number of users will be a little lesser. So, you can find these details in the offer document.

The second question which you asked along with it was basically the renewal rates. We typically have that the first year annual rate typically is roughly in the range of like early 70s in terms of annual rate. After that, typically, the renewal rates are in the early 80s to late 80s on a continual basis.

Nilesh Jain: Okay, thank you. My second question is on the load side. Currently, I wanted to understand, what are the challenges you are facing on the demand side, that is from the shippers and on the supply side, the trucker side? And, what are the fulfilment rate right now we have?

And, I mean, you mentioned that we have a second model, which is a freight brokerage, wherein we would be getting commission out of the overall fulfilment . There's another model, which FTA follows. I mean, obviously, it would be a sort of future thing, but I just wanted to get, is it feasible for India where FTA charges from the trucker side as well for selected cities, where there is, great demand .

It charges some commission from them separately, and provides them a separate add on services, wherein they would get a load before they would, they would get to access the loads before when, and then goes to the other users , if they are not interested. And they earn a good amount of money from that side of the busin ess as well. So, would that be in the long term, be applicable here as well?

Rajesh Yabaji: Yes. So, some of the functional metrics you're asking, as we mentioned, I think for the new businesses, we'll not be providing those metrics, by no one. On the question which you have in terms of brokerage model , yes. I think in FTA, as you are aware, they report the subscription revenue and the brokerage, the other line item which we are trying to talk about, right, the closed looping the transaction view, t he marketplace commission view.

So, you can assume, because see, FTA operates in China, a very different demography of execution, because 85% of the truck operators are owner -drivers. So, the app location and the truck location is same, right? In our case, like 70, I would say, like large part of the market, 85% of the market is basically still, like, truck operator dependent who employs the driver. So, the truck operator location of the app and the truck location is different, right?

So, ability to really create, the marketplace platform needed us to take this route. That's point number one. Point number two, equivalent of the revenue which you are mentioning, like, that is our brokerage business for India and expect to see incremental updates on that business in, the subsequent quarters on our earnings call.

Nilesh Jain: I mean, I take your point that the freight brokerage business which FTA has is a similar one which you are also , you are also implementing. The third is the transaction commission, what FTA has, wherein it charges separately from the trucker, apart from earning the brokerage between the shipper and trucker.

Rajesh Yabaji: No, no, no, when I mentioned the brokerage business, when I said we make commission on the transaction, we charge from the truck operator.

Nilesh Jain: Okay, okay. So, that part of the business, you feel that, given the freight listing, you said, over the four, five years, it will be 200 crores maximum. Freight brokerage could be a large number, is what you see. Obviously, it depends on the execution and all of that.

Rajesh Yabaji: The TAM is very big . We need to out -execute. If you are asking me when, I have no answer because it is a very, nascent initiative. And if you are asking me whether we are putting all the impetus to really crack that and get that going, answer is yes. But by when and how much, I think we need to wait for at least six to eight quarters to get some understanding in that business.

Nilesh Jain: Thank you so much and all the best.

Moderator: Next question is from the line of Prat eek Poddar from Bandhan AMC.

Prateek Poddar: Yes, hi. Thanks for taking my question again. Just on GNSS, any update?

Rajesh Yabaji: No update. Pilots are happening continuously because in terms of vehicle identification, government also wants to have a little bit of fallback arrangement as well. So, I think, wanted to have multiple mechanisms to identify the vehicle. NPR technology is also, they are piloting. Sorry.

Can you hear me now? Yes. On GNSS, they are stalling. No, like really incremental updates. Government obviously continues to be active in terms of pursuing this. And the plan is staying the same, broadly executing on the same notification, which they released a couple of quarters

back. They are trying to create a fallback for, vehicle identification in terms of, automatic number plate recognition as well.
So, yes, so they are like, I think a lot of work is happening. They are making heavy moves more on the back end side first, because that's an area they have to prepare first. Otherwise, front end, if we start acquiring users on the new mechanism, back end has to be solid.
So back end work is the toll charge of work, which will calculate the distance, which will map the toll plazas, do the lat longs, and like, send on a real time basis really how much money to be deducted, etc. So that work is on a priority happening , but materially, we don't have any updates on that.
Prateek Poddar: Got it. And lastly, you called out INR4000 of cost cutting or localization efforts for the fuel sensor. Just wanted to check, is there more room to get this down? And at INR11,000, are you making any money or, or it's only via subscription?
Rajesh Yabaji: Yes, at between INR10 to INR11,000, we will be in money in the first sale.
Prateek Poddar: Like in the sense you assume you've got INR4000 down. Can you get it more down? Is there a room for you to localize this even?
Rajesh Yabaji: No, no, we've got down the sale price by 4000 Prat eek.
Prateek Poddar: Yes, I understand. Can you get it down more?

Rajesh Yabaji: Yes, I mean, because right now, we are only talking numbers like mere thousands . And as soon as we hit 10,000s, right, we can definitely get more. Because if I remember, I had articulated the story that on GPS, our first procurement was at like 2200, right, we kept going down, kept going down.
Now the numbers are like close to one fourth of that, right. So, I think telematic fuel sensor also will broadly have the same story. Because I think manufacturing really works, it's charm at scale, we are now pretty much upscale. And as we continue to grow, so broadly to a given estimate, at whatever scale we're doing right now, if we grow by 6x, right, we will in the monthly run rate of sale, we will be able to hit the GPS numbers.
So broadly, at that scale, we probably can have one more price point emerging. And, yes, we should. But yes, even with the current plan on procurement with the device, which we will be able to do , we will be in money in the first sale.
Moderator: Thank you very much. Ladies and gentlemen, we'll take that as a last question. I'll now hand the conference over to Mr. Rajesh Yapaji for closing

comments.
Rajesh Yabaji: Yes, I think, thank you, everyone for joining and listening in and asking very good questions. I think last quarter, again, to repeat, I think it was a good result. More importantly, the whole core is being cemented with more serenity in revenues, in terms of the FASTag MDR, in terms of new initiatives going live.
And in terms of operating leverage, really getting showcased in a magnified way. And by being able to deliver nine month, INR85 crores, I think it's a good start to this whole financial year. And that's what we just expect that we continue to execute on the same lines.
And if nothing materially changes in the external environment, we should be able to continue to execute in these lines into the coming years as well. Because majority of our businesses, which today provide majority of the profits and majority of the revenues are largely, India centric growth execution, because India is growing, truckers are growing. We build products very special customized to them.
We've built servicing networks very customized for them. So, I think whatever we're doing, I think should continue to happen as we keep executing into the next quarters. Thank you so much. And as we promised last quarter, we will not really be doing the earnings call in a haphazard way, because last time we gave you probably 5 -10 minutes before the earnings call, we uploaded the results. This time, I hope you guys had good time to go through it and ask questions. So, we are improving our internal cadence in all of this.
We are new to this. But I think in few quarters, we should have the similar discipline which you guys experience with your other public market company portfolios. And we will get there with the discipline and rigor what is needed to operate a public company. We're learning and we're in the journey. Thank you so much for joining and look forward towards meeting you in the next quarter.

Moderator : Thank you very much. On behalf of Zin ka Logistics Solutions Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines. Thank you.

Call: May 2025

Ref: BLACKBUCK/CORP /2025 -26/35
May 30 , 2025
To
National Stock Exchange of India Ltd.,
Exchange Plaza, C -1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051 To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code: 5 44288, Scrip Symbol: BLACKBUCK, Series – EQ
ISIN - INE0UIZ01018
Dear Sir/ Madam,
Sub: Transcript of the Earnings Conference Call for Analysts and Investors conducted on May 27, 2025 .
Ref: Disclosure under Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .
Pursuant to Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby provide the transcript of the Earnings Conference Call for Analysts an d Investors conducted on Tuesday , May 27 , 2025 during 05:00 PM (IST) to 6:07 PM (IST) .
Enclosed is the transcript of the Earnings Conference Call, which is also hosted on the website of the company. The link to access the transcript is provided below:
https://www.blackbuck.com/investor -relations.html
Kindly take the above information on record.
Thanking you
Yours Sincerely,
For Zinka Logistics Solutions Limited

____
Barun Pandey
Company Secretary and Compliance Officer
Membership No: A39508

"Zinka Logistics Solutions Limited
Earnings Conference Call "
May 27 , 202 5

MANAGEMENT : MR. RAJESH KUMAR NAIDU YABAJI – CHAIRMAN ,
MANAGING DIRECTOR AND CHIEF EXECUTIVE
OFFICER – ZINKA LOGISTICS SOLUTIONS
LIMITED
MR. SATYAKAM NAIK – CHIEF FINANCIAL
OFFICER – ZINKA LOGISTICS SOLUTIONS
LIMITED

MODERATOR : MR. ANKUR PANT -- IIFL CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to Zinka Logistics Solutions Limited Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
Please note that a copy of the disclosure is available on the Investor Relations section of the website as well as on the stock exchanges. Anything said on this call which reflects the outlook towards the future or which could be construed as a forward -looking statement must be reviewed in conjunction with the risk that the company faces. Please note that the audio of the earnings

call is a corporate material of Zinka Logistics Solutions Limited and cannot be copied, re -
broadcasted or attributed in the PR media without specific and writt en consent of the company.
I now hand the conference over to Mr. Ankur Pant from IIFL Capital. Thank you and over to
you Mr. Pant.
Ankur Pant: Hi, good evening, everyone. On behalf of I IFL Capital, I welcome you all to the Q4 FY25
Earnings Call of Zinka L ogistics Solutions Limited. To give you an in -depth understanding of
the and answer all your queries, we have from the management team Mr. Rajesh Kumar Naidu
Yabaji, CMD and CEO and Mr. Satyaka m Naik , CFO.
With this, I would hand over the call to Mr. Raje sh. Thank you. Over to you Rajesh.
Rajesh Yabaji: Thank you so much Ankur. Good evening everyone. Welcome to our third earnings call and also
the summary of the last whole financial year. Am I audible? Can the I IFL team confirm please?
Moderator: Yes sir, you are audible. Loud and clear.
Rajesh Yabaji: First, giving a snippet of the whole financial year which went by. This is the third earnings call.
This is Q4, '25 is what we will be presenting and a full year FY25 numbers. We did gross
revenues of totally INR462 crores last financial year, which is a growth of roughly about 46%
on a year -on-year basis. Continuing to operate in the dimension of platform -led revenues,
software -led revenues which have high contribution margin profile.
Our contribution margin profile continues to be steady in the range of 93 %-94%. We made
INR429 crores in contribution margin in the last financial year, which is a 49% growth on a
year-on-year basis, which led to delivering an adjusted EBITDA of close to about INR139 crores
in the last financial year. Adjusted EBITDA does not include basically the ESOP costs.
Everything essentially gets factored and that is roughly close to about 10 times growth over the
last financial year. Last financial year when we went public and filed the DRHP, that number
was close to INR13 crores -INR13.5 crores and that number today is roughly closer to INR139
crores. These are revenue numbers which in our business model typically lags the platform
activity.

As you can see, we have close to, in the last full financial year, close to about 7.2 lakh transacting
customers, which is roughly 20% of India is what transacts with us on a yearly basis, which grew
at roughly about 21% on a year -on-year basis. Users continue to deepen and users continue to
use more services. Close to 3.5 lakh users are using more than equal to two services, which
shows the love for services, deeper penetration and cross -sell, up -sell which is happening, which
is roughly a growth of roughly about 32% year -on-year on a customer basis.
Payment, which is one of our leading verticals of revenues and a large part of that comes from
tolling continues to grow at a very healthy pace, which has grown at about 34% year -on-year
and we hav

e done close to INR23,000 crores of payments in the last financial year.
Committing into our strategy, which I think has been consistent over the last four years of
execution, we as a company continue to grow profitably. At the same time, not at all
compromising on aggressively investing into problem solving fo r our customers, which will
unlock new growth opportunities as we keep moving along.
Taking a step back and reflecting on what really the company is trying to do, as all of you know,
we are executing in a space of trucking in the country. Trucking is the majority mode of
execution of goods transportation. It's close to about a $180 billion freight industry, which is
growing at about 8 %-9% CAGR over the past five years.
Largely operated by small and medium scale truck operators, 75% of these trucks are own ed by
people who own less than five trucks. And t he universe of India is roughly 12.5 million trucks
owned by 3.5 million truck operators. Each and every area in the journey of a truck operator
when he enters the business, right from buying a truck, to fin ancing it, to getting loads, to
payments, to compliance, and to maintenance.
The industry is basically layered by intermediaries. Industry is largely inefficient and has a huge
room for improvement, both from a predictability of customer experience perspe ctive, cost
perspective, expansion of business perspective. We believe that the macro problem of inefficient
logistics costs and a deep bottleneck logistics ecosystem for the country, where Indian logistics
costs are 14 %-16% points, most of them are basica lly anchored in the microeconomic problem
of how a truck operator operates in this industry.
So, BlackBuck started off as a company to really look at how can we build a new avatar of
trucking in the country, really unlocking that, disrupting this industry . That particular vision, we
believe can be realized by really unlocking and really making truck operators' lives seamless.
And that's the mid -term vision, probably a 4 -5 year vision, which we'll be essentially executing,
which will pay way for us to play a much larger role at transforming trucking for the country.
Moving forward, that broader view into what is the crux of the strategy, which is delivering

revenues, delivering profitability, building BlackBuck from strength to strength. We spoke about this in the last two earnings calls also and we'll keep iterating this. There are three key , sort of dimensions in which most of the people in the company work in.

The first key dimension is essentially offerings. Offerings is nothing but problem solving, solving for every pain point of a truck operator. Every pain point probably may not be commercially viable today but then gets viable in a few years or a few quarters. For example, fuel sensor was one of the products which we probably first introduced or firs t fuel sensor we installed in the country, in our company, was in the year 2018.
But the whole economics in terms of the cost of a fuel sensor, in terms of what money a truck operator was willing to pay at that point in time, did not make that business via ble. But we continue to iterate on that particular business model and that business model became viable over the last two quarters and we are scaling really well in that business model.
So that's the role of offerings dimension, where the goal of those te ams is to basically take a problem of a customer and try to keep solving for it, try to create customer value, try to create a commercially viable proposition. And today, obviously, all these offerings are live. We do tolling, we do vehicle tracking, we do fuel payments, we do vehicle finance, we enable truckers to fill their return hauls and get them more efficient.
We have a fuel sensor platform, we've got FleetDock . Like this, there are multiple other features u

nder development, which we keep working on and launching. All these offerings sit on our platform. Our platform is nothing but the customer app on the front -end side and a huge number of APIs and services which we've built inside the BlackBuck platform. This platform is basically probably the stor ehouse of most of the value, what the company today stands for, which is basically having 7.7 lakh transacting customers in the last quarter.
The earlier number of 7.2 I presented, that was the annual monthly transacting average. This number is only the l ast quarter's average. That is 7.7 lakh customers, which is growing at close to 20% on a year -on-year basis. And we are the top -of-the-mind recall when you say digital truck operators. The usage keeps deepening. So the usage is 44 minutes daily app usage b y the truck operators. So that's the platform which continues to scale, continues to deepen.
And what is really important about this platform is that the launch of a newer offering essentially gets penetrated across any trucker across the country in a very low -cost way. And that's how new verticals keep getting launched. Powering this platform is the most important vector fo r us, is the distribution workforce all across the country.
Truckers have a persona which are largely middle -aged, 35 to 50 years old, largely uneducated. So how do we really reach to them and service them? That's the story about distribution. So, we have a 10,000 people touchpoint network all across the country. We have presence in 85% of the districts today, and that's a very wide reach. Within this touchpoint network, there are technicians, there are channel partners, there are our own workforce, there are agents standing at toll plazas. There are a varied degree of people who typically sell to a customer or service the customer.
So, this is our revenue delivery engine. We create offerings, offerings are launched on our platform, platform continues to g et stronger. Newer offerings launching become easier. And

aided by a very seamless, efficient, low -cost distribution, the widest distribution network coverage to all truck operators, which is one of the biggest modes for us in this business.
Now, moving into giving an update on what happened last quarter and what happened in the whole financial year. These are the key KPIs which we talked about in the previous earnings call as well. Starting with the first one, which is the platform metric in terms of wha t is the monthly transacting truck operators on the platform? As I mentioned, that's close to 7.7 lakhs, which was 6.5 lakhs last year, which is growth of about close to 18% on a year -on-year basis, which on the financial year basis has grown from close to 6 lakhs to 7.22 lakhs, which is roughly 21% growth.
Wherever there is a FY narration, I will narrate it separately. If not, I will continue on the quarter -on-quarter basis. Then, similar to that, the monthly transacting users using at least two services grew about close to 27% on a year -on-year basis. Time spent on the app grew by close to about 9%, which stands to get close to about 44 minutes is what an average customer is spending time on the platform.

GTV on payments, last year, same quarter, we did close to INR5,000 crores, which grew to about close to INR6,600 crores this quarter, which is a growth of about 33%. And on the whole financial year, grew from 17,300 to 23,000, which is a growth of 35%. Synonymous to that, the payment transactions will fl ow with a synonymous thought process.

Coming to gross revenues, in this quarter, we did close to INR137 crores of gross revenues, which is a growth of about 38% on a quarter -on-quarter basis. In the full financial year, as I presented before, it is INR462 crores on a financial year ‘25, which is growth of about 46% in the last financial year.

Revenue fro

m continuing operations did a growth of about 31%, and on an overall financial year, was roughly about 44%. Revenue from growth businesses, which removes the core verticals of tolling and vehicle tracking, that grew at roughly about 90% on a year -on-year basis in FY25 , and it grew about close to 50% on a year -on-year basis in 4QFY25 .

Moving forward, contribution margin profile, synonymous to that, the contribution percentage from growth businesses increased from roughly 11.5% to 13% in this particular quarter.

Contribution margin profile, again, similar growth frontier, roughly 40% more from a quarter -on-quarter basis, and 49% from a year -on-year basis.

Contribution margin profile continues to stay steady, as we discussed in terms of, you know, the nature of revenues continues to remain same. Last year, same quarter was 92%, this year is abou t close to 93%. All of this brings us to delivering an adjusted EBITDA in this quarter of roughly INR54 crores, which was in the same quarter last year, roughly about INR17 crores, which is roughly a 2.2x growth, and more notably, the full year numbers, be cause last year was the year where probably we broke even in the middle of the year.

From a financial year perspective, we delivered INR13 .5 crores in adjusted EBITDA in FY24, which grew to 139 crores in FY25, which is again the testimony to the quality o f revenues and

the operating leverage which we've been able to deliver as a company. Furthermore, going deeper into the adjusted EBITDA metrics, if we remove the other income part, which is largely the interest income, we delivered close to about INR39 cro res of adjusted EBITDA this quarter, which was in the last year, INR10.5 crores, which is again a growth of close to three times.

But more notably, in the last financial year, removing interest income, we were basically negative INR6 crores, which has jum ped to now INR103 crores. That's a good performance. Largely, most of this performance was locked in probably, let's say, a few quarters, a few years back because of the delayed nature of the profitability profile of our business, where we do most of the s ales and acquisition and incur costs in this quarter. The revenue compounds, because those cohorts of customers not only continue to give us revenue, but also continue to expand and that's the reason for the operating leverage.

Summarizing these numbers i nto more narration in terms of what really happened in the last quarter and the last year, as we discussed in numbers, 37% growth in the last quarter year on year and FY25, 46% growth. But if you double click into the core businesses of tolling and vehicle tracking, one of the good milestones for us was we've received the in -principle approval for the PPI license in the last quarter and it will take us probably in a few quarters to operationalize that.

This will really help us gain an end -to-end ownership of the payment stack, which will enable us to deliver a very superior customer experience. Definitely, some economics will also improve over the period of time. But the most important thing is that this is one of the core business verticals for us. This gi ves us end -to-end ownership in this particular business.

Second area, area of telematics, which is the second largest contributor to revenue for us. In that, there is a device specification called AIS device, which is basically one of the prevailing devic es wherever the government mandations typically happen. There, we've developed the new hardware from scratch, which has got ICAT certified , so that will be a BlackBuck device from an ownership perspective end -to-end.

For that, we've been able to establish over the last year a supply chain in terms of sourcing, manufacturing, components, etc., which not only has helped us improve customer experience, but probably makes us the lowe

st cost device manufacturer and procurer in the country, which gives us a very strong price advantage, which will help us build scale at a much faster pace and capture a much higher market share.

Moving into the growth businesses, there notably, there are three businesses which typically have been driving a large part of the growth . One part is the fuel sensor, which we gave an update last quarter that that vertical has broken out. The last quarter, we were able to double the sales

from the previous quarter, which is a good milestone.
There, we are basically fixing continuously the whole product experience, fixing the whole installation experience, because it's a very involved product from the perspective of customer.
Second vertical, which is the used PV loan vertical. In that vertical, we continue to scale with

our partners. We've extended this particular -- last financial year, we used to operate more close to about 50 hubs. Here, we have doubled the hubs in the last financial year, and we are offering this service in close to 100 hubs.
This vertical continues to scale. Although, given the whole macro environment of last year, our partners were going a bit slower in terms of disbursements. We definitely did not see the kind of scale we thought we would foresee, but then obviously, there's good growth in this particular segment. Being in the lending space for our partners, it's better that they grow slower with a very high-quality portfolio quality. I think that's more important here than really blitzscaling on a growth perspective.
The third biggest vertical for us is the loads v ertical, where, as many of you know, that we started closed looping the loads, which is going to be the bigger future for the loads business. There, that business continues to take shape. Obviously, that business, because it is at a very smaller scale, the y're growing in multiples from a quarter -on-quarter perspective. But there, the biggest focus today is on product development.
We've built the whole end -to-end fulfillment stack, the payment stack, the customer experience stack. Most of the work happening there is to really deliver strong customer experience to our truck operators who are using the platform in terms of payments, in terms of on -time fulfillment, and all of that. Most important there is, how do we really create a playbook for scale? Because availability of supply for BlackBuck is not a challenge.
We are present in very high market shares, anywhere in the range of 15% to 70%, depending on state to state. So, scaling that playbook will not be a big challenge, but I think creation of the playbo ok is the most important thing there, and that's where most of our eyes and attention is focused at this point in time.
Going into platform metrics, I think steady growth over there, as we discussed, monthly customers are growing, payments, GTV is growing , time spent by the users is growing on a year -on-year basis. Thirdly, the profitability, as we read out the narration, adjusted EBITDA in the quarter, on a year -on-year basis, increased by close to about INR37 crores. And in the whole financial year, we c reated a shift in roughly close to INR125 crores in the overall adjusted EBITDA. That's, again, the testimony to the quality of the business model we've been operating and continue to operate.
As always, we've explained to you the reason for -- explained to you using the slide, the context in operating leverage and the quality of operating leverage we've been having. So, if you can see from a revenues perspective, on a year -on-year basis, we grew about close to INR37.5 crores. And most of that revenue, mos t of that gross revenue converted into adjusted EBITDA, which shows the leverage from an operations perspective. So, 99% is the efficiency there.
Then when you look at it from a sequen

tial perspective, we've grown roughly close to INR14
crores. And out of the INR14 crores, INR12 crores has flown into EBITDA, which is about 84%.
So again, reiterating, the drivers of operating leverage are that recurring, most of the revenues

are recurring in nature, which means users have acquired let’s say in fin ancial year 2021. Those revenues continue and we don't really have to incur any costs to gather those revenues every year.
So hence, those revenue profiles continue. And because most of these revenues are platform in nature, in terms of subscription, in t erms of net commission -based revenues, it's a high contribution margin profile. And it's a very strong flow -through from revenue to contribution.
And as we've always discussed, the user retention, typically three to four years, after three to four years, f latline, we hardly lose users. And because of the quality of products we've built and users retain, and our revenue retention rates, as disclosed in the DRHP as well, as you can see, have been very, very strong. So that drives the whole operating leverage.
And obviously, to add more revenues, we don't really spend any money from the perspective of asset deployments with the asset -light business, and hence the scalability of the business model as well. So basically, summarizing in one line, platform, Blackb uck platform net revenues are

driving a strong P&L for us, and which drives strong operating leverage.
Giving a snapshot of the quarterly P&L, as you've seen last quarter as well. There's a shift in P&L from negative INR6 crores in Q1 of 2024, steadily in creasing because we are having a consistent revenue growth, and most of the revenue growth and efficiency of 80 % to 90% has been flowing back into bottom line. And that's resulting in quarter -on-quarter profitability, sequential profitability, continued to compound. And where we stand today is our adjusted EBITDA to revenue.
This percentage of adjusted EBITDA has already reached close to 40%, which again is basically the quality of revenues which is helping us reach here. Giving a more accounting snapshot o n what PAT looks like and the waterfall from revenue to PAT. Revenue from operations, as we discussed, INR122 crores, moving into with other income, total income being INR137 crores, with direct costs largely growing lower than the revenue growth rate beca use of the nature of optimizations in place.
That has grown about roughly 16%, which led to increase in the overall contribution margin to about INR127 crores, which is about close to 40% growth on a year -on-year basis. And total expenses, as you can see on a year -on-year basis, continue to stay steady, continue to stay flat. Because as you know that we've achieved critical scale in terms of our platform, where 20% of India's users transact on a monthly basis.
And in the verticals, we operate where we dir ectly acquire customers for revenue. Most of our investments in terms of the scale of investments have reached, which means our penetration levels in terms of PIN codes are there. So, we don't foresee, even in the future, massive expansion in our sales and marketing budgets.
And that's the reason why you can see that there is marginal or no increase – there is no increase in our total expenses, which are steady at INR83 crores at a quarter level on a year -on-year basis, which helped us create an adjusted EBITDA of INR54 crores. And if you remove the other

income, which is largely the interest income the adjusted EBITDA essentially becomes INR39 crores.
And another imp ortant metric, which is basically PBT, where you basically add the cost of ESOP, but you exclude exceptional item and you exclude the discontinued operations, which is probably a much better quality of metric

from a company's profitability perspective. That's
trending close to about INR42 crores, which largely in a normal quarter would have mimicked the PAT.
But in this quarter, because it's the first time we have delivered PAT, there is an accounting transaction where the profits, the losses, the carry -forward losses of the past basically have been accounted in the -- deferred tax has been recognized on the balance sheet and credit to the P&L has come through. Sorry, I was just taking Satya's help to narrate that. That's why you see a non -usual PAT getting created of INR280 crores.
But largely, the PBT number is more where we can get anchored is where the PAT reflection is going to be, which is obviously from a financial year perspective, roughly at close to INR91 crores. If you look at adjusted EBITDA for the whole financial year, which is roughly INR103 crores. And if you remove ESOP charges of the last year, that comes to about INR91 crores. And for the future ESOP costs, there is a schedule provided by our team in terms of what you can expect in the fu ture. Of all the granted ESOPs as on date, you can see the sc hedule of those charges. So yes, that's at a summary level what the profitability profile looks like, the waterfall of profitability.
Now from a walkthrough from PAT to EBITDA, fairly simple . Profit after tax, roughly about INR280 crores. If you add back the profit and loss from the discontinued operations and then the income tax expense, which we talked about and the depreciation, amortization and the ESOP -based cost, et cetera, you arrive at the adjusted EBITDA of INR54 crores and other income of INR15 crores, you basically get to adjusted EBITDA excluding other income of INR40 crores.
So that's a simple walkthrough. And that's all from our side. Would be happy to take questions.
Moderator: Thank you very much. We'll now begin with the question -and-answer session. The first question is from line of Sachin Dixit from J M Financial. Please go ahead.
Sachin Dixit: Yes, hi. Congrats Rajesh and team on a great set of results. And I had a couple of q uestions. My first question in regards to -- sorry, there's a lot of background noise. Can you hear me? Hello, can you hear me?
Management: Now, is it okay. Now we can hear you. Sachin, you repeat that please?
Sachin Dixit: Great. So basically, my first question is on telematics side . So, if we think from a truck operator's angle a nd obviously, during the DRHP and all, you have highlighted why a GPS device helps a truck operator and all. But other than regulatory requirement, do you like what value proposition

does a typical truck operator see in telematics device?

Are they willingly paying for that or only when regulatory push comes that they are willing to pay for that? And similar in terms of fuel sensor , how do you think of the value proposition from a truck operator's angle versus what do you think?

Rajesh Yabaji: Yes. See, basically, telematics at an overall level in the Indian co ntext. So Indian context, like India is a land of first of all truck owners who employ drive rs who drive the truck, which is the largest majority. Now, one of the biggest problems for a truck operator is to have control over the truck and the driver, when the truck is essentially not in front of his eyes and doing long distance trips.

So today, n ow, if you segregate telematics into two parts, one is vehicle tracking and second aspect is basically fuel sensor. Vehicle tracking, the biggest value prop for a customer is driver management in terms of where the driver is, how much distance has he trave led today, what speed has he traveled today, speed alerts in terms of over speeding, etcetera.

Second biggest value proposition is that when he's filling a load for a particular customer, the customer's anxiety in terms of where

the truck is, will it reach on time, you have said that it will reach by 5pm, I can't see it anywhere, like where is it? He says it's two hours, but then he doesn't believe him.

In terms of sharing the information on the whole on time delivery. The third part is a little bit because let's say our product is a very low ARPU product in terms of the cost. So, if you look at in terms of the driver in terms of truck like truck prevent ive health maintenance, driver like driver's driving behavior in terms of harsh acceleration, harsh brakin g is basically what gets captured in our device, which gives the indicator of quality of driving for the truck owner.

So essentially, everything about like gaining control over operat ions and the driver management, when he's sitting remotely in his own vil lage, but the truck essentially is flying all across the country is the biggest value prop. Along with this, there is obviously a more risk use case, where we also provide a facility to remotely turn off or on the truck.

Assuming that the driver is drunk a nd driving and the owner has lost control on him, he would like want to turn off the truck, he can do that remotely. Essentially, vehicle tracking solution is all about this. Now, within the vehicle tracking today roughly about 25% plus of the devices we sell are of AIS standards.

These most of these devices are largely driven by mandation, because the ARPU of the AIS devices, the cost which the truck operator pays for the AIS devices is also on a higher level. So, answering your question, value prop is strongly driver management led and customer experience led in terms of delivery of goods.

Under that there is 25% of the device sales are driven by mandations. Those mandations are again state specific from a mining area perspective, passing perspective, depending on different needs which the government wants to govern in terms of vehicle movement. So today, summarizing today it's a larger use case, which a truck owner wants to use a device to manage his operations e ffectively.

Now, this is the whole vehicle tracking part of it. Fuel sensor part of it is completely to do with his need. Fuel is the largest expense for a truck operator. If you take a long haul truck operator, it will anywhere range between 45% to 60% w ill be the expense of fuel. Now, the biggest fights between an owner and a driver happens is bas ically on theft of fuel a nd because fue l is the largest expense, number one.

Number two is that a lot of fuel stations like a lot of fuel stations are non -stand ardized. So, you also don't know when you're filling fuel, whether you're getting 100 liters, when you pay for 100 liters are you getting 100 liters or not . So, fuel sensor is all about being able to keep track of how much did I fill fuel, when you have do ne 100 kilometers, how much fuel did you consume.

Any sensitivity on a threshold of probably few liters, maybe 4 liters, 5 liters gets detected by the fuel sensor which we provide. So, the whole use case is with paranoia on really managing fuel fill fridge effectively for the truck operator is what is why they pay for fuel sensor.

Sachin Dixit: Because Rajesh, I think basically one thing that I wanted here was like, I understand what value proposition you are providing , but from truck operators angle why ex actly is he actually using that? Are they really able to manage, for example, some truck operators that we speak to they are like we know driver is deceiving us on the amount of fuel that they are buying .

And selling and removing it from the tank and all t hose things. So, does the truck operator really
believe that they can actually control it by having these tracking devices or this is more of some
of them are maybe taking it?
Rajesh Yabaji: Yes. So, this is a value proposition we provide because a truck o wner wants i

t. See earlier we
were selling this product in the ARPU range of 15,000 to 25,000. It was not getting sold because
it's a v ery high value product for him, b ut then when we were able to really re -engineer the
device and were able to really work on the cost of the device and really bring down the price,
the whole product has taken off.
So, it's a product we've built because there was a need and there was an ask by the truck
operators.
Sachin Dixit: Understood. Thank you. My second question is tha t there are some market chatter that one of
your telematics peers is looking to also enter the profit pools that you have showed thanks to
getting listed and showing those brilliant numbers. What is your view on that? Why do you think
they will have a play or might not have a play?
Rajesh Yabaji: See basically, I mean sorry, but like I think I am not in the information on which name you're
referring to. But at the end of the day as I mentioned in the earlier part of the presentation, in
terms of the three capabilities on offerings, distribution and off ering platform and distribution.
The only reason why we are able to deliver our revenue profile and profitability profile is by
really out -investing in th ose areas over the last 5 years.
And we continue to de liver the best in -class product experience for the customers. We've built
by hours of research and hours of hard work and I think it's obviously more competition in this

space is always better because truckers i s the community where there are very few peop le who
are hand -holding them and really creating very good solutions for them.
And we believe if there are more players, it will really help build a whole space very fast because
the space is hardly lubricated and if more people can do more bette r work, b etter for the industry,
probably we can do much faster.
Sachin Dixit: Sure, Rajesh. One housekeeping question, if I can quickly squeeze in. DNA expense seems to
have jumped quite sharply. Just explain the nature of it and I'll get back to th e Q&A and all the
best for FY26?
Rajesh Yabaji: Thank you. Yes , DNA expense has jumped very quickly.
Management: You mean other expenses Sachin?
Sachin Dixit: Sir, I'm talking about depreciat ion only?
Management: Yes, depreciation was on account of it's a one -time, so we did a physical verification like we do
at the end of the year and there were some CPS devices where we had to take some accelerated
depreciation. Generally, it should stay in the range of the INR8 crores to INR10 crores as we
move forward.
Sachin Dixit : Got it. T hank you and all the best for FY26 .
Moderator: Thank you. Next question is from the land of Abhishe k from ICICI Securities. Please go ahead.
Abhishek: Hey, hi. Congratulations on a great set of numbers. Just a couple of questions from my side. Am
I audible there is a lot of noise.
Rajesh Yabaji: Yes, we can hear you.
Abhishek: Yes quickly. So, from this P PI license, what is the upside that you see in terms of take rates for
the business?
Rajesh Yabaji: Can you please repeat your question? Sorry, we couldn't hear you.
Abhishek: Because of this P PI license coming in, what is the upside in terms of take rate that you'll be able
to get?
Rajesh Yabaji: Yes, so basically of the total revenue pool which is out there and whenever we do a transaction,
of the 100 we typically keep close to about 80. And the remaining is with the partners. So that
upside you would get, but we don't foresee that upside coming in au tomatically because we have
a huge customer base and we will continue to be working with partners.
This is basically a license which we'll use to probably innovate a bit for the customers and
probably to improve a bit of cus tomer experience, b ut you would not see the improvement in the
take rates immediately.

Abhishek: Got it. With regards to the telematics device, are you actually looking at manufacturing it or are you sourcing it from outside somewhere?
Rajesh Yabaji: Yes, we typically have a full contro l on the bomb. We have the control on the design. We own the design as well. And we typically do a lot of like the recent product which we've created, this was a project with a supplier in China for a good long period. And we typically invest in the lab and we sort of create the product. We obviously do the same thing in India as well.
So, we've got suppliers across India and China as well. So nowhere we are manufacturing the product. We don't foresee the value add from a manufacturing would really justify getting into that core activity, b ut in terms of firmware level coding, in terms of really bomb, in terms of what device to build, in terms of really keeping the whole information and knowledge in terms of how to really get the device done, that we keep i n house.
But then getting it done, we typically depend on our partners outside from a manufacturing standpoint.
Abhishek: Understood. Now for both the tooling business and the telematics business, what is the risk that the original equipment manufacturers will start installing these things into their products and more as things go on? And is that a risk to your business?
Rajesh Yabaji: Yes. So, OEMs like not only in like , let's say, as you rightly said payments and telematics, not only in any of these, the y have generally been providing this not only now o ver the last five years. On tooling, the most important thing to note is that first of all tooling when it happened, it was a stock business.
New vehicles obviously kept coming over the period of time, b ut remember that anyone who's buying a new vehicle typically is a large fleet operator who has like more than 10 trucks. And if 10 fleet is operating with, let's say, provider like us when he' s buying extra two trucks , it's very hard to have a different pro vider for that.
So that typically ensures that in tooling, every new vehicle which is being bought, our relevant market share typically flows to us. So, there we don't see any threat at all. And obviously, the kind of distribution we have, we cover the ne w dealerships, we cover all the truck operators. So, we have a very strong sort of presence there.
Now in terms of telematics again, not only now over the last 10 years, telematics devices were being provided by the OEM continuously. OEMs operate at a par ticular price point, which is generally very high. And that provides also very, very high reliability of the product. We as a company have operated at different price points in terms of driving g rowth in telematics categories, b ut those high price points n ever work.
Roughly our price point when we first sell a device, including the device and the first-year subscription, roughly cost us about INR3,500 for the full year. Now, OEMs would operate at multiples of price point to that. So, we have a very strong price point advantage . Second is, in

terms of the kind of product this is, in terms of the kind of serviceability needs to be provided, we've got like high, very high number of technicians who are deployed all across the country. So, in terms of our focus, in terms of running this product is like very high, which typically and we end up providing a very high customer experience. Thi rd point, again, same as tolling like, becau se majority of these large fleet operators operate on our te lematics devices, whenever they buy a new device, they typically would want to fit with the same platform as they have been using.
So, we've never seen any kind of a resistance with a new truck versus an old truck. Our sales have been pretty, pretty much secular across any kind of a

customer footprint.
Abhishek: Understood. Now, with regards t o the loads brokerage business. S o that has been tried quite a few ti mes in the past as well, b ut what gives you the confidence that this time what you are trying to do will probably work better?
Rajesh Yabaji: Yes, so basically explaining the load s at a very broad level. Loads in the industry in India is a $200 billion industry, $180 to $20 0 billion industry. Of that, if you remove part truck load, express, e -commerce, like you remove everything which is very specialized in nature, over dimensional cargo and many different, many of those industries . You're left with a time of like anywhere i n the range of $120 billion, which typically operates in an open market load scenario.
We are as a company have been trying to address that particular business. That's the broad sort of background. Number two is that the way this industry operates is that the load typically originates from enterprises and SMBs. SMBs probably originate 60% of the overall loads and enterprises originate about 40%. And as the industry fragmentation of supply side stays the same, 70% of the trucks owned by les s than 5 truck op erators.
And the industry has two layers of intermediaries. One layer is the small broker layer. There are about 2.5 lakh brokers in the whole country who are organizing supply. Other layer is basically

the bigger broker layer, which is basically organizin g the demand. Roughly about 10 ,000, 15,000 of those guys exist.

As you rightly asked, there are various attempts by BlackBuck in this indust ry to solve the loads marketplace problems. The first product market fit of BlackBuck was basically the enterprise kind of a model where we were like any other big broker and we're trying to crack the whole marketplace. But the biggest problem we were not able to crack that business was because we never had a highly scaled supply.

Number two, these enterprises work on working capital, which is a very hard thing to manage because in India, nobody pays on time. They say it's 30 days, 40 days, but the money come s back in like 120 days. So, it was an unscalable model. Whenever we scaled immensely, whenever we scaled exponen tially, we lost more money that was a model which we did not continue.

That is why if you saw, we pivoted towards the whole strategy of saying that we need to solve supply. That's what as I opened up my presentation, I was explaining that we need to first organize truck operators lives around them. So that was the first foray back in 2018 -19. We basically pivoted into a strategy of saying that let's build fleet management services for truckers. That's how we organized payments, telematics, etc etera which basically became acquisition engines. Not only acquisition, are also delivering today 's revenues and profits. So those are acquisition engines a nd whe n we actually built closer to 2 lakhs to 2.5 lakh truck operators base, that's when we launched the classifieds version of the loads.

Classifieds created the new go -to-market, which is basically a very technology -led opportunity which paved way into launching loads. And as you can see in the DRH P, in the last financial year we did close to about 2.2 million loads. This year the number of l oads, we have done close to 3.1 million, 3.2 million loads. So that business is scaling continuously.

But in classifieds, because it's a verticalized classifie ds platform, delivering high trust and delivering strong customer experience is really not possible. So, the newer, the entire evolution of classifieds into brokerage is what you are seeing this year. And that's the center stone, cornerstone of the strateg y for this year, wher e all these classifieds.

Basically, wherever our ability to close loads is higher, wherever we have more amount of supply and more obviously

closer to home, Bangalore, we started the brokerage model where we don't earn only by subscrip tion. Let's say on the classifieds model, we only earn INR 12 on the customer side, on the shipper side and we earn about INR20, INR 25 on the trucker side from a load perspective. But in terms of brokerage, you earn anywhere in the range of , like long-term steady state commission rates are going to be higher. But even now, we are earning between 6%-8% on a transaction basis, right?

So that's the whole flip. And we believe that by being the most dominant player on the supply side, by having the highest mindsh are and the trust of truckers, who are already trusting us with payments, which means they are paying to us. So obviously, they will trust us a lot when we will be paying to them in the brokerage transaction. We believe, you know, this is the, you know, marketplace problem through marketplace approach through which we would be able to really solve the intercity trucking problem.

Moderator: Thank you , Abhishek . I'll request to come back for a follow -up question, please. Next question is from the line of Mani sh Poddar from Invesco Asset Management. Please go ahead.

Manish Poddar: Yeah. Hi, thanks for doing the call. I have three questions. The first was, regarding this telematics …

Moderator: Manish , sorry to interrupt you, we are losing your audio. Can you please come in a better reception area, please?

Manish Poddar: Yeah, is this much, is this any better?

Moderator: Yes, please go ahead.

Manish Poddar: Yeah. So, you know, Rajesh, first one, if you can help me understand, let's say in this telematic s, now, let's say, what is the, you know, the cost of making the device? And let's say, when you sell it with a bundle, or let's say the fuel sensor, you know, what is the pricing like? And in the same thread, in your understanding, what would your market share be in telematics?

Rajesh Yabaji: Yeah, so basically, on the cost side, Manish, I think it will be very difficult for us to disclose that because these are this competitive information, right? So, I will not comment on that. In terms

of market share, you know, we believe that in terms of the total telematics devices, which are sold in a on a monthly basis, I think we are probably able to capture roughly close to about 30% of those devices. This is on the vehicle tracking side. And on the fuel sensor si de, also probably this will be a bit more, probably more than the 40%, 40 %-45% range.
Manish Poddar: And cumulatively, what is the price now? Let's say if one takes the telematics with the fuel sensor, what is the combo cost?
Rajesh Yabaji: What is the?
Manish Poddar: What is the combo cost? Let's say, has that come down is what I'm trying to understand.
Rajesh Yabaji: Cost to the customer?
Manish Poddar: Combo.
Rajesh Yabaji: Combo cost to the customer will be between 8 to, yeah, between depending on cus tomer to customer, this is volume discount between 8000 to 10,000.
Manish Poddar: Okay . So, this has come down from the last quarter, is that so?
Rajesh Yabaji: Of course, yes.
Manish Poddar: Okay . And so, and the second area which I want to understand is let's say this freight brokerage, how many hubs do we have right now? And let's say what are the sort of people investment which has gone there?
Rajesh Yabaji: Investments in brokerage, like as any marketplace, the investments are on two sides, investment on demand side, investment on supply side. In trucking, because shippers are always searching for a truck, and that is the reason why 2.5 lakh brokers in the country exist, because trucks are, you know, wherever they are, and they need to be, you know, figured out and they need to be matched, right?
So, development of -- development cost of demand side is generally fairly lower, development of cost of su

pply side is generally very high. But given ou r strategy, where we acquire truckers using telematics and tolling, and then basically on loads, they get essentially, you know, a cross sold, our supply costs are like close to like, you know, negligible or zero, and large part of our costs are in demand side, right? And the -- if you're asking me in terms of whether the investment

on the brokerage side, are they really material from a P&L perspective, the answer is no, at this point in time.
Manish Poddar: So, if I get it right, you said Bangalore is one hub, which we've started, have we -- haven't taken this pilot to another hub, is what I'm trying to get some sense of.
Rajesh Yabaji: Sorry, I have not been able to hear you, Manish.
Manish Poddar: No, no, so I'm saying let's say Bangalore is one hub where you've taken this business, right? So, I'm just trying to understand h ave you started doing it in other hubs also, and how many hubs right now?
Rajesh Yabaji: Yeah, Bangalore is the first hub. And again, Bangalore also, we are, basically, we want to reall y double down and deepen in Bangalore. And as you rightly have asked, we are live in totally five hubs. But yes, I mean, the business is largely in a, you know, playbook building phase. And, you know, very, very hard to explain any form of the business at this point in time. But yes, yeah.
Manish Poddar: Okay. And Rajesh, if I can squeeze in one last one, let's say in terms of this growth businesses, you know, which have roughly doubled in size, if I look at a full year basis, can you help me understand, le t's say, you know, incremental, in terms of incremental contribution, let's say, you know, if I had to think about it, what are the larger parts in that?
Rajesh Yabaji: What are the larger costs?
Manish Poddar: Larger parts, let's say in terms of delta cha nge in revenue.
Rajesh Yabaji: Larger parts . Yeah, s o basically, yeah, yeah. So as, you know, mentioned before, broadly, the mix, you know, is similar. You know, the vehicle finance business would be the, you know, largest in that. And then the loads broke rage business, and then the fuel center business. Largely from a, you know, timing and the scale of the businesses perspective. Yeah.
Manish Poddar: Okay. Okay. Thank you so much.
Moderator: Thank you. Next question is from Nilesh Jain from Astute Investme nt Management. Please go ahead.
Nilesh Jain: Hi, thank you for the opportunity. And congratulations for a great set of numbers. My first question is on your number of monthly active operators. And currently, we have almost, you know, a share of 20%. So how should we expect growth on this side? You know, acquisition of new users, other truck operators?
Rajesh Yabaji: Yeah. So basically, I think, if you're asking from perspective of the user acquisition on the trucker side, I think you should expect this numb er to be, you know, range bound in this zone, you know, you know, for a good number of years. I think the important point to also understand is that if you segment this particular market share across different categories, we have, like, let's

say, much hig her market share on the intercity truck side, because of the nature of the services
we provide, and probably a lower market share on the smaller vehicles kind of perspective, right?

So the way to look at is that the kind of, you know, businesses we as a co mpany want to venture into in terms of in the future , in terms of loads, et cetera , right? I think for these businesses to become bigger and generate massive revenues, right? The scale of user base, you know, and growing at this level is basically, you know, perfectly fine, right?
So, if you're asking me, is the growth slowing down? Obviously, answer is yes, it will be in this rang

e of, you know, higher double digits, lower double digits over the next course of 3 to 5 years.
But this does not determine t he growth rate of independent business verticals, because if you see the maximum penetrated category for us is tolling .
Telematics has probably, you know, half the penetration of tolling. So, which means there's a much headroom of growth. Loads has very less penetration in terms of the brokerage, let's say, which is the largest revenue, which will be the ticket size or the largest revenue generating vertical, right?
So, if you are -- if the question is from a perspective of headroom of growth, all vertica ls have a very high headroom of growth. But from the perspective of addition of customers, like, you know, as the, you know, the broad statement, which I mentioned, it will be in the, you know, double digit numbers in the foreseeable future.
Moderator: Thank you. Nilesh, I'll request you to come back for a follow up question, please. Next question is from the line of Lokesh Manik from Vallum Capital . Please go ahead.
Lokesh Manik: Yeah . Hi, good evening to you, Rajesh and team. My question was, you know, af ter you get the PPI license, what is the increase in fixed cost that you are expecting?
Moderator: Lokesh, sorry to interrupt you, your audio is unclear. Can you please come a little closer to the speaker and talk, your mic and talk, please?
Lokesh Manik: Yeah, this is better. Hello.
Rajesh Yabaji: Yeah, go ahead. I think it was a little unclear, but I think we've also got the question. I think your question was that PPI license, you know, what is the cost increase, right?
Lokesh Manik: Yeah.
Rajesh Yabaji: So basically, like, remember that the whole journey of building the stacks to deliver the payment experience to the customer, like, a lot of the stack is already existing with us, right? A, right?
And, like, the incremental cost would be far outweighing, let's say, even, let's say, assuming that we do, let's say, some X percent business on our own prepaid stack end to end, right?
The incremental cost, even from day one on a variable basis, at like even a very small scale, even if 5% of our business comes f rom our prepaid stack, the incremental costs are far lower than the overall improvement in economics. So, there is not going to be any fixed increase in fixed overhead. It is still the same team, same technology team, same product team is going to build and manage the same stack, you know, internally.

Lokesh Manik: Good. That's it for my side. Thank you.
Moderator: Thank you. Next question is from Gaurav Malhotra from A xis. Please go ahead.
Gaurav Malhotra: Hi, thank you for the opportunity. Congrats on a good set of numbers. I just had a couple of questions. I think they have been, you know, the cost control has been excellent. Just wanted to get a sense as to, you know, at how much more you can sort of squeeze out of the growth of your business, you know , without sort of really meaningfully increasing a cost. That's my first question.
Rajesh Yabaji: So basically, we will, I mean, I don't expect reduction in cost, right? I think we fairly run a very, I mean, we have a very lean culture. We have been operat ing like this, you know, forever in terms of all our policies and everything. We typically have a very lean approach to it. Even launching a new business, we have a very lean approach to it. You know, let's say, I mean, we started off a brokerage business, like we just take a, you know, 5000 -seater for 100 people, which is a INR500, you know, sort of, you know, cost per seat, you know, INR50,000 seater like this.
So basically, that's always the approach in terms of very, you know, lean, you know, way of executing, I think you will expect the cost to be largely, you know, lean, and then would not reduce, I would say. Second part is,

like, obviously, you will always see, like, you know, a
benefit of operating leverage there, that, you know, whatever we do incr ementally, we will be
able to deliver operating leverage, but, you know, inflation linked is what you can largely
assume. Yeah.
Gaurav Malhotra: Okay, thank you so much.
Moderator: Thank you. Next question is from the line of Parikshit Kabra from Pkeday Advisors. Please go
ahead. Parikshit, may I request you to unmute your line and proceed with your question, please?
Due to no response, we move on to the next participant. Next question is from the line of Nidhesh
Jain from Investec India. Please go ahead.
Nidhesh Jain: Thanks for the opportunity. First question is, what is the profile of our truck operators? Are they
single driver owners, fleet owners? And what is the average size of, what is the range of size of
fleet that these truck operators are managing ?
Rajesh Yabaji: Yeah, an average between two to three trucks. Small, small truck operators. Think of it as, think
of it as, think of it as large truck operators always had a lot of people to serve them. Because
they are more profitable segments, because c ost to get to them is easy. You go to a big truck guy
who has 50 trucks, you can just sell him a deal and economize on your cost of sales.
We were able to develop a unique method by using tech, using platform and on -ground
workforce to be able to really se rve these small users all across the country. So, yeah, so this
was always an underserved segment. Using technology, BlackBuck was able to really penetrate
and get them online and build a business model from there.

Nidhesh Jain: Sure, sure. And what percen tage of your revenue will be coming from this telematics or fuel
sensor segment?
Rajesh Yabaji: We only give the split of core and growth at the moment . Core and growth put together, we've
already disclosed that's roughly close to about 85% of the revenues. And in those payments is
the larger revenue vertical, telematics is second. Yeah.
Nidhesh Jain: Okay. And third question is on cash flow generation. Cash flow generation this year is a bit
softer. Cash flow from operation is almost 50% of EBITDA, adjusted EBITDA. So, any
particular reason why the cash flow from operation is much lower?
Rajesh Yabaji: Yeah, good question. Cash flow from operations for u s always mimics adjusted EBITDA , right?
In this particular year, there are basically two things which have happened. The cash flow
operations you're referring is basically the cash flow of console P&L. One is basically the loans
disbursed by the NB FC arm o f BlackBuck. That's roughly about INR30 crores of loans disbursed
by them. So that's one thing which you need to account for, which is leading to the number not
being there.
The second number is that there is a one -off working capital item that you can see , there's a
INR50 crores of working capital gap which went into the business. That was again a one -off that
got clawed back. That actually on 31st of March, in fact, that got clawed back in the first week
of April itself. That was to ensure that within 1st of April, a lot of banks don't operate. That was
to ensure that the whole payments business does not have any working capital, sort of a crunch
that got clawed back. If you add both of them back, the number comes close to the adjusted
EBITDA of INR105 cro res.
Nidhesh Jain: Okay, sure. That's it from my side .
Rajesh Yabaji: So, every quarter, think of it as whatever EBITDA we deliver, that's the cash we generate.
Moderator: Thank you. Next question is from Deepak Poddar from Sapphire Capital. Please go ahead.
Deepak Poddar: Okay, yeah. Thank you very much for this opportunity. So just first up, wanted to understand, I
mean, in terms of revenue CAGR, if I have to see next 2 -3 years, what sort of CAGR range we
might

be looking at? And what would be top 2 -3 growth drivers to achieve that kind of growth ?
Yeah. So that would be my question.
Rajesh Yabaji: Yeah, so we as a company have basically taken a position on not providing guidance. But to just
help you, like you could like really, I mean, the growth businesses is anyone's guess, because all
of that is a big optionality is depending on how we crack som e business models and how we
really outscale, right?
In terms of core businesses, like, you know, we have got, you know, very strong tailwinds from
the perspective of India's infrastructure development and how tolling goes in the country. I think
most of t hose indices would help you be able to sort of, you know, model how that looks like.
But yeah.

Deepak Poddar: And what would be top 2 -3 growth drivers we are seeing?
Rajesh Yabaji: Top 3 growth drivers? I mean, basically kilometers built in the country, th e inflation on toll fares, how they work, number of trucks, how they are increasing, how we are, you know, gaining market share, you know, on a continual basis, right? If you map all these factors, you would be able to, you know, yeah, simulate this.
Deepa k Poddar: Fair enough. And in terms of, I mean, will you be able to provide in terms of revenue mix? I mean, how much we earn from brokerages, how much we earn from commission or subscription base? So, some breakup would you be able to provide in terms of percentage? Yeah.
Rajesh Yabaji: Yeah. We only provide split between our core businesses, which is basically tolling and, you know, vehicle tracking service and the growth businesses. Only these two splits we provide, sub - split we don't provide.
Deepak Pod dar: So how much would be tolling and tracking?
Rajesh Yabaji: About 85%.
Deepak Poddar: Huh? 80 %-85%.
Rajesh Yabaji: 85%.
Deepak Poddar: And remaining would be growth.
Rajesh Yabaji: 85%, yeah.
Deepak Poddar: And remaining would be growth.
Rajesh Yabaji: Yeah. You can see it in the earnings deck, you know, it's provided out there. There's a quarter - on-quarter flow as well. Yeah.
Deepak Poddar: Fair enough. That's very helpful, sir. I mean, that would be from side. Thank you very much .
Moderator: Thank you. Next question is from the line of Nilesh Jain from Astute Investments. Please go ahead.
Nilesh Jain: Hi. Thank you for the opportunity again. My question is on the tolling business for the FY '25, what would be our market share roughly, if you can provide that?
Rajesh Yabaji: We ended with -- we started the year with 37. We ended the last year with 37. This year we ended at roughly 45.5.
Nilesh Jain: Do we see ample opportunity for us to further increase the market share or we, you know, will be stable around this level?
Rajesh Yabaji: We believe that, you know, like every month we acquire market shares, right? So, we believe that we will continue, we continue to have good headroom, but we don't know where we will

land at. But se e, I mean, how much ever our incremental acquisitions are away from our current steady state market share, our market share will keep growing.
So, I think we can only like help you understand how the past has been, which has been like we moved from 30 to 37, 37 to 45.5. Now we need to, you know, figure out how the next year is going to be. But yes, yeah, but we are the market leaders in terms of acquisitions and in terms of GTVs . So, we continue to, you know, steer aggressively in that direction.
Nilesh Jain: Just last question on data keeping, if you can provide, you know, the active GPS devices we have. I think this last, I think what you all had shared was 6,87 ,000 in queue at the time of R HP. Would it be possible to share?
Rajesh Yabaji: No, I don't think that in RHP . Sorry?
Nilesh Jain:

3,90,000 I think you all had at the time of RHP .
Rajesh Yabaji: Yeah, correct, correct. So, this information, I mean, we've stopped providing , yeah, we stopped providing, you know, at the moment. Yeah.
Nilesh Jain: No problem. All the best.
Rajesh Yabaji: Thank you.
Moderator: Thank you. We'll take the next follow -up question from the line of Sachin Dixit from JM Financial. Please go ahead.
Sachin Dixit: Rajesh, a couple of housekeeping questions we need. The first one is that why do we have a negative resource expense for this quarter?
Rajesh Yabaji: Yeah, so there are some two things. One, if let's say an employee leaves, then that ESOP get s surrendered and then there is a reversal. Second, there are some changes in estimates in terms of attrition, et cetera . These are the two reasons. But as we move forward, like we have shared in the earnings deck, assuming no further grants, what is the E SOP charge for the next eight quarters is being provided in the appendix?
Sachin Dixit: And the second question is basically on discontinued operations, right? I believe we sold off that business and last quarter we did not have any number coming from disc ontinued operation P&L, but we again have this quarter. Why is that coming and how long do you think such an impact can last?
Rajesh Yabaji: If you see the note also on the continued operation, there was a contingent disclosure that was

there. Now, I mean, we have cleared all of that out, that obligation closed in February. So, this is the last charge that we will have on this particular piece. It is just contingent refuel bill that is not coming.

Sachin Dixit: I understood. All right. Thanks so much.

Moder ator: Thank you very much. As there are no further questions, I will now hand the conference over to Mr. Ankur Pant for closing comments.

Ankur Pant: So, thank you everyone for joining the call. With this, we conclude the 4Q FY '25 call for Zin ka Logistics Solutions Limited. Have a nice day.

Moderator: Thank you very much. On behalf of I IFL Capital and Zin ka Logistics Solutions Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Thank you.

Call: May 2025

Ref: BLACKBUCK/CORP /2025 -26/35
May 30 , 2025
To
National Stock Exchange of India Ltd.,
Exchange Plaza, C -1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051 To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code: 5 44288, Scrip Symbol: BLACKBUCK, Series – EQ
ISIN - INE0UIZ01018
Dear Sir/ Madam,
Sub: Transcript of the Earnings Conference Call for Analysts and Investors conducted on May 27, 2025 .
Ref: Disclosure under Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .
Pursuant to Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby provide the transcript of the Earnings Conference Call for Analysts an d Investors conducted on Tuesday , May 27 , 2025 during 05:00 PM (IST) to 6:07 PM (IST) .
Enclosed is the transcript of the Earnings Conference Call, which is also hosted on the website of the company. The link to access the transcript is provided below:
https://www.blackbuck.com/investor -relations.html
Kindly take the above information on record.
Thanking you
Yours Sincerely,
For Zinka Logistics Solutions Limited

____
Barun Pandey
Company Secretary and Compliance Officer
Membership No: A39508

“Zinka Logistics Solutions Limited
Earnings Conference Call ”
May 27 , 202 5

MANAGEMENT : MR. RAJESH KUMAR NAIDU YABAJI – CHAIRMAN ,
MANAGING DIRECTOR AND CHIEF EXECUTIVE
OFFICER – ZINKA LOGISTICS SOLUTIONS
LIMITED
MR. SATYAKAM NAIK – CHIEF FINANCIAL
OFFICER – ZINKA LOGISTICS SOLUTIONS
LIMITED

MODERATOR : MR. ANKUR PANT -- IIFL CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to Zinka Logistics Solutions Limited Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
Please note that a copy of the disclosure is available on the Investor Relations section of the website as well as on the stock exchanges. Anything said on this call which reflects the outlook towards the future or which could be construed as a forward -looking statement must be reviewed in conjunction with the risk that the company faces. Please note that the audio of the earnings

call is a corporate material of Zinka Logistics Solutions Limited and cannot be copied, re - broadcasted or attributed in the PR media without specific and writt en consent of the company.

I now hand the conference over to Mr. Ankur Pant from IIFL Capital. Thank you and over to you Mr. Pant.

Ankur Pant: Hi, good evening, everyone. On behalf of I IFL Capital, I welcome you all to the Q4 FY25 Earnings Call of Zinka L ogistics Solutions Limited. To give you an in -depth understanding of the and answer all your queries, we have from the management team Mr. Rajesh Kumar Naidu Yabaji, CMD and CEO and Mr. Satyaka m Naik , CFO.

With this, I would hand over the call to Mr. Raje sh. Thank you. Over to you Rajesh.

Rajesh Yabaji: Thank you so much Ankur. Good evening everyone. Welcome to our third earnings call and also the summary of the last whole financial year. Am I audible? Can the I IFL team confirm please?

Moderator: Yes sir, you are audible. Loud and clear.

Rajesh Yabaji: First, giving a snippet of the whole financial year which went by. This is the third earnings call. This is Q4, ‘25 is what we will be presenting and a full year FY25 numbers. We did gross revenues of totally INR462 crores last financial year, which is a growth of roughly about 46% on a year -on-year basis. Continuing to operate in the dimension of platform -led revenues, software -led revenues which have high contribution margin profile.

Our contribution margin profile continues to be steady in the range of 93 %-94%. We made INR429 crores in contribution margin in the last financial year, which is a 49% growth on a year-on-year basis, which led to delivering an adjusted EBITDA of close to about INR139 crores in the last financial year. Adjusted EBITDA does not include basically the ESOP costs. Everything essentially gets factored and that is roughly close to about 10 times growth over the last financial year. Last financial year when we went public and filed the DRHP, that number was close to INR13 crores -INR13.5 crores and that number today is roughly closer to INR139 crores. These are revenue numbers which in our business model typically lags the platform activity.

As you can see, we have close to, in the last full financial year, close to about 7.2 lakh transacting customers, which is roughly 20% of India is what transacts with us on a yearly basis, which grew at roughly about 21% on a year -on-year basis. Users continue to deepen and users continue to use more services. Close to 3.5 lakh users are using more than equal to two services, which shows the love for services, deeper penetration and cross -sell, up -sell which is happening, which is roughly a growth of roughly about 32% year -on-year on a customer basis.

Payment, which is one of our leading verticals of revenues and a large part of that comes from tolling continues to grow at a very healthy pace, which has grown at about 34% year -on-year and we hav

e done close to INR23,000 crores of payments in the last financial year.

Committing into our strategy, which I think has been consistent over the last four years of execution, we as a company continue to grow profitably. At the same time, not at all compromising on aggressively investing into problem solving fo r our customers, which will unlock new growth opportunities as we keep moving along.

Taking a step back and reflecting on what really the company is trying to do, as all of you know, we are executing in a space of trucking in the country. Trucking is the majority mode of execution of goods transportation. It's close to about a $180 billion freight industry, which is growing at about 8 %-9% CAGR over the past five years.

Largely operated by small and medium scale truck operators, 75% of these trucks are own ed by people who own less than five trucks. And t he universe of India is roughly 12.5 million trucks owned by 3.5 million truck operators. Each and every area in the journey of a truck operator when he enters the business, right from buying a truck, to fin ancing it, to getting loads, to payments, to compliance, and to maintenance.

The industry is basically layered by intermediaries. Industry is largely inefficient and has a huge room for improvement, both from a predictability of customer experience perspe ctive, cost perspective, expansion of business perspective. We believe that the macro problem of inefficient logistics costs and a deep bottleneck logistics ecosystem for the country, where Indian logistics costs are 14 %-16% points, most of them are basica lly anchored in the microeconomic problem of how a truck operator operates in this industry.

So, BlackBuck started off as a company to really look at how can we build a new avatar of trucking in the country, really unlocking that, disrupting this industry . That particular vision, we believe can be realized by really unlocking and really making truck operators' lives seamless. And that's the mid -term vision, probably a 4 -5 year vision, which we'll be essentially executing, which will pay way for us to play a much larger role at transforming trucking for the country.

Moving forward, that broader view into what is the crux of the strategy, which is delivering revenues, delivering profitability, building BlackBuck from strength to strength. We spoke about this in the last two earnings calls also and we'll keep iterating this. There are three key , sort of dimensions in which most of the people in the company work in.

The first key dimension is essentially offerings. Offerings is nothing but problem solving, solving for every pain point of a truck operator. Every pain point probably may not be commercially viable today but then gets viable in a few years or a few quarters. For example, fuel sensor was one of the products which we probably first introduced or firs t fuel sensor we installed in the country, in our company, was in the year 2018.

But the whole economics in terms of the cost of a fuel sensor, in terms of what money a truck operator was willing to pay at that point in time, did not make that business via ble. But we continue to iterate on that particular business model and that business model became viable over the last two quarters and we are scaling really well in that business model.

So that's the role of offerings dimension, where the goal of those te ams is to basically take a problem of a customer and try to keep solving for it, try to create customer value, try to create a commercially viable proposition. And today, obviously, all these offerings are live. We do tolling, we do vehicle tracking, we do fuel payments, we do vehicle finance, we enable truckers to fill their return hauls and get them more efficient.

We have a fuel sensor platform, we've got FleetDock . Like this, there are multiple other features u

nder development, which we keep working on and launching. All these offerings sit on our platform. Our platform is nothing but the customer app on the front -end side and a huge number of APIs and services which we've built inside the BlackBuck platform. This platform is basically probably the stor ehouse of most of the value, what the company today stands for, which is basically having 7.7 lakh transacting customers in the last quarter.

The earlier number of 7.2 I presented, that was the annual monthly transacting average. This number is only the l ast quarter's average. That is 7.7 lakh customers, which is growing at close to 20% on a year -on-year basis. And we are the top -of-the-mind recall when you say digital truck operators. The usage keeps deepening. So the usage is 44 minutes daily app usage b y the truck operators. So that's the platform which continues to scale, continues to deepen.

And what is really important about this platform is that the launch of a newer offering essentially gets penetrated across any trucker across the country in a very low -cost way. And that's how new verticals keep getting launched. Powering this platform is the most important vector fo r us, is the distribution workforce all across the country.

Truckers have a persona which are largely middle -aged, 35 to 50 years old, largely uneducated. So how do we really reach to them and service them? That's the story about distribution. So, we have a 10,000 people touchpoint network all across the country. We have presence in 85% of the districts today, and that's a very wide reach. Within this touchpoint network, there are technicians, there are channel partners, there are our own workforce, there are agents standing at toll plazas. There are a varied degree of people who typically sell to a customer or service the customer.

So, this is our revenue delivery engine. We create offerings, offerings are launched on our platform, platform continues to g et stronger. Newer offerings launching become easier. And

aided by a very seamless, efficient, low -cost distribution, the widest distribution network coverage to all truck operators, which is one of the biggest modes for us in this business.

Now, moving into giving an update on what happened last quarter and what happened in the whole financial year. These are the key KPIs which we talked about in the previous earnings call as well. Starting with the first one, which is the platform metric in terms of wha t is the monthly transacting truck operators on the platform? As I mentioned, that's close to 7.7 lakhs, which was 6.5 lakhs last year, which is growth of about close to 18% on a year -on-year basis, which on the financial year basis has grown from close to 6 lakhs to 7.22 lakhs, which is roughly 21% growth.

Wherever there is a FY narration, I will narrate it separately. If not, I will continue on the quarter -on-quarter basis. Then, similar to that, the monthly transacting users using at least two services grew about close to 27% on a year -on-year basis. Time spent on the app grew by close to about 9%, which stands to get close to about 44 minutes is what an average customer is spending time on the platform.

GTV on payments, last year, same quarter, we did close to INR5,000 crores, which grew to about close to INR6,600 crores this quarter, which is a growth of about 33%. And on the whole financial year, grew from 17,300 to 23,000, which is a growth of 35%. Synonymous to that, the payment transactions will fl ow with a synonymous thought process.

Coming to gross revenues, in this quarter, we did close to INR137 crores of gross revenues, which is a growth of about 38% on a quarter -on-quarter basis. In the full financial year, as I presented before, it is INR462 crores on a financial year '25, which is growth of about 46% in the last financial year.

Revenue fro

m continuing operations did a growth of about 31%, and on an overall financial year, was roughly about 44%. Revenue from growth businesses, which removes the core verticals of tolling and vehicle tracking, that grew at roughly about 90% on a year -on-year basis in FY25 , and it grew about close to 50% on a year -on-year basis in 4QFY25 .

Moving forward, contribution margin profile, synonymous to that, the contribution percentage from growth businesses increased from roughly 11.5% to 13% in this particular quarter.

Contribution margin profile, again, similar growth frontier, roughly 40% more from a quarter -on-quarter basis, and 49% from a year -on-year basis.

Contribution margin profile continues to stay steady, as we discussed in terms of, you know, the nature of revenues continues to remain same. Last year, same quarter was 92%, this year is abou t close to 93%. All of this brings us to delivering an adjusted EBITDA in this quarter of roughly INR54 crores, which was in the same quarter last year, roughly about INR17 crores, which is roughly a 2.2x growth, and more notably, the full year numbers, be cause last year was the year where probably we broke even in the middle of the year.

From a financial year perspective, we delivered INR13 .5 crores in adjusted EBITDA in FY24, which grew to 139 crores in FY25, which is again the testimony to the quality o f revenues and

the operating leverage which we've been able to deliver as a company. Furthermore, going deeper into the adjusted EBITDA metrics, if we remove the other income part, which is largely the interest income, we delivered close to about INR39 cro res of adjusted EBITDA this quarter, which was in the last year, INR10.5 crores, which is again a growth of close to three times.

But more notably, in the last financial year, removing interest income, we were basically negative INR6 crores, which has jum ped to now INR103 crores. That's a good performance.

Largely, most of this performance was locked in probably, let's say, a few quarters, a few years back because of the delayed nature of the profitability profile of our business, where we do most of the s ales and acquisition and incur costs in this quarter. The revenue compounds, because those cohorts of customers not only continue to give us revenue, but also continue to expand and that's the reason for the operating leverage.

Summarizing these numbers i nto more narration in terms of what really happened in the last quarter and the last year, as we discussed in numbers, 37% growth in the last quarter year on year and FY25, 46% growth. But if you double click into the core businesses of tolling and vehicle tracking, one of the good milestones for us was we've received the in -principle approval for the PPI license in the last quarter and it will take us probably in a few quarters to operationalize that.

This will really help us gain an end -to-end ownership of the payment stack, which will enable us to deliver a very superior customer experience. Definitely, some economics will also improve over the period of time. But the most important thing is that this is one of the core business verticals for us. This gi ves us end -to-end ownership in this particular business.

Second area, area of telematics, which is the second largest contributor to revenue for us. In that, there is a device specification called AIS device, which is basically one of the prevailing devic es wherever the government mandations typically happen. There, we've developed the new hardware from scratch, which has got ICAT certified , so that will be a BlackBuck device from an ownership perspective end -to-end.

For that, we've been able to establish over the last year a supply chain in terms of sourcing, manufacturing, components, etc., which not only has helped us improve customer experience, but probably makes us the lowe

st cost device manufacturer and procurer in the country, which gives us a very strong price advantage, which will help us build scale at a much faster pace and capture a much higher market share.

Moving into the growth businesses, there notably, there are three businesses which typically have been driving a large part of the growth . One part is the fuel sensor, which we gave an update last quarter that that vertical has broken out. The last quarter, we were able to double the sales

from the previous quarter, which is a good milestone.
There, we are basically fixing continuously the whole product experience, fixing the whole installation experience, because it's a very involved product from the perspective of customer.
Second vertical, which is the used PV loan vertical. In that vertical, we continue to scale with

our partners. We've extended this particular -- last financial year, we used to operate more close to about 50 hubs. Here, we have doubled the hubs in the last financial year, and we are offering this service in close to 100 hubs.
This vertical continues to scale. Although, given the whole macro environment of last year, our partners were going a bit slower in terms of disbursements. We definitely did not see the kind of scale we thought we would foresee, but then obviously, there's good growth in this particular segment. Being in the lending space for our partners, it's better that they grow slower with a very high-quality portfolio quality. I think that's more important here than really blitzscaling on a growth perspective.
The third biggest vertical for us is the loads v ertical, where, as many of you know, that we started closed looping the loads, which is going to be the bigger future for the loads business. There, that business continues to take shape. Obviously, that business, because it is at a very smaller scale, the y're growing in multiples from a quarter -on-quarter perspective. But there, the biggest focus today is on product development.
We've built the whole end -to-end fulfillment stack, the payment stack, the customer experience stack. Most of the work happening there is to really deliver strong customer experience to our truck operators who are using the platform in terms of payments, in terms of on -time fulfillment, and all of that. Most important there is, how do we really create a playbook for scale? Because availability of supply for BlackBuck is not a challenge.
We are present in very high market shares, anywhere in the range of 15% to 70%, depending on state to state. So, scaling that playbook will not be a big challenge, but I think creation of the playbo ok is the most important thing there, and that's where most of our eyes and attention is focused at this point in time.
Going into platform metrics, I think steady growth over there, as we discussed, monthly customers are growing, payments, GTV is growing , time spent by the users is growing on a year -on-year basis. Thirdly, the profitability, as we read out the narration, adjusted EBITDA in the quarter, on a year -on-year basis, increased by close to about INR37 crores. And in the whole financial year, we c reated a shift in roughly close to INR125 crores in the overall adjusted EBITDA. That's, again, the testimony to the quality of the business model we've been operating and continue to operate.
As always, we've explained to you the reason for -- explained to you using the slide, the context in operating leverage and the quality of operating leverage we've been having. So, if you can see from a revenues perspective, on a year -on-year basis, we grew about close to INR37.5 crores. And most of that revenue, mos t of that gross revenue converted into adjusted EBITDA, which shows the leverage from an operations perspective. So, 99% is the efficiency there.
Then when you look at it from a sequen

tial perspective, we've grown roughly close to INR14
crores. And out of the INR14 crores, INR12 crores has flown into EBITDA, which is about 84%.
So again, reiterating, the drivers of operating leverage are that recurring, most of the revenues

are recurring in nature, which means users have acquired let’s say in fin ancial year 2021. Those revenues continue and we don't really have to incur any costs to gather those revenues every year.
So hence, those revenue profiles continue. And because most of these revenues are platform in nature, in terms of subscription, in t erms of net commission -based revenues, it's a high contribution margin profile. And it's a very strong flow -through from revenue to contribution.
And as we've always discussed, the user retention, typically three to four years, after three to four years, f latline, we hardly lose users. And because of the quality of products we've built and users retain, and our revenue retention rates, as disclosed in the DRHP as well, as you can see, have been very, very strong. So that drives the whole operating leverage.
And obviously, to add more revenues, we don't really spend any money from the perspective of asset deployments with the asset -light business, and hence the scalability of the business model as well. So basically, summarizing in one line, platform, Blackb uck platform net revenues are

driving a strong P&L for us, and which drives strong operating leverage.
Giving a snapshot of the quarterly P&L, as you've seen last quarter as well. There's a shift in P&L from negative INR6 crores in Q1 of 2024, steadily in creasing because we are having a consistent revenue growth, and most of the revenue growth and efficiency of 80 % to 90% has been flowing back into bottom line. And that's resulting in quarter -on-quarter profitability, sequential profitability, continued to compound. And where we stand today is our adjusted EBITDA to revenue.
This percentage of adjusted EBITDA has already reached close to 40%, which again is basically the quality of revenues which is helping us reach here. Giving a more accounting snapshot o n what PAT looks like and the waterfall from revenue to PAT. Revenue from operations, as we discussed, INR122 crores, moving into with other income, total income being INR137 crores, with direct costs largely growing lower than the revenue growth rate beca use of the nature of optimizations in place.
That has grown about roughly 16%, which led to increase in the overall contribution margin to about INR127 crores, which is about close to 40% growth on a year -on-year basis. And total expenses, as you can see on a year -on-year basis, continue to stay steady, continue to stay flat. Because as you know that we've achieved critical scale in terms of our platform, where 20% of India's users transact on a monthly basis.
And in the verticals, we operate where we dir ectly acquire customers for revenue. Most of our investments in terms of the scale of investments have reached, which means our penetration levels in terms of PIN codes are there. So, we don't foresee, even in the future, massive expansion in our sales and marketing budgets.
And that's the reason why you can see that there is marginal or no increase – there is no increase in our total expenses, which are steady at INR83 crores at a quarter level on a year -on-year basis, which helped us create an adjusted EBITDA of INR54 crores. And if you remove the other

income, which is largely the interest income the adjusted EBITDA essentially becomes INR39 crores.
And another imp ortant metric, which is basically PBT, where you basically add the cost of ESOP, but you exclude exceptional item and you exclude the discontinued operations, which is probably a much better quality of metric

from a company's profitability perspective. That's
trending close to about INR42 crores, which largely in a normal quarter would have mimicked the PAT.
But in this quarter, because it's the first time we have delivered PAT, there is an accounting transaction where the profits, the losses, the carry -forward losses of the past basically have been accounted in the -- deferred tax has been recognized on the balance sheet and credit to the P&L has come through. Sorry, I was just taking Satya's help to narrate that. That's why you see a non - usual PAT getting created of INR280 crores.
But largely, the PBT number is more where we can get anchored is where the PAT reflection is going to be, which is obviously from a financial year perspective, roughly at close to INR91 crores. If you look at adjusted EBITDA for the whole financial year, which is roughly INR103 crores. And if you remove ESOP charges of the last year, that comes to about INR91 crores.
And for the future ESOP costs, there is a schedule provided by our team in terms of what you can expect in the fu ture. Of all the granted ESOPs as on date, you can see the sc hedule of those charges. So yes, that's at a summary level what the profitability profile looks like, the waterfall of profitability.
Now from a walkthrough from PAT to EBITDA, fairly simple . Profit after tax, roughly about INR280 crores. If you add back the profit and loss from the discontinued operations and then the income tax expense, which we talked about and the depreciation, amortization and the ESOP - based cost, et cetera, you arrive at the adjusted EBITDA of INR54 crores and other income of INR15 crores, you basically get to adjusted EBITDA excluding other income of INR40 crores.
So that's a simple walkthrough. And that's all from our side. Would be happy to take questions.
Moderator: Thank you very much. We'll now begin with the question -and-answer session. The first question is from line of Sachin Dixit from J M Financial. Please go ahead.
Sachin Dixit: Yes, hi. Congrats Rajesh and team on a great set of results. And I had a couple of q uestions. My first question in regards to -- sorry, there's a lot of background noise. Can you hear me? Hello, can you hear me?
Management: Now, is it okay. Now we can hear you. Sachin, you repeat that please?
Sachin Dixit: Great. So basically, my first question is on telematics side . So, if we think from a truck operator's angle a nd obviously, during the DRHP and all, you have highlighted why a GPS device helps a truck operator and all. But other than regulatory requirement, do you like what value proposition

does a typical truck operator see in telematics device?

Are they willingly paying for that or only when regulatory push comes that they are willing to pay for that? And similar in terms of fuel sensor , how do you think of the value proposition from a truck operator's angle versus what do you think?

Rajesh Yabaji: Yes. See, basically, telematics at an overall level in the Indian co ntext. So Indian context, like India is a land of first of all truck owners who employ drive rs who drive the truck, which is the largest majority. Now, one of the biggest problems for a truck operator is to have control over the truck and the driver, when the truck is essentially not in front of his eyes and doing long distance trips.

So today, n ow, if you segregate telematics into two parts, one is vehicle tracking and second aspect is basically fuel sensor. Vehicle tracking, the biggest value prop for a customer is driver management in terms of where the driver is, how much distance has he trave led today, what speed has he traveled today, speed alerts in terms of over speeding, etcetera.

Second biggest value proposition is that when he's filling a load for a particular customer, the customer's anxiety in terms of where

the truck is, will it reach on time, you have said that it will reach by 5pm, I can't see it anywhere, like where is it? He says it's two hours, but then he doesn't believe him.

In terms of sharing the information on the whole on time delivery. The third part is a little bit because let's say our product is a very low ARPU product in terms of the cost. So, if you look at in terms of the driver in terms of truck like truck prevent ive health maintenance, driver like driver's driving behavior in terms of harsh acceleration, harsh brakin g is basically what gets captured in our device, which gives the indicator of quality of driving for the truck owner.

So essentially, everything about like gaining control over operat ions and the driver management, when he's sitting remotely in his own vil lage, but the truck essentially is flying all across the country is the biggest value prop. Along with this, there is obviously a more risk use case, where we also provide a facility to remotely turn off or on the truck.

Assuming that the driver is drunk a nd driving and the owner has lost control on him, he would like want to turn off the truck, he can do that remotely. Essentially, vehicle tracking solution is all about this. Now, within the vehicle tracking today roughly about 25% plus of the devices we sell are of AIS standards.

These most of these devices are largely driven by mandation, because the ARPU of the AIS devices, the cost which the truck operator pays for the AIS devices is also on a higher level. So, answering your question, value prop is strongly driver management led and customer experience led in terms of delivery of goods.

Under that there is 25% of the device sales are driven by mandations. Those mandations are again state specific from a mining area perspective, passing perspective, depending on different needs which the government wants to govern in terms of vehicle movement. So today, summarizing today it's a larger use case, which a truck owner wants to use a device to manage his operations e ffectively.

Now, this is the whole vehicle tracking part of it. Fuel sensor part of it is completely to do with his need. Fuel is the largest expense for a truck operator. If you take a long haul truck operator, it will anywhere range between 45% to 60% w ill be the expense of fuel. Now, the biggest fights between an owner and a driver happens is bas ically on theft of fuel a nd because fue l is the largest expense, number one.

Number two is that a lot of fuel stations like a lot of fuel stations are non -stand ardized. So, you also don't know when you're filling fuel, whether you're getting 100 liters, when you pay for 100 liters are you getting 100 liters or not . So, fuel sensor is all about being able to keep track of how much did I fill fuel, when you have do ne 100 kilometers, how much fuel did you consume.

Any sensitivity on a threshold of probably few liters, maybe 4 liters, 5 liters gets detected by the fuel sensor which we provide. So, the whole use case is with paranoia on really managing fuel fill fridge effectively for the truck operator is what is why they pay for fuel sensor.

Sachin Dixit: Because Rajesh, I think basically one thing that I wanted here was like, I understand what value proposition you are providing , but from truck operators angle why ex actly is he actually using that? Are they really able to manage, for example, some truck operators that we speak to they are like we know driver is deceiving us on the amount of fuel that they are buying .

And selling and removing it from the tank and all t hose things. So, does the truck operator really believe that they can actually control it by having these tracking devices or this is more of some of them are maybe taking it?

Rajesh Yabaji: Yes. So, this is a value proposition we provide because a truck o wner wants i

t. See earlier we were selling this product in the ARPU range of 15,000 to 25,000. It was not getting sold because it's a v ery high value product for him, b ut then when we were able to really re -engineer the device and were able to really work on the cost of the device and really bring down the price, the whole product has taken off.

So, it's a product we've built because there was a need and there was an ask by the truck operators.

Sachin Dixit: Understood. Thank you. My second question is tha t there are some market chatter that one of your telematics peers is looking to also enter the profit pools that you have showed thanks to getting listed and showing those brilliant numbers. What is your view on that? Why do you think they will have a play or might not have a play?

Rajesh Yabaji: See basically, I mean sorry, but like I think I am not in the information on which name you're referring to. But at the end of the day as I mentioned in the earlier part of the presentation, in terms of the three capabilities on offerings, distribution and off ering platform and distribution. The only reason why we are able to deliver our revenue profile and profitability profile is by really out -investing in th ose areas over the last 5 years.

And we continue to de liver the best in -class product experience for the customers. We've built by hours of research and hours of hard work and I think it's obviously more competition in this

space is always better because truckers i s the community where there are very few peop le who are hand -holding them and really creating very good solutions for them.

And we believe if there are more players, it will really help build a whole space very fast because the space is hardly lubricated and if more people can do more bette r work, b etter for the industry, probably we can do much faster.

Sachin Dixit: Sure, Rajesh. One housekeeping question, if I can quickly squeeze in. DNA expense seems to have jumped quite sharply. Just explain the nature of it and I'll get back to th e Q&A and all the best for FY26?

Rajesh Yabaji: Thank you. Yes , DNA expense has jumped very quickly.

Management: You mean other expenses Sachin?

Sachin Dixit: Sir, I'm talking about depreciat ion only?

Management: Yes, depreciation was on account of it's a one -time, so we did a physical verification like we do at the end of the year and there were some CPS devices where we had to take some accelerated depreciation. Generally, it should stay in the range of the INR8 crores to INR10 crores as we move forward.

Sachin Dixit : Got it. T hank you and all the best for FY26 .

Moderator: Thank you. Next question is from the land of Abhishe k from ICICI Securities. Please go ahead.

Abhishek: Hey, hi. Congratulations on a great set of numbers. Just a couple of questions from my side. Am I audible there is a lot of noise.

Rajesh Yabaji: Yes, we can hear you.

Abhishek: Yes quickly. So, from this P PI license, what is the upside that you see in terms of take rates for the business?

Rajesh Yabaji: Can you please repeat your question? Sorry, we couldn't hear you.

Abhishek: Because of this P PI license coming in, what is the upside in terms of take rate that you'll be able to get?

Rajesh Yabaji: Yes, so basically of the total revenue pool which is out there and whenever we do a transaction, of the 100 we typically keep close to about 80. And the remaining is with the partners. So that upside you would get, but we don't foresee that upside coming in au tomatically because we have a huge customer base and we will continue to be working with partners.

This is basically a license which we'll use to probably innovate a bit for the customers and probably to improve a bit of cus tomer experience, b ut you would not see the improvement in the take rates immediately.

Abhishek: Got it. With regards to the telematics device, are you actually looking at manufacturing it or are you sourcing it from outside somewhere?
Rajesh Yabaji: Yes, we typically have a full contro l on the bomb. We have the control on the design. We own the design as well. And we typically do a lot of like the recent product which we've created, this was a project with a supplier in China for a good long period. And we typically invest in the lab and we sort of create the product. We obviously do the same thing in India as well.
So, we've got suppliers across India and China as well. So nowhere we are manufacturing the product. We don't foresee the value add from a manufacturing would really justify getting into that core activity, b ut in terms of firmware level coding, in terms of really bomb, in terms of what device to build, in terms of really keeping the whole information and knowledge in terms of how to really get the device done, that we keep i n house.
But then getting it done, we typically depend on our partners outside from a manufacturing standpoint.
Abhishek: Understood. Now for both the tooling business and the telematics business, what is the risk that the original equipment manufacturers will start installing these things into their products and more as things go on? And is that a risk to your business?
Rajesh Yabaji: Yes. So, OEMs like not only in like , let's say, as you rightly said payments and telematics, not only in any of these, the y have generally been providing this not only now o ver the last five years. On tooling, the most important thing to note is that first of all tooling when it happened, it was a stock business.
New vehicles obviously kept coming over the period of time, b ut remember that anyone who's buying a new vehicle typically is a large fleet operator who has like more than 10 trucks. And if 10 fleet is operating with, let's say, provider like us when he' s buying extra two trucks , it's very hard to have a different pro vider for that.
So that typically ensures that in tooling, every new vehicle which is being bought, our relevant market share typically flows to us. So, there we don't see any threat at all. And obviously, the kind of distribution we have, we cover the ne w dealerships, we cover all the truck operators. So, we have a very strong sort of presence there.
Now in terms of telematics again, not only now over the last 10 years, telematics devices were being provided by the OEM continuously. OEMs operate at a par ticular price point, which is generally very high. And that provides also very, very high reliability of the product. We as a company have operated at different price points in terms of driving g rowth in telematics categories, b ut those high price points n ever work.
Roughly our price point when we first sell a device, including the device and the first-year subscription, roughly cost us about INR3,500 for the full year. Now, OEMs would operate at multiples of price point to that. So, we have a very strong price point advantage . Second is, in

terms of the kind of product this is, in terms of the kind of serviceability needs to be provided, we've got like high, very high number of technicians who are deployed all across the country. So, in terms of our focus, in terms of running this product is like very high, which typically and we end up providing a very high customer experience. Thi rd point, again, same as tolling like, becau se majority of these large fleet operators operate on our te lematics devices, whenever they buy a new device, they typically would want to fit with the same platform as they have been using.
So, we've never seen any kind of a resistance with a new truck versus an old truck. Our sales have been pretty, pretty much secular across any kind of a

customer footprint.
Abhishek: Understood. Now, with regards t o the loads brokerage business. S o that has been tried quite a few ti mes in the past as well, b ut what gives you the confidence that this time what you are trying to do will probably work better?
Rajesh Yabaji: Yes, so basically explaining the load s at a very broad level. Loads in the industry in India is a $200 billion industry, $180 to $20 0 billion industry. Of that, if you remove part truck load, express, e -commerce, like you remove everything which is very specialized in nature, over dimensional cargo and many different, many of those industries . You're left with a time of like anywhere i n the range of $120 billion, which typically operates in an open market load scenario.
We are as a company have been trying to address that particular business. That's the broad sort of background. Number two is that the way this industry operates is that the load typically originates from enterprises and SMBs. SMBs probably originate 60% of the overall loads and enterprises originate about 40%. And as the industry fragmentation of supply side stays the same, 70% of the trucks owned by les s than 5 truck op erators.
And the industry has two layers of intermediaries. One layer is the small broker layer. There are about 2.5 lakh brokers in the whole country who are organizing supply. Other layer is basically

the bigger broker layer, which is basically organizin g the demand. Roughly about 10 ,000, 15,000 of those guys exist.

As you rightly asked, there are various attempts by BlackBuck in this indust ry to solve the loads marketplace problems. The first product market fit of BlackBuck was basically the enterprise kind of a model where we were like any other big broker and we're trying to crack the whole marketplace. But the biggest problem we were not able to crack that business was because we never had a highly scaled supply.

Number two, these enterprises work on working capital, which is a very hard thing to manage because in India, nobody pays on time. They say it's 30 days, 40 days, but the money come s back in like 120 days. So, it was an unscalable model. Whenever we scaled immensely, whenever we scaled exponen tially, we lost more money that was a model which we did not continue.

That is why if you saw, we pivoted towards the whole strategy of saying that we need to solve supply. That's what as I opened up my presentation, I was explaining that we need to first organize truck operators lives around them. So that was the first foray back in 2018 -19. We basically pivoted into a strategy of saying that let's build fleet management services for truckers. That's how we organized payments, telematics, etc etera which basically became acquisition engines. Not only acquisition, are also delivering today 's revenues and profits. So those are acquisition engines a nd whe n we actually built closer to 2 lakhs to 2.5 lakh truck operators base, that's when we launched the classifieds version of the loads.

Classifieds created the new go -to-market, which is basically a very technology -led opportunity which paved way into launching loads. And as you can see in the DRH P, in the last financial year we did close to about 2.2 million loads. This year the number of l oads, we have done close to 3.1 million, 3.2 million loads. So that business is scaling continuously.

But in classifieds, because it's a verticalized classifie ds platform, delivering high trust and delivering strong customer experience is really not possible. So, the newer, the entire evolution of classifieds into brokerage is what you are seeing this year. And that's the center stone, cornerstone of the strateg y for this year, wher e all these classifieds.

Basically, wherever our ability to close loads is higher, wherever we have more amount of supply and more obviously

closer to home, Bangalore, we started the brokerage model where we don't earn only by subscrip tion. Let's say on the classifieds model, we only earn INR 12 on the customer side, on the shipper side and we earn about INR20, INR 25 on the trucker side from a load perspective. But in terms of brokerage, you earn anywhere in the range of , like long-term steady state commission rates are going to be higher. But even now, we are earning between 6%-8% on a transaction basis, right?

So that's the whole flip. And we believe that by being the most dominant player on the supply side, by having the highest mindsh are and the trust of truckers, who are already trusting us with payments, which means they are paying to us. So obviously, they will trust us a lot when we will be paying to them in the brokerage transaction. We believe, you know, this is the, you know, marketplace problem through marketplace approach through which we would be able to really solve the intercity trucking problem.

Moderator: Thank you , Abhishek . I'll request to come back for a follow -up question, please. Next question is from the line of Mani sh Poddar from Invesco Asset Management. Please go ahead.

Manish Poddar: Yeah. Hi, thanks for doing the call. I have three questions. The first was, regarding this telematics …

Moderator: Manish , sorry to interrupt you, we are losing your audio. Can you please come in a better reception area, please?

Manish Poddar: Yeah, is this much, is this any better?

Moderator: Yes, please go ahead.

Manish Poddar: Yeah. So, you know, Rajesh, first one, if you can help me understand, let's say in this telematic s, now, let's say, what is the, you know, the cost of making the device? And let's say, when you sell it with a bundle, or let's say the fuel sensor, you know, what is the pricing like? And in the same thread, in your understanding, what would your market share be in telematics?

Rajesh Yabaji: Yeah, so basically, on the cost side, Manish, I think it will be very difficult for us to disclose that because these are this competitive information, right? So, I will not comment on that. In terms of market share, you know, we believe that in terms of the total telematics devices, which are sold in a on a monthly basis, I think we are probably able to capture roughly close to about 30% of those devices. This is on the vehicle tracking side. And on the fuel sensor si de, also probably this will be a bit more, probably more than the 40%, 40 %-45% range.

Manish Poddar: And cumulatively, what is the price now? Let's say if one takes the telematics with the fuel sensor, what is the combo cost?

Rajesh Yabaji: What is the?

Manish Poddar: What is the combo cost? Let's say, has that come down is what I'm trying to understand.

Rajesh Yabaji: Cost to the customer?

Manish Poddar: Combo.

Rajesh Yabaji: Combo cost to the customer will be between 8 to, yeah, between depending on cus tomer to customer, this is volume discount between 8000 to 10,000.

Manish Poddar: Okay . So, this has come down from the last quarter, is that so?

Rajesh Yabaji: Of course, yes.

Manish Poddar: Okay . And so, and the second area which I want to understand is let's say this freight brokerage, how many hubs do we have right now? And let's say what are the sort of people investment which has gone there?

Rajesh Yabaji: Investments in brokerage, like as any marketplace, the investments are on two sides, investment on demand side, investment on supply side. In trucking, because shippers are always searching for a truck, and that is the reason why 2.5 lakh brokers in the country exist, because trucks are, you know, wherever they are, and they need to be, you know, figured out and they need to be matched, right?

So, development of -- development cost of demand side is generally fairly lower, development of cost of su

pply side is generally very high. But given ou r strategy, where we acquire truckers using telematics and tolling, and then basically on loads, they get essentially, you know, a cross sold, our supply costs are like close to like, you know, negligible or zero, and large part of our costs are in demand side, right? And the -- if you're asking me in terms of whether the investment

on the brokerage side, are they really material from a P&L perspective, the answer is no, at this point in time.

Manish Poddar: So, if I get it right, you said Bangalore is one hub, which we've started, have we -- haven't taken this pilot to another hub, is what I'm trying to get some sense of.

Rajesh Yabaji: Sorry, I have not been able to hear you, Manish.

Manish Poddar: No, no, so I'm saying let's say Bangalore is one hub where you've taken this business, right? So, I'm just trying to understand h ave you started doing it in other hubs also, and how many hubs right now?

Rajesh Yabaji: Yeah, Bangalore is the first hub. And again, Bangalore also, we are, basically, we want to reall y double down and deepen in Bangalore. And as you rightly have asked, we are live in totally five hubs. But yes, I mean, the business is largely in a, you know, playbook building phase. And, you know, very, very hard to explain any form of the business at this point in time. But yes, yeah.

Manish Poddar: Okay. And Rajesh, if I can squeeze in one last one, let's say in terms of this growth businesses, you know, which have roughly doubled in size, if I look at a full year basis, can you help me understand, le t's say, you know, incremental, in terms of incremental contribution, let's say, you know, if I had to think about it, what are the larger parts in that?

Rajesh Yabaji: What are the larger costs?

Manish Poddar: Larger parts, let's say in terms of delta cha nge in revenue.

Rajesh Yabaji: Larger parts . Yeah, s o basically, yeah, yeah. So as, you know, mentioned before, broadly, the mix, you know, is similar. You know, the vehicle finance business would be the, you know, largest in that. And then the loads broke rage business, and then the fuel center business. Largely from a, you know, timing and the scale of the businesses perspective. Yeah.

Manish Poddar: Okay. Okay. Thank you so much.

Moderator: Thank you. Next question is from Nilesh Jain from Astute Investme nt Management. Please go ahead.

Nilesh Jain: Hi, thank you for the opportunity. And congratulations for a great set of numbers. My first question is on your number of monthly active operators. And currently, we have almost, you know, a share of 20%. So how should we expect growth on this side? You know, acquisition of new users, other truck operators?

Rajesh Yabaji: Yeah. So basically, I think, if you're asking from perspective of the user acquisition on the trucker side, I think you should expect this numb er to be, you know, range bound in this zone, you know, you know, for a good number of years. I think the important point to also understand is that if you segment this particular market share across different categories, we have, like, let's

say, much hig her market share on the intercity truck side, because of the nature of the services
we provide, and probably a lower market share on the smaller vehicles kind of perspective, right?

So the way to look at is that the kind of, you know, businesses we as a co mpany want to venture into in terms of in the future , in terms of loads, et cetera , right? I think for these businesses to become bigger and generate massive revenues, right? The scale of user base, you know, and growing at this level is basically, you know, perfectly fine, right?
So, if you're asking me, is the growth slowing down? Obviously, answer is yes, it will be in this rang

e of, you know, higher double digits, lower double digits over the next course of 3 to 5 years.
But this does not determine t he growth rate of independent business verticals, because if you see the maximum penetrated category for us is tolling .
Telematics has probably, you know, half the penetration of tolling. So, which means there's a much headroom of growth. Loads has very less penetration in terms of the brokerage, let's say, which is the largest revenue, which will be the ticket size or the largest revenue generating vertical, right?
So, if you are -- if the question is from a perspective of headroom of growth, all vertica ls have a very high headroom of growth. But from the perspective of addition of customers, like, you know, as the, you know, the broad statement, which I mentioned, it will be in the, you know, double digit numbers in the foreseeable future.
Moderator: Thank you. Nilesh, I'll request you to come back for a follow up question, please. Next question is from the line of Lokesh Manik from Vallum Capital . Please go ahead.
Lokesh Manik: Yeah . Hi, good evening to you, Rajesh and team. My question was, you know, af ter you get the PPI license, what is the increase in fixed cost that you are expecting?
Moderator: Lokesh, sorry to interrupt you, your audio is unclear. Can you please come a little closer to the speaker and talk, your mic and talk, please?
Lokesh Manik: Yeah, this is better. Hello.
Rajesh Yabaji: Yeah, go ahead. I think it was a little unclear, but I think we've also got the question. I think your question was that PPI license, you know, what is the cost increase, right?
Lokesh Manik: Yeah.
Rajesh Yabaji: So basically, like, remember that the whole journey of building the stacks to deliver the payment experience to the customer, like, a lot of the stack is already existing with us, right? A, right?
And, like, the incremental cost would be far outweighing, let's say, even, let's say, assuming that we do, let's say, some X percent business on our own prepaid stack end to end, right?
The incremental cost, even from day one on a variable basis, at like even a very small scale, even if 5% of our business comes f rom our prepaid stack, the incremental costs are far lower than the overall improvement in economics. So, there is not going to be any fixed increase in fixed overhead. It is still the same team, same technology team, same product team is going to build and manage the same stack, you know, internally.

Lokesh Manik: Good. That's it for my side. Thank you.
Moderator: Thank you. Next question is from Gaurav Malhotra from A xis. Please go ahead.
Gaurav Malhotra: Hi, thank you for the opportunity. Congrats on a good set of numbers. I just had a couple of questions. I think they have been, you know, the cost control has been excellent. Just wanted to get a sense as to, you know, at how much more you can sort of squeeze out of the growth of your business, you know , without sort of really meaningfully increasing a cost. That's my first question.
Rajesh Yabaji: So basically, we will, I mean, I don't expect reduction in cost, right? I think we fairly run a very, I mean, we have a very lean culture. We have been operat ing like this, you know, forever in terms of all our policies and everything. We typically have a very lean approach to it. Even launching a new business, we have a very lean approach to it. You know, let's say, I mean, we started off a brokerage business, like we just take a, you know, 5000 -seater for 100 people, which is a INR500, you know, sort of, you know, cost per seat, you know, INR50,000 seater like this.
So basically, that's always the approach in terms of very, you know, lean, you know, way of executing, I think you will expect the cost to be largely, you know, lean, and then would not reduce, I would say. Second part is,

like, obviously, you will always see, like, you know, a
benefit of operating leverage there, that, you know, whatever we do incr ementally, we will be
able to deliver operating leverage, but, you know, inflation linked is what you can largely
assume. Yeah.
Gaurav Malhotra: Okay, thank you so much.
Moderator: Thank you. Next question is from the line of Parikshit Kabra from Pkeday Advisors. Please go
ahead. Parikshit, may I request you to unmute your line and proceed with your question, please?
Due to no response, we move on to the next participant. Next question is from the line of Nidhesh
Jain from Investec India. Please go ahead.
Nidhesh Jain: Thanks for the opportunity. First question is, what is the profile of our truck operators? Are they
single driver owners, fleet owners? And what is the average size of, what is the range of size of
fleet that these truck operators are managing ?
Rajesh Yabaji: Yeah, an average between two to three trucks. Small, small truck operators. Think of it as, think
of it as, think of it as large truck operators always had a lot of people to serve them. Because
they are more profitable segments, because c ost to get to them is easy. You go to a big truck guy
who has 50 trucks, you can just sell him a deal and economize on your cost of sales.
We were able to develop a unique method by using tech, using platform and on -ground
workforce to be able to really se rve these small users all across the country. So, yeah, so this
was always an underserved segment. Using technology, BlackBuck was able to really penetrate
and get them online and build a business model from there.

Nidhesh Jain: Sure, sure. And what percen tage of your revenue will be coming from this telematics or fuel
sensor segment?
Rajesh Yabaji: We only give the split of core and growth at the moment . Core and growth put together, we've
already disclosed that's roughly close to about 85% of the revenues. And in those payments is
the larger revenue vertical, telematics is second. Yeah.
Nidhesh Jain: Okay. And third question is on cash flow generation. Cash flow generation this year is a bit
softer. Cash flow from operation is almost 50% of EBITDA, adjusted EBITDA. So, any
particular reason why the cash flow from operation is much lower?
Rajesh Yabaji: Yeah, good question. Cash flow from operations for u s always mimics adjusted EBITDA , right?
In this particular year, there are basically two things which have happened. The cash flow
operations you're referring is basically the cash flow of console P&L. One is basically the loans
disbursed by the NB FC arm o f BlackBuck. That's roughly about INR30 crores of loans disbursed
by them. So that's one thing which you need to account for, which is leading to the number not
being there.
The second number is that there is a one -off working capital item that you can see , there's a
INR50 crores of working capital gap which went into the business. That was again a one -off that
got clawed back. That actually on 31st of March, in fact, that got clawed back in the first week
of April itself. That was to ensure that within 1st of April, a lot of banks don't operate. That was
to ensure that the whole payments business does not have any working capital, sort of a crunch
that got clawed back. If you add both of them back, the number comes close to the adjusted
EBITDA of INR105 cro res.
Nidhesh Jain: Okay, sure. That's it from my side .
Rajesh Yabaji: So, every quarter, think of it as whatever EBITDA we deliver, that's the cash we generate.
Moderator: Thank you. Next question is from Deepak Poddar from Sapphire Capital. Please go ahead.
Deepak Poddar: Okay, yeah. Thank you very much for this opportunity. So just first up, wanted to understand, I
mean, in terms of revenue CAGR, if I have to see next 2 -3 years, what sort of CAGR range we
might

be looking at? And what would be top 2 -3 growth drivers to achieve that kind of growth ?
Yeah. So that would be my question.
Rajesh Yabaji: Yeah, so we as a company have basically taken a position on not providing guidance. But to just
help you, like you could like really, I mean, the growth businesses is anyone's guess, because all
of that is a big optionality is depending on how we crack som e business models and how we
really outscale, right?
In terms of core businesses, like, you know, we have got, you know, very strong tailwinds from
the perspective of India's infrastructure development and how tolling goes in the country. I think
most of t hose indices would help you be able to sort of, you know, model how that looks like.
But yeah.

Deepak Poddar: And what would be top 2 -3 growth drivers we are seeing?
Rajesh Yabaji: Top 3 growth drivers? I mean, basically kilometers built in the country, th e inflation on toll fares, how they work, number of trucks, how they are increasing, how we are, you know, gaining market share, you know, on a continual basis, right? If you map all these factors, you would be able to, you know, yeah, simulate this.
Deepa k Poddar: Fair enough. And in terms of, I mean, will you be able to provide in terms of revenue mix? I mean, how much we earn from brokerages, how much we earn from commission or subscription base? So, some breakup would you be able to provide in terms of percentage? Yeah.
Rajesh Yabaji: Yeah. We only provide split between our core businesses, which is basically tolling and, you know, vehicle tracking service and the growth businesses. Only these two splits we provide, sub - split we don't provide.
Deepak Pod dar: So how much would be tolling and tracking?
Rajesh Yabaji: About 85%.
Deepak Poddar: Huh? 80 %-85%.
Rajesh Yabaji: 85%.
Deepak Poddar: And remaining would be growth.
Rajesh Yabaji: 85%, yeah.
Deepak Poddar: And remaining would be growth.
Rajesh Yabaji: Yeah. You can see it in the earnings deck, you know, it's provided out there. There's a quarter - on-quarter flow as well. Yeah.
Deepak Poddar: Fair enough. That's very helpful, sir. I mean, that would be from side. Thank you very much .
Moderator: Thank you. Next question is from the line of Nilesh Jain from Astute Investments. Please go ahead.
Nilesh Jain: Hi. Thank you for the opportunity again. My question is on the tolling business for the FY '25, what would be our market share roughly, if you can provide that?
Rajesh Yabaji: We ended with -- we started the year with 37. We ended the last year with 37. This year we ended at roughly 45.5.
Nilesh Jain: Do we see ample opportunity for us to further increase the market share or we, you know, will be stable around this level?
Rajesh Yabaji: We believe that, you know, like every month we acquire market shares, right? So, we believe that we will continue, we continue to have good headroom, but we don't know where we will

land at. But se e, I mean, how much ever our incremental acquisitions are away from our current steady state market share, our market share will keep growing.
So, I think we can only like help you understand how the past has been, which has been like we moved from 30 to 37, 37 to 45.5. Now we need to, you know, figure out how the next year is going to be. But yes, yeah, but we are the market leaders in terms of acquisitions and in terms of GTVs . So, we continue to, you know, steer aggressively in that direction.
Nilesh Jain: Just last question on data keeping, if you can provide, you know, the active GPS devices we have. I think this last, I think what you all had shared was 6,87 ,000 in queue at the time of R HP. Would it be possible to share?
Rajesh Yabaji: No, I don't think that in RHP . Sorry?
Nilesh Jain:

3,90,000 I think you all had at the time of RHP .
Rajesh Yabaji: Yeah, correct, correct. So, this information, I mean, we've stopped providing , yeah, we stopped providing, you know, at the moment. Yeah.
Nilesh Jain: No problem. All the best.
Rajesh Yabaji: Thank you.
Moderator: Thank you. We'll take the next follow -up question from the line of Sachin Dixit from JM Financial. Please go ahead.
Sachin Dixit: Rajesh, a couple of housekeeping questions we need. The first one is that why do we have a negative resource expense for this quarter?
Rajesh Yabaji: Yeah, so there are some two things. One, if let's say an employee leaves, then that ESOP get s surrendered and then there is a reversal. Second, there are some changes in estimates in terms of attrition, et cetera . These are the two reasons. But as we move forward, like we have shared in the earnings deck, assuming no further grants, what is the E SOP charge for the next eight quarters is being provided in the appendix?
Sachin Dixit: And the second question is basically on discontinued operations, right? I believe we sold off that business and last quarter we did not have any number coming from disc ontinued operation P&L, but we again have this quarter. Why is that coming and how long do you think such an impact can last?
Rajesh Yabaji: If you see the note also on the continued operation, there was a contingent disclosure that was

there. Now, I mean, we have cleared all of that out, that obligation closed in February. So, this is the last charge that we will have on this particular piece. It is just contingent refuel bill that is not coming.

Sachin Dixit: I understood. All right. Thanks so much.

Moder ator: Thank you very much. As there are no further questions, I will now hand the conference over to Mr. Ankur Pant for closing comments.

Ankur Pant: So, thank you everyone for joining the call. With this, we conclude the 4Q FY '25 call for Zin ka Logistics Solutions Limited. Have a nice day.

Moderator: Thank you very much. On behalf of I IFL Capital and Zin ka Logistics Solutions Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.
Thank you.

Call: Aug 2025

Ref: BLACKBUCK/CORP/2025 -26/74
August 08, 2025
To
National Stock Exchange of India Ltd.,
Exchange Plaza, C -1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001

Scrip Code: 5 44288, Scrip Symbol: BLACKBUCK, Series – EQ
ISIN - INE0UIZ01018

Dear Sir/ Madam,
Sub: Transcript of the Earnings Conference Call for Analysts and Investors conducted on August 05, 2025 .
Ref: Disclosure under Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

Pursuant to Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby provide the transcript of the Earnings Conference Call for Analysts an d Investors conducted on Tuesday , August 05, 2025 during 05:00 PM (IST) to 6:10 PM (IST) .

Enclosed is the transcript of the Earnings Conference Call, which is also hosted on the website of the company. The link to access the transcript is provided below:

https://a.blbk.in/Corporate_Announcement

Kindly take the above information on record.

Thanking you

Yours Sincerely,
For Zinka Logistics Solutions Limited

____
Barun Pandey
Company Secretary and Compliance Officer
Membership No: A39508

“Zinka Logistics Solutions Limited
Q1 FY '2 6 Earnings Conference Call ”
August 05, 202 5

MANAGEMENT : MR. RAJESH KUMAR NAIDU YABAJI – CHAIRMAN , MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – ZINKA LOGISTICS SOLUTIONS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY '26 Earnings Conference Call of Zink a Logistics Solutions Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that t his conference is being recorded. Please note that a copy of disclosure is available on the Investor Relations section of the website as well as on the stock exchanges.

Anything said on this call, which reflects the outlook towards the future of which will be construed as a forward -looking statement must be reviewed in conjunction with the risk that the company faces. Please note that the audio of the earnings call is corporate material of Zinka Logistics Solutions Limited and cannot be copied, rebroadcasted, or attributed in the PR media without specific and written consent of the company.

I now hand the conference over to Mr. Rishi Jhunjhunwala from IIFL Capital. Thank you, and over to you.

Rishi Jhunjhunwala: Yes. Thank you. Good morning, everyone. On behalf of IIFL Capital, I welcome you all to the Q1 FY '26 Earnings Call of BlackBuck or Zinka Logistic Solutions Limited. To give you an in - depth understanding of the company and answer all your queries we have from the management side today, Mr. Rajesh Kumar Naidu Yabaji, CMD and CEO; and Mr. Satyakam Naik, CFO.

With this, I would hand over the call to Rajesh. Over to you. Thank you.

Rajesh Kumar Yabaji: Yes. Thanks, Rishi. Am I audible?

Moderator: Yes, please go ahead.

Rajesh Kumar Yabaji: Good evening, everybody. Welcome to the first earnings call of FY '26. We met a quarter back, a few months back. We had a very good end to the last financial year and a very good beginning as well to the next financial year. This is our fourth earnings cal l. I think a number of 4 from an earnings call perspective probably in public markets would also make it a year, broadly old.

So we've decided, as you have seen in the circulated material, you would have seen that we have really evolved our metrics to represent strengthening of the metrics. Because last year, first year into the IPO, there were a lot of one -offs, which would keep coming every quarter. I think now we are sort of behind that.

So our ability to stick to like only reporting and talking about largely like the hardcore metrics, which I think at the holy grail, I think, is starting to happen from this quarter. So you would see we have evolved a few metrics, and we will -- wherever t here are some changes, we will be underrating some of those. And yes, and here we go.

So this is a snapshot of our first quarter. So on the overall income of the company, we made close to about INR160 crores in total revenues, which was a growth of about roughly 63% -- 62% to 63% over the last year same quarter. On an EBITDA basis, this is -- the real EBITDA

number includes all the costs above - ESOP cost above because our adjusted EBITDA number was only adjusting for ESOP.

On that number, we have done close to about INR40 crores in the last quarter, which is close to 4x growth over the last -- in the same quarter last year. On the PAT, we've done close to INR34 crores. There is no comparable number last year because it had a lot of one -offs, so we are not comparing it with last year. So that's the broad on the financial metrics performance. So it was a good quarter for us. And more importantly because this is a true EBITDA number.

Important to note that in our business, we generated an operating cash flow of approximately INR63 crores in the last quarter because most of our revenue

s are -- is what we collect upfront
in terms of subscription revenues from our customers, and they get generally spread out over the year. So we collected like -- we generated operating cash of INR63 crores. And then obviously, when you account for revenue and then the EBITDA, it becomes a INR40 crores number, which you're seeing.

Continuing our growth trajectory in terms of our operating metrics, we continue to deepen our market share in various different markets. So we have close to about now 783,000 transacting customers, monthly transacting customers on the platform, which is ro ughly a growth of about 14% from a year -on-year basis.

Because majority of our revenues and majority of our work of focus is largely in the intercity and bigger trucks, dimension. There we are able to like garner higher and higher market share and that growth continues. On the metric where we demonstrate power users and power users are the users who really love us, and we hardly see any churn from those users typically. They're roughly close to about 386,000 of these users who use more than equal to services, which is on that number, we've grown about 25 %. GDP of payments, which determines largely the revenue from payments, right, grew about close to 28% on a year -on-year basis and with it, close to INR6,800 crores in payments flow through on the platform.

So summarizing, as you can see, broadly, in the last 4 quarters of reporting, you've seen that we have consistently grown in strength to strength on the profitability numbers so we've delivered continuously like continue to increasing profitability. And at the same time, what's important to note is that most of these profits delivered incorporates the cost of our newer experiments, cost of our new investments we ar e making in our new businesses.

So there, I think after coming into the public markets and understanding really how sort of what it takes to really run the company on this side. Having said that, like we are much more aggressive on our scale up of newer business areas over the last few q uarters and we will continue to do so as we keep going forward. That's a snapshot of Q1 '26.

Before deep diving into further details, like many of you will be attending probably our earnings call for the first time. We'll take a minute and sort of revisit what we really are as a company building, right? As you understand, we are -- like we are a c ompany with a dream in the long term to really disrupt and really organize the space of Indian trucking, right? Today, any one of

us, if you walk into a transport nagar in the country, we will only come back with the realization that this industry would change.

The only question is really about when would this change, but now with but not really whether will this change right? So we believe that the systemic inefficiencies in terms of the idle days of a truck in terms of the number of kilometers which a truck doe s in a month like when you compare all of these to the developed world, India is like far behind. In terms of the number of billable days, which a truck does, which is broadly in the range of like 17 to 18 days, the remaining 12 days is like nearly going empty to really find the next load or getting unloaded or getting loaded.

All these inefficiencies are something which can really be addressed leveraging technology, right? And to be able to build this, I think the first like lever to solve for is really trying to solve for the truck operator. And that is what we have dedicated like BlackBuck 's time -- our time over the last 5 to 8 years really solving for that. And from there is where we've been able to build really what BlackBuck today exemplifies a platform, which really enables and empowers a truck operator, helping him mana ge his business and really expand this business.

What today, our business mo

del and our strategy looks like, like are we -- is basically these 3 vectors. We continuously create offerings for our customers, which are essentially the innovations for our customers. We have our platform on which our customer s transact. This is nothing about our mobile app, which our customers use continuously day in and day out.

And a very unique low -cost distribution and servicing engine, which is like spread across almost every significant trucking village, right? What is really important to note is that the part of platform and distribution are something which is -- which basic ally took us a lot of time to build, right? It took us like the last 7, 8 years to really invest in these and build these platforms. And a lot of investments in these areas are largely like completed maybe about 18 months to 24 months back.

And most of the investments today are in the area of innovating newer offerings, right? And the reason I explain this is because it becomes very easier to understand our financials if you understand the fact that the platform investments our platform and distribution investments are really enabling us today to be able to launch a newer offering on the platform at a very incrementally zero cost.

And newer offerings are able to achieve critical scale because of these two sort of capabilities of ours where we are not really spending any incremental cost, right? So yes, so articulating our strategy, very clearly, offerings, as I always explained, we keep iterating, keep building newer value prop, services, newer innovations for our customers with which their lives can improve. These are always launched on the platform, our mobile app, which is really continuously being used more and more deeper by our customers, right? And our ever scaling distribution workforce where largely it's a variablized workforce. So basically, if at all , sales don't really happen in a seasonal months or quarters, you would see -- the costs also essentially shrinking automatically because these are really not fixed costs, they are really variable costs, which are in the nature of

sales, right? So that's the whole, I would say, revenue delivery cycle or a growth cycle for the whole company.

Now taking you straight into really what the financials are for us. So this is the P&L overview for the company. First line item, which is the total income. Total income of the company in the last quarter, we have done close to about INR160 crores, which is a growth of roughly about 62% on a year -on-year basis and on a rolling quarter basis, roughly 17%.

If we remove the -- largely the interest income, we get the number on revenue from operations, which is roughly about close to INR144 crores. INR144 crores is a growth of roughly 56% on a year-on-year basis, growing from INR92 crores in the last year same quarter to INR144 crores.

Now if we split this into two segments. Core businesses are largely -- we have defined as all the new -- all the existing capabilities. Typically, let's say, in earlier reporting under telematics, and we used to typically do a GPS, we would report into cor e and we would report the fuel sensor vertical in the growth businesses, right? But then for these businesses, the costs are shared, the capabilities I shared.

So we've decided to reclassify that and put that as payments and telematics as our core business where we have done close to INR120 crores in the recent quarter. Over the last year, we've done close to INR86 crores. That's a 41% growth. Even if we would have used the previous definition, the growth number would have come close to 39%. So largely, this reclassification is done more to enhance the quality of reporting but not to really look at numbers differe ntly.

Next is the growth business, which is interesting because Super Loads business, which is basically the evolution

of a classified business into a transaction marketplace is kicked in, right?

And that's where we are seeing good level of growth.

So we've started reporting that business -- those revenues from this quarter onwards because of the unlock we have had in that particular business, where we've done close to about INR23 crores in revenues, which is a growth of roughly about -- in the overall growth business -- Super Loads plus multiple other businesses we run close to INR23 crores, which is a growth of about 3 to 4x over the last year. The roughly we did INR6.5 crores in the previous year. Now we have done close to INR24 crores. That's grow th business.

Important point to note is that Super Loads business in an accounting terms happens to be at a gross level, right? So that's why we've introduced a new metric, which is called as net revenues. When we add to the revenue, the operational revenues of the other businesses plus we add the gross mar gin of the Super Loads business is where we come to net revenues, right? So we take off the gross impact of that business and start reporting that it's easier for you to understand the revenue reporting.

So on the net revenues, we've again had a very healthy growth rate. We've grown at about 43% on a year -on-year basis from INR92 crores in the same quarter last year to INR132 crores. On a sequential quarter basis, we've grown at roughly about 8%, right? And coming to the cost line items, direct costs largely has grown in line with the growth in revenues, growing at about close to 45%, 46% and that's why the whole contributi on margin for the business largely is stable at

about roughly 93%. If you see last year, the contribution margin was 92.8%, this year roughly 92.6%, right?

On the overall -- on the total expenses, roughly, there is a small shrinkage of about 6%, but don't expect this shrinkage to continue, we would be investing in growth as we move into the next quarters and for propelling growth and growing into new business es.

So removing all of this, we've generated roughly about close to INR47 crores in the adjusted EBITDA -- on the adjusted EBITDA basis compared to INR12 crores in the same quarter last year, which is roughly a growth of about close to 4x on a year -on-year basis. Accounting for the ESOP expenses coming to the pure EBITDA line item, that's roughly about INR40 crores for this quarter compared to the previous year same quarter of about INR8 crores, which is roughly about a 5x growth from the previous year.

Coming to the line item of PBT, where there is basically growth of roughly about 41%. Last

year, the same quarter, we had an adjustment in the one -off adjustment in the PBT numbers. reversal of the RTS charges, right to subscription, we had instruments on right subscription in the capital. Those were reversed. So you would see a INR32 crores, which is -- because of a one-off item, which is really not the real PBT of that particular quarter and this quarter delivered close to about INR46 crores in the PBT.
On the PAT basis, which is basically the true metric, we have done close to about INR34 crores in the current quarter, right? So this is broadly -- look you can summarize most of these changes as really moving into the spirit of like really accounting line numbers so that the needing to explain some of these would not be there as we keep m oving forward.
Coming to some of the operational metrics, the key KPIs, which we reported during going public, largely growth as expected across most of these metrics and we have covered most of the financial metrics in the previous slide already. Revenue from operations , we have covered net revenues, we have covered and adjusted EBITDA we have covered in the previous metric.
So largely in line with, as we discussed in the previous slides, right?
Going forward, summarizing the 3 broad key ar

eas on the overall revenue growth as a company,
we've done close to 62% on a year -on-year basis. Core businesses compounding at close to 41%, largely leveraging the core operating model because the core operatin g model is built to leverage the tailwinds of the industry and a very strong execution excellence rhythm, which we have, as a company, maintained over the many years.
The growth businesses continue to lead the growth trajectory where we've grown by about roughly 4x -- 3.5x to 4x the last year largely led by the launch of SuperLoads business, where the transition from classified two transactions is happening. And that's a very high value prop for our customers, and we would be able to really dramatically influence their deadheads, their running days, and it's a very powerful product and a powerful value prop for our customers.
Commenting on to the dimension on profitability. As you can see, the strong operating leverage continues to be demonstrated in the core business. And while we continue to invest in new businesses, we continue to build on profitability. As we spoke, adjuste d EBITDA grew roughly

4x from INR12 crores in the previous year same quarter to INR47 crores to this quarter which is roughly on a percentage point basis, it's 13% growth, 13% to a 36% on a net revenue basis -- on a year -on-year basis.
And all the core platform metrics continue to compound. As you can see, there is a growth of trucking operators, roughly about 14% to close to 800,000. The time spent of the users is growing -- has grown about 43 minutes, the GTV in payments, which is one of the largest used services also has continued to compound.
Now explaining -- again -- reiterating again on the operating leverage story. As we've always maintained most of the revenues are platform -led like subscription revenues, commission -led revenues. So hence, if you see on the right -hand side, the revenues ar e largely recurring in nature. So we don't have to really go every quarter and win these revenues, like 90% of these revenues probably would be coming in from what we've alr eady done in the past quarters.
Most of the revenue has high gross margin profile. So as you can see on a net revenue basis, if you see contribution margin profile continues to be steady at 93% gross margin, which talks about the quality of revenues. And we always have had very strong us er retention. And to create these revenues, there is no real strong asset creation or money invested in deploying into an asset, right?
And that is the reason why continuously, we have delivered in any quarter, you pick up anywhere in the range of 70%, 75% to like as close to 90%, 99% operating leverage have delivered.
Talking about this quarter, if you see on a year -on-year basis, there's a change in revenue of close to INR40 crores, and there's a change in adjusted EBITDA of close to INR35 crores. That's a delivery of 88% of operating leverage.
On a sequential quarter basis, there's a growth in revenue of INR10 crores. There's a growth in adjusted EBITDA of INR8 crores, that's a delivery of 84% of operating leverage, right? So we probably with a reasonable confidence, probably believe that this operating leverage is -- will continue to play out as we keep building the growth trajectory of the company.
Moving forward, just giving you a snapshot of profitability. This is the adjusted EBITDA metric because the past numbers on pure EBITDA would move around a bit for right comparison, it's adjusted EBITDA. As you can see, Q1 '24, two years back, we did negat ive INR10 crores, negate INR11 crores of adjusted EBITDA changed from the last reporting is that we've removed the other income bid from all of these numbers.
So you would see the negative being a little bit more higher. So it's a negative 18% on Q1 '24, two years back and as we report today, that numb

er has grown to INR47 crores, which is close
to about 36% in the recent quarter of Q1 '26. And as you can see, there is probably no quarter in which our profitability has not consistently grown in line with delivering operating leverage.
And this is what I typically talk about when people ask me to share my experience on the journey of going public that if the business model really delivers your results, really the whole rhythm of doing quarter -on-quarter results really is not really burde nsome because your operating model deliver the results, you don't really work on this quarter for this quarter.

You typically work in this quarter for probably or in the next 5 years kind of a growth trajectory and solving really the hard problems that you really have to still solve, right? And that keeps really, that keeps us as a company, really focused on right o bjectives for the long term, which are also -- which is really important even for the shareholders.
Just putting here together because there is some change in numbers so that all of you can refer to this particular chart, the way we started reporting numbers this quarter, you can find the reporting of these numbers for the last 8 quarters. so that you ca n compare and contrast, if you have any doubts in terms of how some of these numbers have trended in the past relevant to this definition. So you can find sort of the glossary over here.
Summarizing the broad takeaways of those 2 -year numbers is that -- there is a 2.5x growth, revenue growth over the last 8 quarters. From the time broadly, many of you would have started interacting with us and knowing us like it was Q1 of '24 numbers is -- Q1 to Q4 of '24 numbers is what we were taking with you and talking. So from that, the first number you've seen like there's value of 2.5x growth.
There's a massive turnaround in profitability, roughly a 53 percentage points turnaround in profitability from a negative of minus 13% in Q1 '24 to a positive of 35%, which we talked about in this particular quarter. As I mentioned, like almost every quarter, you would find numbers of quarter -on-quarter, if you look at -- every quarter, if you look at year -on-year operating leverage, the numbers would vary between 95%, 98%, 85%, like lowest is 70% so I think 70% plus i s something which I think we have deli vered very, very, very, very cons istently in the last two years.
And as you would have seen in this particular quarter, we're moving into this financial year with a very strong momentum in like creating newer high -quality revenue streams which are not only high quality from a P&L perspective, but also the value proposit ion of those business verticals are -- is very, very high and solves very critical pain points of our customers and helps us more become a part of their revenue generation like -- and because today, we really help them optimize his its cost, help him run his business well, have control which basically is very good, and they really love us.
But I think they really shift into really partnering with them and really expanding the revenues and make more. I think it's a very, very stronger, and integrated partnership level with our customers than where we are today. So with that, we'll open the floor to questions. Thank you so much for listening to us.
Moderator: Thank you very much. We'll take our f irst question from the line of Sachin Dixit from JM Financial. Please go ahead.
Sachin Dixit: I just hope well and quarterly results obviously were brilliant. So building on to some of the things that you mentioned, there are three questions that I had. The first one was on the SuperLoad side. So this is the first quarter where you have come up with some of the numbers on that piece. And if we do some math around that, it looks like we did roughly GTV of close to INR12 crores, INR13 cr

ores there which effectively is implying, and let me know if my math is

wrong, which effectively is giving close to like a 20 to 25 freight transactions a day. Is that math right? How do we look to ramp up that number? Do you have any visibility on the plans ahead on this piece?
Rajesh Kumar Yabaji: Yes. So Sachin, I won't be able to comment on your numbers because as a principle, as you've always kept out that we will probably keep the disclosures of new businesses are fairly limited, and we will -- probably till the time they become a little bit mor e mature or probably 20%, 30% of the overall revenues, we would not be disclosing probably in greater details. The second part of your question was around like the first part was in the numbers? And second part, Sachin, can you repeat your question?
Sachin Dixit: Visibility on how you are looking to ramp this up? Or where do you stand? Where you plan to

go?
Rajesh Kumar Yabaji: Yes. So basically, as I had maintained before, I think the business is in a very nascent, very creation zone. Obviously, we've started reporting it now, right? So it's still live in four hubs across the country, hyperscaling into the other two hubs are lar gely for reversal synergies. The business has taken a very strong shape in this particular quarter.
If you're asking me, we are still largely focused on heavily ramping up in only two cities from one earlier, no w only two cities largely to re lease complete the whole playbook creation. But I think we have -- what I would like to also add is that, I think really, I think the business is more entering into a phase where are also trying to more understand how a mature P&L of this business should look like, how would a very -- like, let's say, a playbook of launch of a market from, let's say, scale zero to a maturity.
What would that look like? How would the expansion strategy look like? I think those deliberations have already started. So the broader say is that it will probably be another 3 to 4 quarters before a very exponential growth to come into this particular bu siness.
Sachin Dixit: Got it. Just touching on to the things that you mentioned that the couple of us are doing quite well. So when I think of like you ramping up to newer hubs, like what does it take right, how much effort, time, capital, whatever -- I mean I understand capita l requirement might be minimal, but otherwise, how much effort does it take for you to ramp up in newer hubs?
Rajesh Kumar Yabaji: Yes. So that's a very good question. Basically, in this business, right, the whole aspect is that this business is already running live off -line business, right? So India does like close to $200 billion of freight, right? Freight volumes in a year. In that , if we really remove the specialized execution like the part truckload businesses, the e -comm businesses, the cold chains, the customized trucks , etcetera, right?
So if you remove all of that, 40% of the market goes away. 60% of the market is $120 billion typically gets executed in the full truckload in an open market load kind of a basis, right? Now this business largely happens through multiple layers of intermedi aries as we've always discussed. There are 2 layers of intermediaries, right? And in the industry, there are like roughly 2.5 lakh brokers who do basically this business. Our business is nothing but a shift of this business from an off -line industry to an online industry, right?

Now in any marketplace, there are 2 critical factors. There is a demand side and there is the supply side, right? As you would be aware, in our history of the business, we initially had gone into the enterprise business. And one of the biggest reasons that we did not pursue that business later on was our inability to build dire

ct supply and supply -side costs are very high cost in this business, right, which you have also articulated that the cost may be minimum, right?
The reason they are minimal is a sense because we've created our whole go -to-market in this industry by really delivering payment solutions and telematics solutions. And with that, we really gain a very high market share of long -distance traveling truck op erators, right? So large corporate truck operators do intercity, right?
Now to switch on a newer market, remember that in every market in the country, any market you pick up, we have of the long -distance truck operators of market share between anywhere near 15%, 20% to as high as 70% market share of these long range, long dist ance truck operators, right? So now I have largely supply already incubated , number one. And number two, supply is already activated on the classifieds platform.
So truck owners know that, there is loads over here, right? Now this classifies platform, which already has loads which are posted by the offline other brokers and transporters. We typically convert them into our own first -party load where the truck custom er can really see that this is a SuperLoad. This is executed by BlackBuck full-stack end -to-end. BlackBuck will essentially be paying me the money.
So it's a much more stronger payment assured load, right? So essentially to turn on the market, we basically need to get to the market, probably deploy a branch, hire a few people who can necessarily conduct fulfillment, conduct price negotiations. So it's a very thin -- wafer thin effort because demand side, always the shippers have unfulfilled demand because fulfillment by local brokers and transporter is very minimal. Now they always are always in search of a newer transporter who can enable them, right ?
A newer company which can enable them. So SuperLoads essentially becomes a very easy partner for people on the shipper side because the cost there is minimal. There again, we do an on-ground activation with the customers to get onboarded. The supply side i s largely like 95% customers is dependent on the platform to get truckers who can come and take the transaction marketplace -oriented loads. So really activating the market is a lead time of like 15 days to like 20 days to activate a newer market and start like the business.

Sachin Dixit: Understood. My second question is on the insurance license press release that you put out. What's the plan there? Are you planning to like put in proper people dedicated to trying to ramp up insurance or this will just be a product plug on that?
Rajesh Kumar Yabaji: Yes. So in the history of insurance license, we already had this insurance license before. This was actually the renewal of the insurance license, right? That's point number one. Point number 2 is that today already, like, let's say, we have fewer like att ach rates on insurance, this is all the services we sell. We obviously are using third -party players to get those procured. And our margins are basically a little lesser.

With this, basically the same -- with the same insurance what we are selling, it we go through via our own corporate agency license where our margins essentially will -- a little bit expand, which will help us deliver better contribution profits, number on e. And number 2 is that in terms of explaining, as you rightly said, it's largely a small plug in, nothing really material because we are not very directly in the business of only selling insurance to truckers. We basically use this as an attach rate for any of our products and then cross -sell it over that particular product rather than really get into really the insurance business of selling.
Sachin Dixit: Got it. Just one final question, which is on the growth piece, right? So when you release the average monthly transacting truck

operator data, there seems to have been a growth down trend.
Obviously, that is also understandable for the size you are at. But is it normal, is it likely to again pick up? Or do you see like over a period of time, this will start to inch slightly downwards?
Rajesh Kumar Yabaji: In our Business, Q1 and Q2, right? I had also narrated this in our first earnings call. Q1 and Q2 typically are always the seasonal months, right? Addition of truck operators and you would not be seeing this reflection in our revenue because the revenue is a compounded revenue, right? Additional truck operators, the whole movement of trucks, right? All of those typically hit the lowe st numbers in Q1 and Q2, right?
Most of the growth typically comes in Q3 and Q4, right? So if you typically see even our movement in numbers, let's say, for example, mostly, let's say, the numbers on mostly the profitability, et cetera, as well typically, you would see heavy moves in Q3 and Q4 because that's where like the whole operating leverage extends not only under on to the contribution to EBITDA, but also extend into the sales leverage also, right?
So Q1 and Q2, I would say, will be a bit muted. But at the same time, I would not like to guide that those numbers will be like, let's say, really past braking, there'll be maybe -- like probably an optimal correction to that but not really a seesaw change , a very big lift in that as you move into the next quarters. Yes.
Moderator: We'll take our next question from the line of Rishi Jhunjhunwala from IIFL Capital.
Rishi Jhunjhunwala: Thank you. Can you hear me?
Rajesh Kumar Yabaji: Yes, Rishi, we can hear you.
Rishi Jhunjhunwala: All right. Great. So just a couple of questions. Firstly, again on that loads business, while the revenue opportunity is quite clear. Just wanted to understand how would you approach it from a acquisition or cost of acquisition perspective, do you think both on the cost line as well as in the balance sheet, you could use some invest ments that are being done there because you've, in the past, talked about like 6% to 8% kind of take rate or commission on that. But can your initial bit of revenues actually be lower in order to acquire customers? Just wanted to understand how would you p lay that economics?
Rajesh Kumar Yabaji: So basically, I would break this in two phases, Rishi. One is basically the whole playbook development phase. I think in the playbook development phase, if we really like reduce the bar to really create numbers, what happens is that the ability to differen tiate between the real muscle,

which is being built out versus really the calorie growth because the calorie growth may appear as a strong growth, and you really would be able to mistake that with the muscle and then there, the quality of business development essentially goes down, righ t?
So as you rightly said, what we -- what I would like to say that in this business, because on both sides, -- those are truck operator, like, let's say, a more -- let's say the persona is the more retail customer. But at the end of the day, is a very stron g business plan. On the shipper side, SMBs and the transportation companies are also like businessmen, right? So we are in a -- like a sort of a B2B kind of an industry, right?
So any kind of an interplay on short term, like really trying to grab market share. Typically,

we've seen that has not really been a very sustainable strategy in terms of growth and development, right? That's like part of it. Point number three is that, a s you are aware, that ability, the cost of building supply is the highest, but the cost of building demand is actually smaller. But hence, by leveraging the platform, we have this unique opportunity like compared to anybody else in the market who is even trying to do this to be able to blitzscale in this particular a

rea, right? So what I would say is that like availability of A, f irst of all, inorganic opportunities are abysmal, right? Availability of -- ability to really induce capital till the time the playbook doesn't get built out, probably I would not really sort of advice.

But what I would like to guide you towards is that in the long term, if at all you would see from a perspective of investment, only the margin of this business may get fully reinvested but probably we will not break anything beyond that is how probably we are thinking even in the blitzscale phase of the particular business.

Rishi Jhunjhunwala: Got it. Secondly, with the PPI license, does any kind of dynamics change for us in any of the businesses, including tolling , how do you intend to leverage on that in the longer term?

Rajesh Kumar Yabaji: Yes. So rightly asked a question. Last time we gave you an update that we've got the in -principle approval that in principle approval on this July 2, we got a full approval of our PPI license. So that's point one. Point number two, as we have always maintained, the context of getting a PPI license was to really deliver a stronger customer experience right?

And also at the same time, it enables a little bit of margin expansion as well, right? Number three, our strategy with partners will continue to be largely the same. We will continue to work with our partners and partial part of the business and in the rem aining part of the business. And at this point in time, really, there is no thought process of really leveraging the PPI license on any part of the other parts of the business.

I think largely in the mainstream tolling business, we may end up probably creating some innovative products, like -- but then that's pretty much a few quarters down the line. But at this point in time, you can assume this to be as a customer experience en hancing tool and in a very longer -term margin -enhancing tool and in a very longer -term new product additive tool, but not in the near future.

Rishi Jhunjhunwala: This doesn't disintermediate banks or your banking partners in the long run for you?

Rajesh Kumar Yabaji: Not fully. Let's say, I mean, basically, without some of the principal partners, we've been working for long, like I think we would be working with them for a long period of time. We would not basically be fully disintermediate it.

Moderator: We'll take our next question from the line of Abhisek Banerjee from ICIC Securities.

Abhisek Banerjee: Rajesh. Thanks for the opportunity. Great set of numbers this quarter. The first question I have is on the loads Marketplace business. So you mentioned of a blitz phase, right? So is it right that you alluded to, it would be, say, 3, 4 quarters down the li ne, the blitz phase when we see exponential growth here?

Rajesh Kumar Yabaji: Yes. I mean let me put it in this way. New businesses are always, like, let's say, hard to build, they take time to build. We are in the playbook building phase. But I've always maintained this, that 4 to 6 quarters down the line is where you can see signi ficant movement in some of these businesses, not in the immediate future.

Abhisek Banerjee: Understood. Now coming to this business, while I understand it might not be feasible to give out absolute numbers but some indicators with regards to things like loads posted on the platform or I mean, at least the growth rates of how many loads are gettin g posted, is that possible to share? So that -- see, there are some things which are kind of indicators of future performance, right? So if we get a handle on that, it becomes a little easier to kind of model it.

Rajesh Kumar Yabaji: Yes. So I mean -- I mean, we have like few sort of philosophies here we have taken is that new businesses like until the time they don't add to 20% plus of the overall revenue, we would be li

miting the disclosures. And -- but then as you rightly said, I th ink as we keep moving forward, looking at how these businesses scale up, we will start disclosing a few more things for adding clarity.

Abhisek Banerjee: Sure. Now one very interesting thing in Delhivery’s presentation this quarter, I don't know if you've seen that, is that there, again, talking about building Orion which is their FTL business, and it is somewhat similar to your loan marketplace. And there is also another competitor out there in the private side of the market.

So any thoughts on competitive intensity in this space? And should one really be worried about competitive intensity at such a recent stage or would you really think that it's better for the growth of the overall market?

Rajesh Kumar Yabaji: I mean, basically, like if you have to draw a parallel, like probably it would be like a 2019 or 2020 of quick commerce where there's literally nobody doing anything in this space, right?
That's point one. Point number two, is that the biggest competition in this market today is the market itself because it's a hard market to crack. We've been in this space for the last like 10 years. And the ability to build supply is very hard because of the demography of the customers. And like the places and the regions they need to really go into the build supply, and it's very costly, right? Most of the money we've invested is basically into buildings supply, prior to doing public, all our loss -making years but largely about building supply on the platform. Now talking

about whatever little like, let's say, we are aware, is that like our business largely does not cater to enterprise customers.
I think the business which you are mentioning, may be the business which they cater to enterprise customers. Our business caters to SMBs and 3PL transporters, right? To basically put in perspective, delivery is basically our customer today in this busines s. So basically, hence, it's basically a classified platform close routing into transactions and making a take rate, right, and then basically getting the whole marketplace getting woven around it, right?
So it's -- so I would say that at this point in time, really a formidable direct competition or really worrying about competition is too nascent at this point in time for this business because the market opportunities very, very huge.
Abhisek Banerjee: Understood. Now if we talk on a per transaction basis, what are the key things that you try to improve customer experience with regards to the loads marketplace?
Rajesh Kumar Yabaji: And when you say customer experience, you're talking about the shipper or the trucker?
Abhisek Banerjee: The shipper.
Rajesh Kumar Yabaji: Yes. So basically, in this business, the -- if you look at it, let's say, a shipper who is typically -- as I mentioned, shippers are two types. One are SMBs who are trying to ship goods themselves. They are the owners of the goods. They are basically selli ng it to somebody. Second lever of customers are like 3 peers and transporters who are shipping goods on behalf of their customers, their end customers. And they have contracts with the end parties, right?
And then they have a price point at the party and they try to take a truck on a market higher basis from us, right? There are two types of customers. The first biggest need for both of them is a fulfillment index, which means -- if they are able to come t o a platform, right, can they -- can they get basically a truck, right? So that's one metric because of availability of large amount of supply on our platform, compared to a traditional small broker who in a day is able to process 2 to 4 transactions on a daily basis.
Our fulfillment rates are fairly high. That's point number one. Point number two, compared to an offline broker where off -line brokers typic

ally specialize on only one lane or a one route, let's
say, Delhi to Vijayawada Andhra region would be one broker. So there'll be brokers will be only operating in those lanes side. So as a customer, I have to go for that load to that particular broker, right? And then basically, then because of that I need to go to multiple brokers, Right?
With BLACKBUCK because of the scale advantage like in the hubs we are operating, we are operating across mostly most of the regional lanes, right? So we've taken a strategy to do go regional first. We're operating around most of the regional lanes. So we are able to cater to most of the demand what these guys really need to -- or let's say, for a large chunk of demand, they're able to come to us. Number third, we are able to track the vehicle in transit, right? So they're able to see where the vehicle is, how has it left the city, how many clients has it done?

Like where is it, right? So we give live tracking on the product directly, right? So these are basically three, I would say, big value props today. And on top of this, most importantly, the existing brokers do not have a very professional method of handli ng be it in terms of accounts, in terms of reports be it in terms of relationship management, et cetera. I think with us, all of that comfort becomes much more higher our ability to deliver a very strong quality of a truck.
So let's say, our strength on the truck side also represents on the demand side because we know the truck, we know the village, we have onboarded him. We have a KYC verified -- verification of this particular guy, we understand the truck much more deeply, right? So I think all of this translates in a very strong in -transit experience for the customer, right?
So basically, put like 4, 5 strong value props, availability of a truck at a lane level of high availability multiple lanes at 1 particular place, like in terms of tracking, I believe you know

where the truck is and being able to update their own end cust omer, right, ability to deal with a very professionally created setup so that it's more predictable, a very strong from an experience perspective. And in -transit experience perspective in terms of any exigency issues, we are able to handle it much more eff ectively than our off -line partner.
Abhisek Banerjee: Got it. Does moving to a transaction model open you up to payment risk?
Rajesh Kumar Yabaji: The answer is, basically, this business is largely cash and carry. By that I mean roughly close to 90% of the payment is collected upfront from the shippers, right? Let's say, anybody who's trying to ship, they need to pay 90% of the money in advance, righ t? So that basically removes largest part of the risk. So intrinsically, there is really no working capital in this business. That's kind of one.
Point number two is that the remaining balance Upon the truck reaching the particular place on the rece ipt of the proof of delivery, the remaining balance gets paid, right? So if you were to argue the risk probably will be only to the tune of the sort of remaining balance, but then like it's like after having operated this business the last quarter a bit dee ply, I think our ability to really deliver is close to like 0 risk on collections is there.
Abhisek Banerjee: Super. And just one last bookkeeping question. There's a large tax outflow in this quarter. So how do -- I mean, you could have accumulated losses right to write that off? And how should one look at the tax rate going forward?
Rajesh Kumar Yabaji: Yes. Satya, our CFO, will take that.
Satyakam G.N. Yes. So a quick one on taxes. The current tax is the actual outlook. So that's about INR3.8 crores, which is on other income, right, which is on treasury income essentially. The other -- out of the total INR12 crores, that's INR3.8 crores. INR8 crores is d eferred tax. Th

at's on accounting profits. It's not an actual outflow.
But in the previous quarter, you would have seen that we have created defer tax asset because current quarter, we had accounting profits. We have accounted for that deferred tax. So you should think of tax outgo per se only from a treasury income point of view, at least for a few quarters from now.

Abhisek Banerjee: So the cash PAT is definitely higher, more in the range of 42 - INR41, INR42 crores, right?
Satyakam G.N. Yes. Cash profit will be higher. It should be in the zone of cash tax from operations -- like Rajesh mentioned, should be in the zone of INR60 crores for the quarter for this quarter.
Moderator: We'll take the next question from the line of Gaurav Malhotra from Axis Securities.
Gaurav Malhotra: I just had a few questions. Rajesh, if I see the payment business, the payment someone alluded that the trucker numbers growth has been a little bit soft, which you alluded to seasonality and the GTV of payments also is roughly around 28%, 29%. But the inc umbent business growth is 42%, 40% and the payment is sort of a larger part of that size. So -- is there like -- did the take rate or something increase during this quarter? How should we sort of think about the difference in the growth ra tes in the payments as well as underlying the revenues?
Rajesh Kumar Yabaji: Basically, as you rightly said, the GTV of payments, which is a little bit of a proxy to growth in the revenue of payments, right, corresponds to that. There's obviously higher uptake of value - added services, which has pushed the growth rate above the grow th rate of the pure -play payment volume per se. That's point number one.
Point number two is that, as we have mentioned, under telematics, today, there are 3 growth vectors, right? First, growth vector is basically the basic GPS device which basically is used by a trucker to manage the driver location, share the location with the end customer, manages harsh acceleration, harsh breaking, managed to also remotely switch off the ignition, if at all. He feels that there's danger to the truck and he doesn't want the truck to be in transit at this point in time. So the basic GPS device has more like, let's say, you can assume that particular business is more growing at that 20%, 25% kind of a growth rate from a year -on-year perspective, right? Second biggest thing is that in India across multiple states, GPS is g etting mandated for purposes of basically either getting the passing renewal or for the purposes of entering regulatory areas like mining, et cetera, right?
So in multiple states, these mandations are taking off. Now in our understanding, roughly about 7 to 8 states across the country have largely mandated this. If you go back 1.5 to 2 years, this number was only 4 to 5 states. So these mandation are increasi ng. So we're seeing a very strong growth in the AIS based kind of a GPS device, which basically is leading to a stronger growth, right?
The third part is that by the launch of the fuel sensor product where basically we are premiumizing the whole offering because of the revenue of the fuels in the product is -- is at a very higher price point compared to the basic GPS device and it is in t he early phases of growth and have grown very strongly also over the last quarter, right? All of this on a compounded

basis, payments, and telematics, like let's say, has been able to reach the growth rate of that close to 40% plus.
Gaurav Malhotra: Understood. Now in your SuperLoad business, just trying to get a sense on what kind of contribution margin is that business would be because your other businesses contribution margin

is very healthy right?, it can be like 75% to 90%, 95% plus. Load -- SuperLoads -- would it be the same ballpa

rk? Or would it be on say on that lower side?
Rajesh Kumar Yabaji: Yes. So at this point in time, I think it will be very hard to really comment on this business. I think one data point which we've already given out is that we've added the gross margin of the SuperLoads business into the net revenue. right, which that's t he only visibility we'll be able to provide at this point in time because all of these are very fast evolving at this point in time because some numbers, which we believe last month probably would not hold good this month because it's a very fast evolving following situation.
But yes, but you're absolutely right that most of the businesses we are into today are very high contribution margin businesses. We would expect this business to be a little probably on a lower side, but then, yes, but then the jury is still out in terms of what the steady state margin of this business is going to be.
Gaurav Malhotra: And in terms of the employee cost, and I'm not looking specifically at cash employee expense, which is net of ESOP, that number has been like there has been very strong cost control over there. But this quarter seems to be actually a decline of almost INR4 crores. So how much more do you think is sort of can we speed this out of the employee strength, employee base? Or do you think that this cost will sort of move sort of in some shape or form along as the business grows.
Rajesh Kumar Yabaji: See, as I mentioned, Q1 -- as I mentioned, first of all, if we spend, let's say, like, let's say, if you're spending INR100 on the sales acquisition costs, right? Sales acquisition costs are highly variabilized in our business to be able to make the busine ss very, very, very fungible, like to be able to sustain any vagaries in the external environment. We really made it largely variabilized.
As I mentioned, Q1 and Q2 are seasonal quarters, right? So you would see that some of these variabilization efficiencies are kicking in. That's point number one. Point number two, the part of this cost, which is largely the core people cost and people's s alaries et cetera, they have actually been growing at an inflationary trend, that's point number two. Point number three is that as we step into the next quarter, where really the growth picks up for us in this industry.
You will see that we will be ending up spending more, right? So that's how -- and also the increments will be effective from first of July. So you'd see all of this basically effectively kicking in and giving that particular growth into the next quarters. I would guide you to not assume any squeezing out of this, you should only assume inflationary growth of these particular expenses.
Gaurav Malhotra: And just last question for Satya. Just a follow -up on the tax rate. So I understand you mentioned that the current tax is essentially the cash tax outgo and the deferred related to your prior year losses. But on an effective tax rate, would it be in the si milar ballpark of 24%, 25%? How should we sort of think about it?
Satyakam G.N. Yes. So effective tax rate would be 24%, 25%, but that's what -- so when you're thinking of cash outflow, think of it only with respect to treasury income, deferred tax will be there on the accounting profit until we use out the past losses.

Gaurav Malhotra: Understood. So basically, the cash tax should be based on your other income, but the effective tax rate would still come to around 24%, 25% is the way to sort of think about it?
Satyakam G.N. That's correct.
Moderator: We take our next question from the line of Arpit Shah from Stallion Asset.
Arpit Shah: I had a couple of questions. I just wanted to understand the SuperLoads business. How should we look at the unit economics on this business going ahead? Or is it still an evolving thing for you guys? Because I just want to understand h

ow the order flow is or are the money flow is in
this business. Just wonder if you can highlight on that? How are we getting customers?
How are you getting shippers, truckers, and everything? And how is the revenue moving to us in that sense? And have we by any chance started tracking market share in some of the key routes

that we're already operating and what kind of market share they have started capturing in those newer rout es? And yes, that is my first question.
Rajesh Kumar Yabaji: Some of your questions have already repeated. So I'll just add a few things. Payment flow is fully through us, we pay the trucker, we get the payment from the shippers. The difference between what we get and what we pay is our basically take rate, right? A nd when we hit, let's say, in a whole hub when we hit like close to 5% plus kind of a market share, we will keep you posted.
Moderator: We'll take our next question from the line of Nilesh Jain from Astute Investment Management.
Nilesh Jain: Congratulations on a great set of numbers. My question is on the financials. First thing is on the other expenses, which has gone up and related to this is during the time of IPO, we have raised funds for sales and marketing for around INR200 crores. So ho w do we plan to use those plans?
Rajesh Kumar Yabaji: So on other expenses, what has gone up is essentially the gross cost of the SuperLoads business. So that's the reason for the other expenses going up, primarily on deployment of capital for sales and marketing, we continue to deploy the sales and marketing cost that is raised from the IPO. You can see that as part of the monitoring agency reported as uploaded probably about a couple of hours back. so you can track through that, the deployment of IPO proceeds.
Nilesh Jain: Right. Yes, I've checked that report. We spent around INR33 crores. So I wanted to understand the journey in terms of how much we will be spending for this financial year and in coming years and in what areas?
Rajesh Kumar Yabaji: Yes. So again, the schedule for utilization of this has been provided in the RHP just for reference, just giving you these details so that you can find it there. So the schedule is provided in the RHP broadly will be equal over 3 years. And we -- most of o ur onboardings happen on the ground. So the sales and marketing would also be happening with people that we deploy to acquire for our offerings.
Moderator: We'll take our next question from the line of Ankush Agrawal from Surge Capital.

Ankush Agrawal: So just one clarification. With the SuperLoads, are we saying that we have stopped monetization of classified platform and now we're only going to monetize the platform by converting those leads into SuperLoads or the classified monetization in terms of th e subscription is still on?
Rajesh Kumar Yabaji: Yes. Classified monetization continues to go strongly. The people who buy the classified subscription on the supply side, get a like 1% rebate in a cash back on the SuperLoads platform. So it is more -- two plus two is becoming eight, but not like really f our or three, right? So because they are essentially in the mental state of customers, two separate businesses, customers who love to post a load and get interact with truckers directly and post -- hire their own truck, may get also access to any kind of c heaper truck or whatever XYZ.
So they are free to do that. At the same time, somebody who wants a full stack service asked to find a truck like, let's say, get the pricing done and get the whole execution done, like, let's say, you will use the SuperLoads. So everything -- and remembe r that the real intense execution of SuperLoads is only happening in two cities. So the whole India is on the normal business itself. So there, we continue to see strong momentum of the loads as well -- yes. So that's happening.

Ankush Agrawal: Okay. The monetization is on the supplier side, right, the supplier of...
Rajesh Kumar Yabaji: Normal marketplace, the classifieds monetization on both the sides, shipper pays to post the load, trucker pays -- it's a premium product. So the base product, it doesn't pay for a premium product, he pays money, let's say, for a 6 -month subscription. That 's how it works.
Moderator: We take our next question from the line of Dhaval Jain from Sequent Investments.
Dhaval Jain: Just on the part of unit metrics, I just wanted to understand how do we calculate -- I mean, we have monthly users in our core business. So can you give me a split on how the payments are recognized as in terms of onetime payments and the recurring pay.
Rajesh Kumar Yabaji: No what is your question? Can you repeat again?
Moderator: Dhaval, can you use your handset more please? Your audio is not very clear.
Dhaval Jain: Am I audible right now?
Rajesh Kumar Yabaji: Yes, now you're audible.
Dhaval Jain: Yes. So I just wanted to understand, can you give me the unit metrics of how many monthly transacting users are just in our core business? And how do we recognize the payments in terms of onetime payment and the recurring revenues from them?
Rajesh Kumar Yabaji: No. See, first of all, the second question, I'm not able to follow, but I'll probably try to understand that and answer. The first question is, let's say, assuming roughly 790,000 users are coming on overall, right? Let's say, in this, you take at least 80 % plus, 80%, 90% would be largest majority will be the core business because -- see the whole cycle of development always is that there is -
- the core business bought the -- all the users, and we are now using them into the new busines ses.

So hence, -- there will always be large overlap there. It's like -- it's a direct answer for us. Second question you have is how do we recognize payments. For example, if you -- if somebody is buying a telematics product from us, right? let's me start usin g GPS. He becomes a monthly active and transacting customer. But then, for example, his revenue earning that I have collected from him, let's say, INR4,000 or INR3,500, right?

The revenue is basically amortized across the whole 12 months of the subscription time period because this is a subscription for 12 months. So revenue is amortized across 12 months. He's counted as a transacting user in this month, right? Now on payments, let's say, he uses our tolling product, he, let's say, recharges on the platform, manages and everything.

There is no revenue, like, let's say, directly getting accounted until the flow -through happens of a stack. Whatever flow -through happens of the month we recognize as revenue. And if the flow -through is happening is when we are recognizing as transacting customers. So both are core terminals as transactions. Did that answer your question?

Dhaval Jain: Actually, I just wanted more specific on the part of do we have any ways that we can track how much is the -- like the revenue per operator basically?

Rajesh Kumar Yabaji: I mean like the revenue of operators, if at all, you simplistically like See, this is -- it's very complicated in terms of...

Dhaval Jain: No. In terms of like onetime payment like if we onboard someone, so there will be some onetime payments that we collect while selling the product and then we have subscription that is going to come on top.

Rajesh Kumar Yabaji: That is a very small part of the revenue. The largest part of the revenue is basically the recurring.

Moderator: We'll take our next question from the line of Sarang Sanil from Courser Park Advisors.

Sarang Sanil: My question is with annual part of FASTag now getting implemented for private vehicle owners if at all something like this is implemented on the commercial vehicle side? How is i

t going to impact your tolling business? Are you seeing this as a threat?

Rajesh Kumar Yabaji: Basically, the whole -- first of all, the largest part of the revenue collection for the tolling networks, right, the government road networks come from the commercial vehicles, right? So the -- like it's obviously a risk, but then like the whole total col lection going down, India can't build more roads, so I would only say that -- I see the risk as very minimal, but then, yes, I mean, nothing on the commercial that typically has been really altered by the government on this but then it 's left to speculation.

Moderator: We'll take the last question from the line of Nilesh Jain from Astute Investment Management.

Nilesh Jain: So my question was on the -- what I understand based on the take rate we have on the tolling, tolling business for this quarter, I think, more than double to what we had reported in Q1 even in RHP, while the telematics has grown at maybe 11%, 12%. What cou ld be the reason? Because what I expected was telematics would grow much faster.

Rajesh Kumar Yabaji: How are you integrating telematics has grown at 11%? Sorry, I think I'm not able to understand that. Are you referring to year -on-year numbers are you referring to -- which number you're referring to?

Nilesh Jain: No, I'm referring to year -on-year numbers on tolling and vehicle tracking INR120 crores, what we have reported for this quarter. And tolling GPS or -- tolling base revenue would based on the tolling data that we get and on the market share we have. I mean close to around INR50 crores is what we have balances from the Telematics and comparing in the last year base where we had reported INR23 crores for the tolling business...

Rajesh Kumar Yabaji: I mean, sorry, we are not aware of the numbers you're talking about because we've never given the split out. But I think directionally, whatever you're asking, I think there may be an error because I think that was one of the question which was being asked during the call that in tolling because the overall GDP in payments has grown only by 20%, 29%, the growth will definitely not be 40% so is GPS growing much faster.

So I had already answered this question that as part of the tolling, like it's definitely plus -plus, but then GPS is growing much faster. That's the reason why blended, we were able to grow at 40%. So I think you can refer to that part of the question, an d you can probably like maybe relook at your calculations.

Moderator: Thank you. As there are no further questions, I now hand over the conference to management for closing comments. Over to you, sir.

Rajesh Kumar Yabaji: No, Nothing much for me. I think thank you so much for attending the call. And yes, I mean, just we'll head back to our execution zone. And 80% of the management's bandwidth is like towards really creating new products and services for our customers. And b ecause most of the revenue is platform -led, I think that keeps us light from most of these reporting heavy lifting. I think we get pulled away to probably 1 to 2 days in a quarter. And we're headed back into execution. So thank you so much, and hope you all have a good week ahead.

Moderator: Thank you. On behalf of IIFL Capital and Zinka Logistics Solutions Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Ref: BLACKBUCK/CORP/2025 -26/117
November 07, 2025
To
National Stock Exchange of India Ltd.,
Exchange Plaza, C -1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051 To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code: 5 44288, Scrip Symbol: BLACKBUCK, Series – EQ
ISIN - INE0UIZ01018
Dear Sir/ Madam,
Sub: Transcript of the Earnings Conference Call for Analysts and Investors conducted on November 05, 2025 .
Ref: Disclosure under Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .
Pursuant to Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby provide the transcript of the Earnings Conference Call for Analysts an d Investors conducted on Wednesday , November 05, 2025 during 05:00 PM (IST) to 5:59 PM (IST) .
Enclosed is the transcript of the Earnings Conference Call, which is also hosted on the website of the company. The link to access the transcript is provided below:
https://a.blbk.in/Cor porate_Announcement
Kindly take the above information on record.
Thanking you
Yours Sincerely,
For BlackBuck Limited
(Formerly known as Zinka Logistics Solutions Limited)
____
Barun Pandey
Company Secretary and Compliance Officer
Membership No: A39508
“BlackBuck Limited ”
(Formerly known as Zinka Logistics Solutions Limited)
Q2 FY '26 Earnings Conference Call
November 05, 2025

Blackbuck Earnings Call Q2FY26 -20251105_123158UTC -Meeting Recording
November 5, 2025
58m 29s

Blackbuck 0:05
Yeah. So, thank you so much, Nikhil.
Welcome everybody to our fifth earnings call after going public. And this will be the month where I think being a public company, we'll probably complete in a year. That'll happen on November 22nd. So first of all, thank you so much for really supporting us and.
You know, thank you so much to all the shareholders for really supporting us and getting us to this place and having the faith and belief in us that we would execute well.
And yeah, so let's begin and I will take you through the earnings presentation of the second quarter FY26, starting off with a snapshot of numbers.
We did a total income which include s the interest income and everything about 167 crores in the last quarter, which is a 61% growth on a year -on-year basis. Last year the same number was 104 crores.
On an EBITDA basis we did 37 crores approximately, which is a 150 percent, 143%.
And growth on a year-on-year basis. Last year the same number was roughly 15 crores. From 15 crores this is moved to close to 37 crores.
Like subsequently the profit after tax number is 29.2 crores this year. Last year, obviously because of multiple exceptional items , the number was negative of 270 crores. So that's a, you know, strong turnaround in the whole business.
Relevant to this, because most of the business is determined by the KPI is moving upwards, the whole transacting customer base for us has roughly touch ed about close to 8,00,000 customers, which is a growth of roughly about 13% on a year on year basis.
Metric which determines usage of our services more deeply by our users. Users who use more than equal to services roughly close to 4,00,000 users, which i s a 21% growth on a year -on-year basis.
Payments being one of the critical parts components of the revenue for the company. We report this

separately with it close to about.
6800 crores of GTV of payments, which is a 29% growth on a year-on-year basis, rig ht. So broadly summarizing this with a headline that like as we've always spoken in the last five earnings calls, we continue to grow.
Leveraging the tailwinds of the industry, leveraging the strong product portfolio which we have built, leveraging the new product portfolio which we keep experimenting and continue to launch. While doing that, we deliver profitability on a consistent basis because the profitability comes from the core businesses which have matured over the course of the years.
And continue t o compound on revenue, continue to compound on profitability and newer businesses. We continue to keep, you know, reinvesting our profits and keep scaling them.
As always, for the benefit of, you know, new shareholders joining the call, we like take a few minutes to repeat what our strategy is. A good part about the strategy is that it's been consistent over the last 6 - 7 years. We obviously iterated, company started in 2015, we iterated through our way.
And probably landed upon this strategy maybe by 20 -18/2019 and have been doing the same thing consistently the last 7 -8 years and this has delivered us results. Very Simply put three parts to the strategy we create, we innovate for our customer. We are in this industry to really reimagine

everything how it.
It works in the transportation world. So, we keep launching offerings for our customers, right? Our customer centrally being the truck operator and a truck operator, typically an average three to five truck ownership is what India has. And keeping that in m ind, we build products. These products because everything is digital are launched on our platform and by launching.
Newer and newer, newer products on our platform. Platform keeps getting stronger and stronger and customers use this platform repeatedly and more deeply.
And nature of our customer largely middle -aged, uneducated and hence a distribution has to be unique. So, you know that's something which is very unique to our strategy and we continue to you know deepen and deepen on these offerings. As you know our flagship offerings of tolling and vehicle tracking are our core products which also drive majority of the revenue and profits today.
With continuously launching ads to these products, be it fuel sensor, be it fuel payments, and leveraging all of this data consumer insights to launch loads, to launch vehicle finance as we continue to build and obviously many such offerings are under the hood which we continue to like experiment continue to lau nch
By the virtue of this, like our platform continues to get strengthened. As you can see, the minutes a customer uses the app is probably, you know, in the B2B world, one of the highest for us. You know how we use a browser, how we use a social media app, a trucker for his business uses this app.
So we have close to 8,00,000 transacting customers, which is as you know near as about 25% of India's truck operators. Our app is very relevant for a large capacity truck user and for a long-distance truck user and hence you know relevant market share may be much hig her, but then like our products long term will be relevant for everybody. So that's why we keep measuring this market share year after year because we launched newer products, we become, we are becoming more and more relevant for our users. The usage continues to deepen . On the distribution we are present everywhere. It's like because our users need to be explained what our product value proposition is and their trust with digital is not that high.
We basically build trust with our offline network which explains and onboards our customers. So there's a 10,000 people touchpoint network comprising full time workforce engaged by us, channel partners, variabilised workforce, tele channel , our technicians who basically install, repair a GPS device or a fuel sensor, everything put together.
We have a 10,000 people feet on St. network through which we touch, service our customers and obviously present, you know, very widely. Probably this presence is now clo ser to 90% of the districts all across the country. So that's what you know what we do, right? And this is a strategy which is really compounding and delivering.
Results which you're seeing us deliver coming to the key KPIs of the business, which is largel y all the key KPIs are trending in the way they've been trending over the last four or five quarters, be it monthly transacting truck operators, be it using people using more than two.
Services, time spent on the app, the GTV of payments, the payment trans actions. Coming down to the revenue level, revenue from operations, removing the, you know, interest income from the total income has grown about 53% on a year-on-year basis from last year 99 crores to this year 151 crores. Net revenues from this has grown by about close to 38 percent, ninety -nine crores to 136 crores. You know, this particular quarter contribution margin has grown slightly a higher 41% on a year -on-year basis and on an adjusted EBITDA basis, which basically does not include the ESOP cost h as grown from 19 crores to forty -three crores.
Which is a 123% on a year-on-year basis. Most of these numbers would refl

ect the same trend on a
full on half year basis of this year. Every six months we give half year picture reading out some of the key thi ngs over there on an adjusted EBITDA basis. We've already clogged close to 90 crores in this particular.

Half year of the full financial year and the same number last year on a half year basis was 31 crores, which is close to a 190% growth on a half year b asis and similar narration would be for the remaining key KPIs.

Taking these results and giving a little bit of voice over on what's really happening, right first narration, more on the overall revenue part as a company on the total income, we've grown abo ut 61% on a year on year basis and on a net revenue basis 38%.

If we split this number between the core business and the new businesses, the core businesses ended up growing 37% on a net revenue basis on a year on an overall revenue basis on a year on year basis and on a sequential basis 3%. As you all know, July, August, September is a rainy season like and it coincides with the.

Little bit of trough in the overall trucking industry. Every industry which is like let's say you know has primary metrics from a trucking perspective, be it sales of trucks, be it loans and trucks etcetera, typically has a bit of a low season quarter and starts picking up from the September, October month with the festivities coming in, right.

So despite a low season quarter on a sequential basis, we were able to do a 3% growth in revenue and on the overall core business from a year on year basis have grown at about 37% this year. Important to note is that even in the core businesses we've invested higher as you can see on a at a c ompany level in this quarter.

Year on year, our costs have grown up by roughly about 18% and on a sequential basis we have grown costs by about roughly 8 crores. Some part of this cost not majority have actually gone into the sales and distribution for the core business as well. And obviously as you know in our strategy even in the core business, we've got a lot of adjacencies.

Which we invest into and grow and for a lot of these activation s we need to really reinvest back. So, as you can see one of the sig ns there ; fuel sensor which was one of the new launches probably about 2-3 quarters back has already gotten bolstered as part of it's you know overall sales portfolio and in the last quarter on a sequential basis we've been able to grow about 55% on the fuel sensor

. So that's the narration on the core businesses coming to growth businesses. As you all are aware that under growth businesses today, 2 relevant businesses for us are Superloads business and the vehicle finance business. Both of them have made g ood progress in the last quarter and overall basis, the overall revenues on growth businesses have.

Have grown by roughly about 226% on a sequential basis have grown by about 19% and largely the gross revenue growth is because of the super loads business. As you are all aware, today we are in the, you know, we are present in four hubs, largely materially present only in two hubs and the other two hubs were largely for the return.

And loads in a super loads business from there, from the four hubs over the ne xt course of six months, we plan to open 10 new hubs and take this number in the range of 14 -15 hubs over the course of next six months. So that's where I would like to say that the update is that the whole playbook building probably we are in the zone of 60% and I think we've learned new things

we've hit few milestones which were internally important for us, for us to test ourselves to know that whether we really know how to scale this business and happy to share that some of those experiments have gone we ll. Some of those scale milestones have got hit in some of these critical hubs and we plan to.

Sow the seeds because whenever you typically launch a new hub, it has its own, you know, ramping up timeline.

So, so we've decided that we will expand to new 10 new cities over the course of the next six months and ramp them up while we continue to deepen in these two hubs where we are, you know, building our playbook.

So that's the narrative on overall top line and overall growth moving into profitability as you as I've narrated, we've seen a growth of 123% on a year -on-year basis in Adjusted EBITDA growing from 19 crores last year, same quarter to this year 43 crores.

That's a 123% growth and as a percentage of net revenue that's a 19% to a 31% kind of a growth k ind of a number on a year on year basis, right. And largely the story remains same. This growth in EBITDA is led by like delivery of operating leverage. We are in a business where most of our revenue comes from Rick like which are.

Most of it comes from li ne items which are recurring in nature and our customer retention is very strong and has a very high contribution margin. So, if you look at on a quarter -on-quarter basis, the operating leverage is 65% because of the reinvestment in business which we are d oing. If you look at on a half year to half year number because last quarter, we have presented the operating leverage of. 85%. So, if you look at halfway to half year, the number still stays at 77%. You know from an operating leverage perspective, giving you a bit of narration on EBITDA on a sequential basis, if you compare to Q126 to Q226, there's a small shrinkage in EBITDA if we wouldn't have.

Intensely driven, you know investments in our newer businesses and in our core businesses. Obviously, this this EBITDA sequentially would have increased, but primarily roughly anywhere in the range of two to three crores of investments have increased at 1/4 level because of doubling down on super loads and because of expansion and expansion of sales and marketing e fforts in the core businesses.

Right. And another one to two crores each in the investments driven by like in the sub segments of the core businesses namely fuel sensor in AIS, GPS growth and obviously the annual salary increments as you know they happen o n a regular course, right. So, there are four line items which typically materially have led to the small.

Reduction from a sequential EBITDA perspective. That brings me to giving you a snapshot on the P&L basis. Overall income in this quarter 167 crores. As I narrated, if you remove the interest income, the number flows down to 151 crores.

Overall net revenues 136 crores which is a growth of 3738% on a year-on-year basis. If you remove the direct cost, the direct cost largely similar on a year-on-year basis, you get the contribution margin and then total expenses. If you see on a year on year basis, this is probably the first quarter after going public we have like let's say probably loudly invested.

That's why you see on a year on year basis it's roughly a bout 20% growth, growth of 71 crores to 84 crores on an overall expense basis and on a sequential quarter basis it has moved from 75 -76 crores to 84 crores from a total expenses basis on a.

And the same numbers largely hold good at half year basis. If you see revenue growth is basically you know 55% on a year -on-year basis, net revenue growth is 40% on a year -on-year basis. On half year basis, adjusted EBIT DA 90 crores from last year, 31 crores which is a 190% growth on a year -on-year b asis, right and then removing the.

ESOP expenses coming to EBIT DA. Last year EBIT DA was 15 crores. This year EBITA is 37 crores which is roughly about 143% growth on a year on year basis, 229% growth on a half year basis and 23 crores to 77 crores and comm ensurately even the packs not comparable because of lot of one-time items at this point in time.

I also want you know the shareholders to note that EBITDA in our business largely mimics the cash flow. So, if you look at the Annexures , the overall cash flow of the company in first half of this year i

s

130 crores, which is far higher than the adjusted EBIT DA of 90 crores. 90 crores is the Adjusted EBITA which generally directly moves into cash flow plus because our revenue is amortized largely. So, there's a deferred revenue element of 10 crores which shows up in cash flow. So that's a real cash flow of 100 crores and we had a one time working capital roll back in our you know other part of the businesses which contributed to 30 crores in you know increase in cash flow that's why.

You see the overall 130 crores, but then always as I've been guiding Adjusted EBITDA typically equals, you know cash flow a little bit goes higher because of the growth in the business and deferred revenue gets comes into the cash flo w but doesn't come into revenue right moving forward.

Giving you like, let's say like a broader view of probably the last, you know, 2 1/2 years, as you can see, we continue to consistently compound in profitability moving from like Q124 of negative, you know, 11 crores to this quarter of 43 crores.

Which is basically a huge turnaround over the course of two years. And if you look at the same numbers on a H124 to H125 basis to H126 basis, again a huge turnaround in terms of numbers. Again, reiterating if yo u look at the H125 adjusted EBIT DA of 31 crores moving to.

90 crores, that's a growth in 59 crores in Adjusted EBITDA. At the same timeline, the growth in revenue was 77 crores. That's a 77% delivery of operating leverage. So our strong track record of delivering profitability, delivering operating leverage and consistent growth in revenue continues and we'll do our hard work.

You know, hope God helps us keep growing that, you know, consistently and keeps luck by our side as we keep moving forward.

Summariz ing, you know our strategy, you know I'll take this point to you know like reinforce on our strategy of what we are trying to do, right. As all of you know our core businesses deliver you know more than majority of the profits, more than 100% of our profit s you know for us.

And tolling and vehicle tracking have been, you know, the leading vectors of a revenue base. They've been silently being added to by the, you know, fuel cards business and the ASGPS business, which is largely A mandatory business in mult iple states, which basically has helped us compound on revenue stronger, right and by launching newer.

Newer verticals like fuel sensor and obviously the many experiments under the hood which we keep doing which will keep becoming core part of the revenues , right. So that is our strategy in core businesses that we will keep innovating in adjacencies which will.

Materially have the same revenue model like be it be a payments revenue model, be it a telematics revenue model and which will materially be using t he same sales and distribution workforce to really you know leapfrog in revenues. So that part will keep growing right. So there again very key focus.

Tolling by far the market leaders like our market share you know is inching very close to you know 50% on tolling will continue to compound like you know on tolling as you saw our payments GTV numbers and if you compare that relevant to the NETC numbers, right, we've done like far better than the overall industry averages, right. So, our focus there is to keep sharpening our axe, keep making material investments, right and keep like leveraging the, you know, tailwinds and keep growing consistently, right. And there, you know, one of the important things we've done is that like probably our paybacks, blended paybacks in core businesses was as aggressive as like.

You know, 7 -8 months now we've continued to invest back and see that even if this payback shifts to like 9 -10 months, we're OK with, but we have to keep doubling down our market share and keep growin g in that direction, right. So that's the approach in, you know, core businesses where we will. Compound on revenues, which will help

us compound on profitability because of operating leverage
and not be too like very, very, very, very profit focused, but like you know because the business model will deliver profits, but keep like expanding market shares, right. So that will be the focus ahead, right. As you've seen us in the last two quarters, we will keep doing that.
D
Moving into the growth businesses, r ight, growth businesses is where again like you know namely on the loads there are two lines of businesses classifieds which has a material market share on loads has grown like 65 to 70% on a year on year basis right for us.
And that has led us to let the let us to you know the birth of super loads which is essentially the transition of the classifieds business model into a transaction business model of super loads, right. And super loads as I gave a narration that we believe that we've got material evidenc e you know in terms of the playbook building and we are really going.
Aggressive on the super load side, right. And while the other businesses, because classifieds has found its own sweet spot, continues to grow all across the country, continues to digitiz e loads, makes the whole, you know, I would say playground ready for super loads to, you know, really enter into these markets in an easy basis, right. Vehicle Finance again partner.
Calibrated growth because we're dependent on partners. Partners have vari ous strategies of looking at growth in these businesses. So, we work with them to grow their loan book and we are our origination tool on a majority basis, right. So on growth businesses as always maintained because we are as a company with thick balance s heet, we are a very young company.
You know our journey in really digitizing trucking and building the future of Indian trucking has just started and probably line verticals which are of very high relevance and you know changes customers, you know life hav e really not yet got built out and we are in the like our endeavour in both businesses is that so we will always be keeping a very strong.
Aggressive investment outlook in the growth businesses, right. So summarizing, while growth businesses will continue to compound on profitability, we will ramp up new investments in the, you know, growth businesses and you know continue to really stay through our long term vision of building, you know the, you know the whole digital version of freight which is needed to really. Logistics and really, you know, make trucking very efficient and predictable for the country. Yeah.
So, with that, I think, you know, we will pause and open the floor for questions.

Nikhil Raina 21:34
Thanks. Thanks Rajesh for the update. We'll open for questions now. Humble request. Please restrict yourself, you know, to two questions and come back in the queue if you have any more. The first question is from the line of Abhishek.
Abhishek, I'm, I'm adding you to the screen. Please, please unmu te yourself and go ahead with your question please.

Blackbuck 21:54
Please.

Nikhil Raina 22:05
Abhishek, please unmute yourself.

Blackbuck 22:05
D, D

Nikhil Raina 22:12
Yeah, please go ahead with your question.

Abhishek Kumar 22:13
Am I audible?

Nikhil Raina 22:16
Yes, we can hear you and check now.

Blackbuck 22:17
Yes.

Abhishek Kumar 22:18
Yeah, like some of our larger fleet management system competitors that are there in US like Samsara, they are integrating AI in their off erings like are we looking forward into such a possibility in our future? I wanted.

To know your comments on that.

Blackbuck 22:41
Yeah. Thank you for your question, A bhishek . So basically, you know, the most important, I mean the easy answer to this is yes, because at least you know, our view of AI is that.
Like it'll largely be synonymous to like you know, electricity because anything you do, you want that to be more intelligent, less manually dependent and you know, so you would essentially in the long term, you know embed AI in like almost virtually every product offerings in which we have and today.
If you're asking me whether application of AI we use across all our product offerings, answer is you know very much yes. Now helping you understand like in terms of you know products in Samsara versus products what we have, right. So if you look at the whole suite of products of Samsara, they start from basic you know vehicle tracking which they call as ELD
To the advanced GPS devices, to dash cams, to various different sensors for monitoring industrial applications. They have a very wide range of products right now if you look at the same context in the Indian market, right Indian market, the entire go to m arket in telematics has been more price dependent, right. So for a product which on an average is priced between $20 to $100 per month for a GPS device in the US markets and the European markets. In India, the right product market fit was like for us happe ned only at like 2 .5 dollars, which is like 200, you know, rupees plus plus is what we can make from our customers, right? So that's point #1.
Point #2 the So hence in India we've been largely successful in low spec, like very thin use case kind

of product s, right? Point #2 in terms of let's say the places where AI is much more useful and where you can really create a difference is basically in the area of video analytics
in the dash Cam sector, right? That particular product for us still in the is in the pre like is in the experimentation phase. We're still figuring out the product market fit, figuring out the utility, figuring out the price points, figuring out you know how to create this at a price point which these customers would love, right? And So wh at I would say is that let's say now.
If you are asking me where are we using, we are using this in probably the fuel sensor product like to be able to really show accurately the levels of fuel, clean, you know, the whole data, etc. We use AI a lot in our super loads business, right? We use AI a lot in our classifieds business to be able to show. The right load to the customer in terms of the ranking of the load when he is looking at it to the right repositioning of the, you know, asset for him in terms of where he has to go. Those are the problem statements we are using AI today.

Abhishek Kumar 25:23
OK. OK. And like what is our, do you have any data as to what is our market share in the loads business as of now like?

Blackbuck 25:34
Yeah. So market share in the loads business can be measured in two ways. One is digitized loads, what, what is the percentage which we drive with reasonable confidence. I think in India on a digitized load loads platform, I think we are by far by a big margin, the bigge st. So I think there are. Market share probably would be upwards of 90%. But in terms of being able to digitize the loads like of like of India's loads digitized, our broad estimate is that FTL line haul loads which are long distance loads typically in a d ay 7,00,000 to 8,00,000 loads happen right typically and on a on a.
On a like live loads market share basis, we can broadly estimate anywhere in the range of like 7 to 8% of the loads which typically are live at any point in time on a classifieds platform.

Abhishek Kumar 26:25
OK. So there is role of network effect in our businesses, right? Once we have big market share, competitors will have difficulty in entering. Is it, is my understanding correct?

Blackbuck 26:34
Of course.

Abhishek Kumar 26:43
OK. Thank you. Thank you.

Nikhil Raina 26:52
Thank you. Thank you, Abhishek.
The next question is from is from Gaurav Malhotra. Gaurav, I'm bringing you on screen. Please unmute yourself and go ahead with your question.
Gaurav, can you please unm ute yourself and go ahead with your question?

Gaurav Malhotra 27:19
Yeah.

Gaurav Malhotra 27:22
I have unmuted myself. Can you hear me?

Nikhil Raina 27:24
Yes, we can hear you now.

Gaurav Malhotra 27:25
Yeah, yeah, yeah. So I was just sayin g that on in tolling, you know, your market share will be roughly, you know, give or take around 50 ish percent. Where do you think this market share can potentially go up to?

Blackbuck 27:39
OK.
So basically the acquisition market share is materially higher than the current market share on the flow through. So we believe that like and that acquisition market share has been also climbing over the years continuously.
So till the time the acquisition market share is materially higher and way higher than t he current flow through market share, it'll always keep catching up to that number.

Gaurav Malhotra 28:08
And in terms of gold subscription, if you can give us some sense of where, where, where you are at in terms of penetration, you know what's happen ing over there, you know any details that you can share with us?

Blackbuck 28:25
It was in the early 20s, maybe a year back, now more inching towards the mid, mid part of the 20s, right? But it'll be in that range roughly, yeah.

Gaurav Malhotra 28:36
So that'll be the penetration amongst your users, the trackers. OK, just one or two small more questions in terms of fuel sensor that seems to be have picked up. You know what you know in terms of within the the users who are obviously were having the tr acking system .

Blackbuck 28:39
Yes, yes.

Gaurav Malhotra 28:55
where would we be in the penetration of in that journey or is it is it a completely new set of user who's basically taking it?

Blackbuck 29:05
90% of the users are all existing users of the platform, I would say 95% plus. And in terms of penetration levels, very early days because you know we have 8,00,000 users.
And I think, yeah, I mean very early days. I think the whole penetration game is li ke still like left to be fully played out and like in the minds of the consumer, he is thinking of more as a that I had a vehicle tracking device.
Now I'm upgrading into a fuel sensor which gives me a vehicle tracking as well as the, you know, fuel sensing ability. So yeah, so that's how it works and and obviously have very high value proposition in terms of fuel pilferage, theft, theft monitoring, managing driver, etcetera. So that really gets the ROI to.

Gaurav Malhotra 29:58
This last one, one questi on in super loads, you mentioned that you're going from 4 to 14, so this will still be like within within the within S outh or you are now sort of going to go a little bit you know wider in terms of say a little bit in West or?

Blackbuck 29:59
Mm.
Pan I ndia. So we'll be going, we'll be going Pan India.
Uh, yes.

Gaurav Malhotra 30:29
Or or there is or or in other ways like is 14 sort of the starting point and obviously it has to go much deeper.

Blackbuck 30:31

Yes.
Exactly. So basically, let's say , for example, we want to go to West, we want to go to East, for example, right? So you will start off in Calcutta, right? And then you will figure things out after that. I mean, because if you have, if you have the option in East to go to one place, you'l l only go to Calcutta, right? But then if you want to further deepen, then you'll start Patna, you'll start Guwahati, like you'll start expanding, right?
Right. So this is the first probably points to just touch upon and then like figure things out on a da ta basis. India has roughly 350 to 400 like industrial hubs all across the country, right? And like the top probably 50 to 100 are very material.
ones and in that like right now it's really less of a choice, more of a rejection that where our where our pr oduct will probably fly much stronger, where our dense penetration supply is like super normal. So we are just choosing those as a sort of a very easy hubs to move into.

Gaurav Malhotra 31:36
Thank you so much.

Blackbuck 31:39
Yes.

Nikhil Raina 31:43
Your next question is is from the line of Sachin Dikshit. Sachin, please go ahead, unmute yourself.

Sachin Dikshit 31:53
Hi Rajesh, congratulations again on a decent set of results. So to start with, I wanted to understand the replicability of super loads model, right? So obviously you are currently in four hubs and let's say tomorrow you are presenting 12 hubs , right? Can we build a thesis that yes, this?
Business works and you will be present in the most major hubs of the country and you can have a sustainable business there.

Blackbuck 32:16
It.
Yeah. So to appreciate the modularity of this, right, see basically, I mean we are not like recreating this business or it's not a technology innovation which is leading to a creation o f a service.
This is a matchmaking service which exists in the industry as a offline industry today. And as I mentioned also previously on calls that this, this kind of a matchmaking business is done by like 2 and half lakh brokers in the country today, ri ght? And like and if you look at a typical activity of a matchmaking, you know.
Activity, right. It's nothing but you need to build demand, you need to build supply, you need to, you know, do the matchmaking, you need to manage payments, you need to manage in transit, right? So this is like a modular activity, right? So the the like the.
The confidence which we've been able to get is that like first of all, our approach to this was to break this down into all these logical activities and all these are indep endent teams and these independent teams need to do their independent activities, right. At the same time, supply is nothing but driven by the whole platform and then like you know, demand has to be like demand has to.
To be raised by a demand team like we do in the classified business, fulfilment is done by, you know, a team which is separate collection, like payments is processed by a team which is separate, right? So the this has been successfully executed in the hubs of Bangalore and Hyderabad at a suff icient scale, assuming that we need to reach.
Let's say a business size of maybe you know two and a half billion dollars in you know flow through or $200 million in net revenue roughly, right. So and that scale you probably you know let's say for example y ou need 40 hubs to do that at like X orders in every hub for example, right. So with reasonable confidence we've been able to prove X by two at least, right. So for a very.
Large scale business, if you like like you know push that down to a particular hub level, we've gotten to that 50 -60% like you know proof point at one hub level. Now to do that at a hub level the you know the pods like each of these pods like essentially have been created and they run independently basis metrics data.
Right. And you basi cally hire teams. They come in, they are trained, they, you know, learn the industry, they work with us for 2 -3 months and then they get to a particular productivity levels where we break even, right, which is generally within three to four months, right. So that has been proven

successfully within my, let's say about Bangalore, Bangalore, you know when I.
Seeing a Bangalore hub for us, Bangalore is actually a micro hubs of you know four points. So this has been successfully proven across these four micro h ubs. Similarly Hyderabad for us is 3 micro hubs and Chennai and Mumbai has been one micro hub, right. So like though it is 4 hubs, micro hubs have been like closer to 10 and we've been able to prove this across these micro hubs.

Sachin Dikshit 34:55

Mm.

Blackbuck 35:10
That gives us a confidence to say that the granularity in replicability is there and we would be able to do that across, you know, 10 incremental new locations. And so the important point to actually build when we move from 4 to 14 is that what is the expansion strategy? How does expansion happen? How does activation happen?
Because let's say for example the Bangalore hub, I would visit this hub probably, you know, with a very high frequency, but these 14 hubs I would not be able to. So then what are these processes metrics? How do you create create layers in execution? So that will be the, you know, probably those will be the questions than the replicability of the unit module.

Sachin Dikshit 35:48
Understood, understood. Thanks for the clarity. Uh, really appreciate it. Uh, my second question was on the sort of incremental adjusted EBIT DA side that we used to carry in a few previous presentations. Um, obviously you did highlight all the earlier comment that you did that basicall y you will try to.
Put paddle on growth, even if let's say the payback period extends by a few months, etcetera. So should we be expecting slightly more? I do understand you will still deliver like billion adjusted increment and adjusted EBITDA, but should we expect a slightly toned down version of it going ahead costing that growth paddle is more important at this point?

Blackbuck 36:13
Yeah.
So basically a few things we are doing to like go more aggressive is that let's say we would charge let's say o ur customers, you know for our let's say attack, right, let's say we would like live IFE. Now we are basically running some schemes and offers to like penetrate further right to you know have much higher market share, right.
And probably in some markets wh ere we earlier thought that let's say obviously in very good markets paybacks maybe 3 -4 months also in very bad markets today paybacks maybe already 12 months, right. But then we're like, OK, but blended CAC level, we're doing really great, right. Why don' t we still penetrate, right. So I think some of those decisions we would be making in the coming, you know, 6 to 12 months, so.
So, so maybe, yeah, I mean a little bit maybe tapering down you can probably you know expect, but important to note is that in o ur business investment today means much more compounding profits in the future, right. So the so, so it's actually you know but then when will the tide turn towards you know really.

Expansion of profits that we don't know, right. So, so think of it as when ever we aggressively expand profits, aggressively expand investments, right. Profit growth probably, you know, a little stabilizes. But then once we stop expanding our investments, you suddenly see the hockey stick coming in profitability. So that's the na ture of business and like.
As as I've always maintained, right, the last six quarters, five quarters when I presented you guys our earnings, right, the profitability which you guys are seeing was actually logged like you know 2 1/2 years back and that was a confidence also of going public, right? Because this is the nature of the business if you are able to see a investment opportunity which has strong paybacks.
We actually typically go intensely, you know, behind it and you know, chase those investments because once you steady, like steady your investments, you see like you know, spring back in profitability.

Sachin Dikshit 38:16
Understood. So should we expect this next hockey stick to be there in two years time? Because thing you mentioned like what w e saw now was.

Blackbuck 38:23
Nothing, nothing like that. Like, sorry, I was just, you know, metaphorically explaining all of this properly, right? But the way you should look at is that first of all, our investments also will be calibrated like it be cause we don't have too much room because these businesses have sufficient penetrations. So even the investments will be calibrated, hence you can expect.
The profits also to be calibrated, so everything you can take in a balanced away. Sachin Dikshit 38:47
Fair enough. Thank you and all the best.

Nikhil Raina 38:54
So next question is from the line of Gaurav Rat eria. Gaurav, please, please unmute yourself and go ahead.

Gaurav Ra teria 39:03
Am I audible?

Nikhil Raina 39:04
Yeah, Gaurav, we c an hear you.

Gaurav Rateria 39:06
Yeah. Hi. Congrats on good execution. I have a few questions. My first one is that I think you used to mention the market share in tolling closer to 45 and now you're saying closer to 50. So has there been steady marke t share gain in the last six months?

Blackbuck 39:23
Yeah. There has been a steady market share gain in the last six months, largely commensurate to the similar gains we were doing, yeah, over the last few quarters, yeah.

Gaurav Rateria 39:33
Got i t. Second, on the super loads, could you give example of what is the bare minimum you know load or the number of loads that you are handling that needs to happen in a city for it to become a playbook and then kind of replicate it to more micro hubs within the same city?
And just trying to understand like at what scale it starts becoming a playbook from a replicability point of view. Also because you are investing, how should we think about the contribution margin for this business? Thank you.

Blackbuck 40:00
OK.
So basically I think see the module is a pretty small like if you have a have a person who can manage 5-6 people like that's a module we can actually start off with right? If you if you're asking the bare bare minimum module like you know hire a team lead who's a people manager who can like whom basically you probably will.
You know, pay between 40 to 50,000 rupees a month and you hire, you know, young hungry folks whom you pay 20 to 25 K a month, like let's say in the team and that's a minimum mo dule actually.
See the biggest advantage of this for us is that we have like any marketplace you take, right, there is a demand side of the equation, there's supply side of the equation.
And in any marketplace you have to keep scaling both sides, you know on a step by step basis, right? Because like if you if you have demand and supply is not available, demand runs away. If you have supply, but demand is not, demand runs away. So you can't add both of them like in big quantities together.
We have been able to obviously it's taken 10 years, but we've been able to break this problem down into we have supply now, right? And then now it is only about demand development. Demand in this industry is always hungry for trucks. If you go to any shipper and talk to the m, they will every time go to multiple, you know, brokers and like.
Let's say try to get a truck right and and and and every brokers fulfillment rates are between like 10 to 10% to like 20% right. So every broker every day gets 30 index but he typically is able to fulfill like 2 to 3 orders a day right. So and that leads him to make a net earnings every month of like you know 2 lakh rupees up to 2 lakh rupees right. So so this is.
This is what we are trying to replicate leveraging a technology platform, rig ht? So hence the need of a big module to start is not there. The module, the node is actually fairly small and like the initial times whenever we have set up this node, very smallest node because of it's very small.
Control is higher. You typically break e ven in like second, third month, right at a branch level, at a city level, right. So that's the context on basically the node and the replicability from an expansion perspective, how to look at contribution, how to look at impact in terms of.
Total burn. I would say for us also we are too early in terms of, you know, really understanding expansion leads to what kind of losses and you know how to factor the slope, how to factor the break evens at this point in time because our large evidence of scale up has happened only in the last three months.
Because this team would have been probably like you know under 50 people team maybe you know three to four months back. Now this team is already like 250 people team and like we really don't have you know we we can't , we don't have much guidance into that. We are also figuring out maybe

in two quarters we may be able to guide you on how to really model the you know.
Contribution and losses in this particular business.

Gaurav Rateria 43:04
Thank you and all the bes t.

Nikhil Raina 43:09
Next question is is from Abhishek Banerjee. Abhishek, please unmute yourself. Go ahead with your

question.
Abhishek, please, please unmute yourself and please go ahead with your question.

Abhishek Banerjee 43:29
Hey, hi. Am I audible?

Nikhil Raina 43:30
Yes, we can hear you.

Abhishek Banerjee 43:33
Great. Thanks. Thanks for the opportunity. Rajesh just wanted to understand the core business growth last quarter was about 40% YO Y and this quarter it is about 37% YO Y just.
I mean, if you could, you know, help us better understand how to kind of model this for the full year. And also I think last year you mentioned that the growth was being driven by the GPS business. Whereas this year it was more by the this quarter it was more by the fuel sensor. So is there any national correlation between the two?

Blackbuck 44:18
Yeah. So I think you know one is basically how to look at growth, right. So first is like a good part of revenues like come from the tolling like line vertic al, right. And again the next substantial vertical is basically your telematics vertical, right, GPS and AI as business.
When I was explaining the levers of growth, see every business provides a lot of adjacencies, right. So when I was explaining how the w hole playbook of growth is being built out and whenever we've talked about growth, we've always talked about the numbers of around like 25% levels is how we look at growth.
Because all the adjacencies, when they come up and compound into growth is a bit un predictable because every business is a mix of core like very core solidified verticals which we can, you know, project out, understand and the adjacencies, right. So the way to look at growth obviously.
Two paths, adjacencies, how will they grow and core, how will they grow right in terms of core tolling again like indexing this on you obviously have the public numbers on how NADC is growing right. But then underneath the hood you look and look at what is the kilometers of national highways which is cannib alizing state highways, right? How is that growing? How are number of vehicles which are using?
The like national highway, how is that growing, right? Because the number of vehicles grow and they use more national highways, right. How is the inflation on t he toll fare is growing, right. And obviously a little bit how has our penetration of our value -added services is growing, right. It's a mix of all of this and we like obviously.
You know, give you the metric on how our payments GTV is growing. From there you will be able to really extrapolate how the tolling business is growing, right. GPS on the other hand, GPS aided by GPS, AIS, AIS device, which is a mandatory device in various different states. This gives like a good kicker because AIS gives the kicker . GPS is obviously you know.
Good modernization kind of a story because as truckers get modernized, they will utilize these services more and more, right. So both of these again we've typically, you know, guided in the similar sort of zone. We typically ha ve not guided you know as a as a strategy, but to help you out how to model this out, right. So this is how the core works.
But then now on top of this, like there are a lot of experiments running on how we should really look at fuel cards, how do we run c redit programs on fuel , leveraging the dealers. We're doing a lot of different work over there, right. At the same time under telematics, obviously fuel sensor has broken out, but we do, we are doing a lot of pilots on various different telematics products , right, because telematics.
In India is large about how do we translate the innovation, but not really about innovating because the West is is far ahead in telematics, right. So blended all of this as you're seeing we're able to do this 37% growth in the last quarter, right. And and hence like you know that's how that's how you should look at the you know overall growth modeling for the core businesses.

Abhishek Banerjee 47:09
Understood, understood. And and with regards to the super loads business, so what would be the average you know value of you know one one transaction on the super loads business and if you could just you know give us split
Of the net revenues, I I'm not sure if you've given it previously. I may have missed that out.

Blackbuck 47:36
Yeah. So I think what we've always maintained is that we will at the relevant time start increasing the disclosures with respect to the Superloads business, right. But to give you some like narrative on how does the industry work and like let's say y ou know in terms of the gross revenue per transaction, etc. So India, if you take the overall.

India average, the gross average, average revenue like you know for a load average gross rate value for a load typically would be in the range of about 50,000 ru pees, right. And an offline industry for the whole brokerage industry and the you know probably the booking office, everything whole industry typically makes a 15 to 20% kind of a gross margin brokerage layer.
Typically makes anywhere in the range of like, you know, 8 to 12% margin in this industry right today. Obviously because we are largely doing regional lanes, our gross order values are, you know, much lower than this. Yeah, this is broadly what you know, we can share.

Abhishek Banerjee 48:33
Under stood. And and just one last question. So one of your competitors has recently announced that they will have a platform which will show the prices for most of the, you know, lanes across the country. So that kind of
Takes away some of the information asymm etry which is there in this segment and which obviously

you know would would mean higher realizations for platforms. So any thoughts on that? I mean would would you sense that the competitive intensity is going up here right now?

Blackbuck 49:11
Yeah. So basically, you know, I don't know the competitor you're referring to, right. The majority of the competitors in this business like are like, you know, in the organized transporter layer, right, who typically provide services to the end customers. We don 't compete with them #1 . #2.
The pricing in this industry is very heterogeneous, let's say from Bangalore to, let's say, Delhi or Bangalore to Chennai. The whole pricing at a daily basis typically is in the band of 15 to 20%, right. And it's very, you know , and that pricing is right.
And true for that particular micro market and for that particular product category, right. So let's say for example if you're carrying, if you're using the same truck type 30 feet multi axle container for like you know two diff erent you know shippers on the same lane, same distance travelled, the pricing may still be 10% different because.
One particular customer's warehouse has a lot of detention, right? Or one particular customer may have a material which is far lighter, but i t needs that particular, you know, truck type, right. So pricing is very heterogeneous and pricing is very, you know, micro market dependent and I would say that if. More and more players can come into this industry and do this kind of work. We will be abl e to faster crack this market than actually we like, let's say being a lone Ranger and like with very few players trying to do this.

Abhishek Banerjee 50:45
Understood. Very helpful. Thank you so much.

Nikhil Raina 50:51
The next question is from t he line of Parikshit Kabra. Parikshit, go ahead, please unmute yourself.

Parikshit Kabra 51:00
Hi, am I audible?

Nikhil Raina 51:02
Yes, we can hear you. Go ahead, please.

Parikshit Kabra 51:04
OK, great. So my first question, OK, first of all, congratulations Rajesh for your results. But my first question is about the type of fleets, fleet that we have from my research. What I'm hearing or understanding is that one of the type of.
Trucks that we may not have adequately in our portfolio are thos e container trucks. And based on my research from some of the other people, other tech players who are also trying to enter the space, it seems like they also struggle in onboarding.

Blackbuck 51:31
Yes.

Parikshit Kabra 51:35
Container trucks on th eir on their fleets. So I'm just trying to understand whether this is just a random occurrence or is there something structurally different about, you know, tech players like yourself in on terms of onboarding container fleets basically?

Blackbuck 51:52
Yeah. See, basically, first of all, if you look at the market segmentation in terms of truck population and ownership, 75% of , 75% of the trucks in the industry are owned by people who own less than or equal to five trucks. That's point #1.

Now if you l ook at the share of people who own, let's say more than five trucks, as a percentage of that they would be owning more containers. So my comment there is large fleet owners typically own large number of containers.
Right. And these people, let's say for ex ample, when we were like trying to add users using a tolling or a vehicle traction service, etcetera as it is 2019, 2020, these guys because they were bankable, they were a profitable businesses for let's say you know maybe like a large Western tele matics company . Or by a HDFC bank or by an ICICI bank became their customers quite early on, right? So if you look at our, let's say our percentage share percentage, let's say for example, if India has 10% large fleet owners who own more than 20 trucks, for examp le, right, our percentage of that would.
Be like 6%, right. So on a relevant proportionate share, obviously we are lower on a platform basis because they were more, they were penetrated by some of the these players because of the profitability of that busi ness, right. That's point number one, point #2.
You're obviously question is the right that do we have containers? Answer is yes. But do we like let's say really dominate in containers? Answer is no. But at the same time today percentage of vehicles in the super loads business or be in the classifieds business which get placed by containers, that number is also 40%.
So it's it's basically 40 to 50%, so that it's basically, you know, yeah, so classifieds as you rightly said, let's say you may have the voicin g voice over by the customers that we are not able to find containers properly because the availability of trucks is so high that you know they feel bad in containers.
At the same time, when I look in super loads right, when a customer repeats right, he st arts repeating right. So even though he's not a customer, he's maybe a customer for only one of the other product categories or may he has joined the platform only for classifieds right? Or he joined the platform only for super loads because he started sup er loads right? So the repeat is typically.
Very high for containers as well, right. So your your question answer to your question is definitely yes, that proportionate share is lower but containers are available. But do customers struggle in finding conta iners who are classified customers? Answer is yes. Do we have high mark high share of our loads on containers? The answer to that also is yes.

Parikshit Kabra 54:41
So as a follow up, Rajesh on that, so thank you for that. But as a follow up on that, t hen would it be fair to say that to some degree our loads marketplace or even the classifieds business would be throttled in its growth because of our inability to have adequate number of, you know, these container trucks and if.
So how are we structurally solving for it? Because see the problem that you identified, which is that

these container trucks are typically with larger organized players who we have not managed to tap into that still persists. So how are you going to solve for that?

Blackbuck 55:13
No, no, no. So sorry, like what I meant was first of all, they are large. See, first of all, India has a $200 billion of trucking TAM , right? 180 to 200 in that which comes into brokerage is 120, right? Let's 60% of that. First of all, these organized guys may have put the trucks.
With let's say a PTL provider or a express provider, we I'm not even calculating that in the TAM, right. So the TAM is ex of that. The problem is that the overflow needs of these come into the brokerage marketplace for the overflow needs any which ways you will not find trucks.

Attendee169 55:39
Hmm.
Hmm.

Blackbuck 55:48
So answer to your question is for the relevant share of demand which actually comes into the open market. Those many containers I think are availabl e in the open market. So it would not throttle.
That's that's point #1 because we've seen that play out in the business in the markets we are in and like Bangalore is a significantly container market and we've been able to scale up significantly over here, right.
So the answer to this question is that first of all, containers would is a very small share of the oral market #2 have been able to find containers on our platform. Answer is yes. Have been able to scale containers. Answer is yes. Higher market sh are of our businesses containers. Answer is yes, right? Yeah.

Parikshit Kabra 56:23
Got it. Second question I had, Rajesh, was I understand that you know you guys are planning on doing massive investments in in in all the new growth areas and that's fa ir enough. And I think this quarter in terms of a cost line items, you have already seen some of those investments.
But from a quarter -on-quarter growth perspective on our growth business, we have grown, we have gone from 23 crores to 28 crores, which is o bviously great growth on if you look at it out of context.

But from the idea that we have just managed to crack this model to some degree and we are scaling up operations so rapidly.
Does this growth look adequate to you from a top line perspective?

Blac kbuck 57:01
Yeah, yeah, you're absolutely right. I mean this growth from a perspective of you know what this can be is definitely not adequate and but like let's say the entire aggressive outlook into superloads is quite recent of the last two to three m onths.
Yeah.

Parikshit Kabra 57:20
Got it. All right. Thank you.

Nikhil Raina 57:27
Thank you. We'll we'll close the, we'll close the Q&A session now. Thank you everyone for you know for for hearing us out. I'll hand over to Rajesh now to make the closing remarks and then we'll close the call. Rajesh, over to you.

Blackbuck 57:40
Yeah. Thank you everybody for, you know, making it to our earnings call. And I think we had a good, you know, first half of the year. And yeah, more importantly, you k now, as I understand all of you are on a holiday and I think on a holiday joining the call and.
You know, hearing us. Thank you so much. Special thanks you know for that and see you guys again soon. You know in the after one quarter and wish you all very b est. Yeah, signing off. Thank you.

****

Call: Feb 2026

Ref: BLACKBUCK/CORP/2025 -26/152
February 12, 202 6
To
National Stock Exchange of India Ltd.,
Exchange Plaza, C -1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001

Scrip Code: 5 44288, Scrip Symbol: BLACKBUCK, Series – EQ
ISIN - INE0UIZ01018

Dear Sir/ Madam,
Sub: Transcript of the Earnings Conference Call for Analysts and Investors conducted on February 05, 2026 .
Ref: Disclosure under Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

Pursuant to Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby provide the transcript of the Earnings Conference Call for Analysts an d Investors conducted on Thurs day, February 05, 2026 during 05:00 PM (IST) to 5:56 PM (IST) .

Enclosed is the transcript of the Earnings Conference Call, which is also hosted on the website of the company. The link to access the transcript is provided below:

https://a.blbk.in/Cor porate_Announcement

Kindly take the above information on record.

Thanking you

Yours Sincerely,
For BlackBuck Limited
(Formerly known as Zinka Logistics Solutions Limited)

____
Barun Pandey
Company Secretary and Compliance Officer
Membership No: A39508

BARUN
PANDEYDigitally signed by
BARUN PANDEY
Date: 2026.02.12
14:28:10 +05'30'

BlackBuck Ltd
Q3FY26 Earnings Conference Call
February 0 5, 2026

Speakers:
Mr. Rajesh Kumar Naidu Yabaji - Chairman, Managing Director and CEO

Mr. Satyakam Naik - Chief Financial Officer

Moderator :
Good evening, Ladies and Gentlemen. Welcome to the Q3FY26 Earnings conference call of BlackBuck Limited hosted by Radhi Capital. As a reminder, all attendees will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. If you have any questions, please feel free to press the raise hand button. We'll call on you in turn and unmute your line so you can speak. You can also post your questions in the chat window, and we'll try to answer either during the call or get back to you on email.
Important note, if you need to ask a question, please ensure Microsoft Teams has permission to access your microphone when you log in otherwise you will not be able to unmute.

Please note that this conference is being recorded. Kindly also note that the audio of the earnings call is a corporate material of Blackbuck Limited and cannot be copied, rebroadcasted or attributed in the PR media without specific and written consent of the company. Please note that anything said on this call that reflects the out look towards the future which can be construed as a forward -looking statement must be reviewed in conjunction with the risk that the company faces. A copy of the disclosure is available on the investor relations section of the website as well as on the sto ck exchanges.

To give you an in -depth understanding of the company and answer all your queries, we have from the management side today, Mr. Rajesh Kumar Naidu Yabaji, Chairman, Managing Director and CEO and Mr. Satyakam GN, Chief Financial Officer. I now hand over the conference to Mr. Rajesh for his opening remarks. Thank you and over to you sir.

Rajesh Kumar Naidu Yabaji
Thank you so much for the introduction. Good evening, everybody. Welcome to the third quarter earnings call of Black Buck. The second last lap into the financial year and more importantly the second half of the year which positively benefits the whole CV and the trucking industry. We'll walk you through what has been the last quarter and we can discuss thereon.
At a broad snapshot level, we did close to about 189 crores in total income in Q3 of FY26 which is a 53% growth on a year -on-year basis. EBITDA of about 45 crores which is close

 to about 50% growth on a year -on-year basis. PAT of about 32 crores; last year because of exceptional items there's no comparison. So broadly consistent with what we've been talking about in terms of our business model, in terms of our revenue line items, in terms of consistency in delivering the profitability , I think that's playing out . On the functional metric side as we've discussed transacting customers is one of our north star metrics , in terms of how many customers transact with us, how many of these truck owners are using our services. That's growing at about 13% on a year -on-year basis.
Users using greater than two services, which is typically our more loyal users, power users, that's close to half of the overall transacting users. That's growing at about 20 - 20.5% on a year -on-year basis. GTV in payments , payments forms a critical part of our revenue, so we keep reporting this, that's roughly growth of about 23.5% on a year -on-year basis. So , headline being that as all of you are aware we are investing very strongly in newer business verticals like superloads and vehicle finance. Despite those investments we've been able to keep up delivering consistent profitability and this story will continue to play out.
Taking a step back again, playing out our core strategy and core vision of what we are building, why we are building. As all of you are aware Blackbuck is essentially trying to

recast the who

le trucking ecosystem how it works today and as we all know fast forward
10 years this would not be really operating the way it is today. The question of really whether it will change is not there. The question is really when it will take place. What we are solving today towards that particular vision, what we are solvi ng today is the truck operator's life, truck operator's journey because this is the infrastructure which supports trucking and we believe that if we can solve this, it makes us multiple steps closer to really recasting how trucking works in the country.
As all of you know, we have shown this slide in probably all our earnings call thus far, w e have a very simplistic strategy where we innovate, and we create offerings for our truck operators. These offerings range from enabling their operations to getting them go cashless to help them access to their own data easily to getting loads on the platform. Then we have our platform, our crown jewel, th e Blackbuck app , where these customers transact and for these customers this is like as consumers if we fire X or we use Safari as our browser as the platforms where we use where we put in max amount of a time during the day. For a trucker, it's basically the Blackbuck platform and our very unique distribution.
And as you know, in offerings, we have varied offerings which we have enabled for our customer right from tolling to vehicle tracking to fuel payments to fuel sensor to fleet docs

 and many of these offerings and we continue to research and continue to launch these . Our platform , most of these transacting customers which we talked about are spending close to 45 minutes daily. That's a powerful usage which continues to compound . Distribution , a very unique, a very omni -channel distribution strategy where feet on street from a sales point of view, from a technician network perspective, from a channel partner network perspective to call center right. Every kind of methodology which is us ed to reach to the customers to be able to provide the service and the know -how of the product, for him to really utilize and we are essentially virtually present everywhere . Through this strategy is how our revenue gets delivered. This is the strategy in which our team s are broken up inside the company. This has been the same strategy for the last 5 years and we continue executing on these fronts as we speak today.
Now this strategy fructifying into execution is largely the key KPIs. Some of them I've already spoken in the headline slide. If you can see, m onthly transact ing truck operators growing on a year -on-year basis at about 13%. Largely the 9 -month numbers are synonymous to the quarterly growth numbers. I will highlight wherever there are specific callouts. Gross transaction value of payments as I mentioned grew by about 23.5% on a year-on-year basis. Revenue from operations 51%. And when you look at net revenues which is basically below which literally most of it flows into contribution margin with an efficiency of close to 93%. In that the growth is roughly about 34%. We will talk about the split between the new and the old as we keep moving forward.
From a contribution margin basis , we've grown similar to the overall net revenue growth which is 33% and contribution margin percentages as I spoke 94% are largely consistent which has led to us delivering an adjusted EBITDA of 50 crores compared to the last year same quarter that was 33 crores which is a 51% growth. 9 month number is very stark because roughly about the same timeline last year is when we started compounding on our profitability so that's a 140 cr ore on a 9-month number compared to the prev ious year 9 month number was 64 crores which is roughly 118% , 2.2x kind of a growth on the adjusted EBITDA on a year

-on-year 9 month basis.
Giving a narrative on really what's happening behind these numbers as I spoke revenue grew by 53%. Within that the core businesses had a growth of a very healthy growth of 31.5% on a year -on-year basis and as I was mentioning at the starting of the call th at H2 is the positive season for the CV industry. That's a 11 .5% growth on a sequential quarter basis. So , the whole momentum of H2 has essentially picked up. Underneath the core business, which is growth of 31.5%, tolling business which is basically one of the core revenue levers, that's grown obviously more than 24% but the GTV growth is 24%. Which

 also is an important determinant how the revenue in the tolling business essentially grows versus the industry grew at about 15% which continues to call out that our market share is compounding, and we are able to grow healthily and continue to accelerate there.

Other business vertical of telematics which is the second business vertical under the core businesses again had a very strong quarter this particular Q3 where the run rate of sales and don't confuse us with sales revenue, the incremental sales we have done in the last quarter are almost highest ever in all the product categories which was a very good milestone for us . From a growth business perspective which is again largely led by superloads and vehicle finance , we had a growth of roughly 271% on a year -on-year basis. Sequential quarter roughly close to 25% growth which largely led by superloads . Now giving a colo ur on super loads as we've always maintained super loads is in the phase of a very strong playbook building phase where obviously orders are scaling and we continue to launch newer cities as we speak. Last time when we were speaking , we were live in four cities now we live in totally nine cities. That's on superloads . Vehicle finance again aided by industry tailwinds we were able to sequentially grow by 35% on the disbursals for our partners on the platform and that business continues on a healthy growth path.

So that's broad commentary on revenue. Getting into adjusted EBITDA despite continuing to step up investments in newer businesses as we have spoken , we are aggressively pursuing expansion in superloads which is where superloads and vehicle finance are unprofitable categories for us today. So despite investing in these businesses, we are still able to deliver a very strong EBITDA growth of 51% on a year -on-year basis and we have delivered roughly about close to 20% of EBITDA grow th on a sequential quarter basis largely contributed by the operating leverage and the compounding of the core businesses which basically are of supremely high quality , very differentiated product aided by a very low cost distribution and servicing network is what is aiding that which is giving us the firepower to also continue to incrementally invest in our new businesses and which will be the businesses which will help us really realize our vision as quickly as possible.

So that's the commentary on these numbers . These numbers reflecting in the accounting P&L as you can see income number which we spoke about 53% growth on a year -on-year basis. Revenue from ops roughly excluding the interest income is growing at about 51%. Core businesses as I gave a voice over have grown by 31% . Growth businesses roughly growing at about 4x, 3.7 to 4x on a year -on-year basis. On a net revenue basis all these

 indexing in roughly growing at about 34%. Direct costs grew a bit strongly because of the telematics business by about 56% and then broadly similar waterfall as regular P&L of our quarters . Adjusted EBITDA

50 crores compared to 33 crores on a year -on-year basis growth at 51%. And that flowing down to PAT at 32 crores which has an exceptional hit of roughly about 3.5 to 4 crores on the wages labo ur code regulations changing.

So obviously highlighting the 9 month Adjusted EBITDA here agai n, 64 crores last year versus this year 140 crores and EBITDA 53 versus 122. So that’s a strong growth on EBITDA continue to compound. So that’s on the P&L perspective.

Summarizing all this from a profitability angle, this is like a zoomed out view of the last 2.5 to 3 years. So if you can see this quarter we've delivered our highest ever Adjusted EBITDA despite a very strong expansion in newer businesses and also investing back in core businesses because we have grown, we have scaled our distribution network further by 10 percentage points over the last quarter which means higher investment in

distribution network as well at the same time expansion into multiple cities in Superloads . Having said all of that done, still we have delivered an Adjusted EBITDA highest ever of 50 crores and if you reflect that on a 9 -month basis which is 140 crores; FY25 we did close to 100 crores . This number far supersedes that to 140 and obviously the last quarter we still have to get through so that will be a good end to the financial year as well. Summarising a gain what I spoke in the overall narrative is that this consistent profitability continues largely based on the core businesses which are compounding and delivering and anchoring th ese results where the operating leverage continues to hold and continues to sort of help us deliver the profitability.
Summarizing similar slide which I used last quarter thinking ahead largely remains same. I think it would be fair to say that roughly most of the presentation is same largely the numbers are different because this strategy for us has really not changed the last five years and we continue to execute on that strategy. So, simply thinking ahead core businesses which is payments and telematics businesses and a lot of adjacencies which we continue to build we are essentially doubling down , continuing to invest i n our distribution network , continue to gain share from a market share perspective , continue to align ourselves to the market tailwind and really delivering predictable and consistent and profitable growth . While that growth delivers strong profits , leveraging that and reinvesting in growth businesses which delivers superior 10x value to our customers by loads which helps them enhance revenues and multiple other new experiments under the hood.

 So, there I don't think as a company after going public, we've really pulled back . We've actually gone much . Once we were public , we probably tested we were probably testing the waters couple of quarters and once we knew how to navigate the public markets we've been actually as aggressive as we were in the private markets from really building new businesses delivering incremental va lue for our customers. I think that's continuing to work. I think I would leave you guys with these thoughts that core business es continuing to compound on profitability , continue to deliver on the operating leverage we've always spoken about and that's giving us firepower to continue to step up investments in the new businesses and this strategy we will keep executing as we keep going forward. That's all from my side. I t hink we'll open the floor for questions.

Moderator :

Thank you. We'll now open the call for questions. Kindly raise your hand to ask a question. We will unmute your line. And as a reminder, we request all participants to restrict themselves to two questions and come back in the queue. The first question is f rom the line of Mr. Sachin Dixit. Sachin, please

go ahead.

Sachin Dixit:

Hi. Congrats Rajesh for another great set of results. I had a couple of questions. The first one was basically on payments GTV . We have seen this number growing at roughly 35% year-on-year in FY25 and gradually now we are in roughly in the mid to early 20s range in terms of this number. What do you think is let's say two years out where do we position on this piece because there is some market share gain happening on tolling but it's also happening in an industry which is growing only 10%. So , any views on how do you think this payment GTV should shape out?

Rajesh Kumar Naidu Yabaji:

Sachin as you're aware I again repeat that we typically would not give forward understanding of really how we look at it . But I think what you're saying is absolutely right. Because as you know our market shares are pretty much closer to that 50% level range, late 40s as we speak today. And, as you rightly said the market right now is growing at probably between 9 to 10% , and definitely we will compound much stronger on top of that. But this number which you just quoted that the market is going at 10%. If y ou look at the last 2 years of data at every quarter level sometimes this number has grown between 15 to 20%. Sometimes the number has grown at 9 -10%. So, I think definitely we are indexed a bit to that , but we continue to gain market share in broadly the similar method as probably a few quarters back. I think that's continuing to happen. And the second point which I always mention that our acquisition market share is actually much larger than our current market share. Which means that we will still be continuing to compound at a much faster pace than this. So , I think that's what I would like to articulate other than that , but whatever facts you outlined are right.

Sachin Dixit:

Just to clarify that right. So , and I know I've asked this question in your I think probably the first earnings call as well. So , do you think market shares for you can reach more than let's say a 65% odd range or somewhere below that they will start to plateau out . I mean at a high level obviously not as a guidance at a very high level .

Rajesh Kumar Naidu Yabaji:

Whatever number you just quoted is possible because we've been gaining market share continuously. But the point is the pace to reach there is hard to determine. It'll all depend on basically how the whole industry sort of models out and when our acquisition market share like let's say assuming that whatever number you said if our acquisition market share is that number then we can see this number reaching the market share number maybe in a 2 -3 years timeline. So that's how I think it will work. So , we will first have to make our acquisition market share go to that number then the actual market share starts reaching that number over a period of time.

Sachin Dixit:

Fair enough that's very detailed. Secondly on the incremental EBITDA margin that we have been getting right. So obviously we have seen very good incremental EBITDA margins this quarter while you have invested as you have highlighted in superloads you have already reached nine cities. Our incremental EBITDA margin was not brilliant but still healthy at 44 odd% Q-on-Q if I look at it. So , on this number considering you are already in nine cities should we expect this to be the worst probably incremental EBITDA margin you are going to get, and we should expect slightly better as we proceed ahead. Or how should we look at this number right? Obviously , we have seen 80% numbers for you as well.

Rajesh Kumar Naidu Yabaji:

Of course, see basically blended incremental EBITDA margin I don't think is the right way to look at this business. We need to basically split this after allocating the HO cost into what

is the core business EBITDA margin and what is the new business EBITDA margin because at the business line vertical level there is literally no connection in terms of both

 these businesses . The costs are pretty independent. So incremental EBITDA margins of the core businesses continue the same story as we've always delivered point number one. And this is essentially a independent business which has basically its losses. So , the overall incremental EBITDA margin is actually a composite metric of these two factors playing out . More if we see signs of very like let's say a breakout signs in our super load business and we really want to out invest then you'll definitely see depre ssion in the overall EBITDA and then the incremental margin loses its concept itself because it's basically two different businesses. So , what I'm trying to help you understand is that very hard for me to comment on really whether this is the worst or what it is going to be. Point number one. Point number two the core business has the same flavo ur of operating leverage in terms of incremental EBITDA margins. Third, the investment into new businesses are very independent decisions basis the signals we get in the market and basis how that independent business performs.

Sachin Dixit:

So just to a follow -up question on that are you seeing that breakout sort of phase in

superloads yet or are you still figuring it out?
Rajesh Kumar Naidu Yabaji:
I think we're still figuring out. We're building lot of products inside and doing a lot of experimentation, doing a lot of I think I would say groundwork at this moment.
Sachin Dixit:
Sure, Rajesh thank you and all the best.
Moderator :
Thank you. The next question is from the line of Vishal Agarwal please go ahead.
Vishal Agarwal:
Hi, I want to ask two questions. First is do you have any competition in the market listed or unlisted space who could be directly competing with you like in platform businesses you have Swiggy and then you have Zomato you have Paytm, you have PhonePe. So , if you want to compare with Blackbuck, who will be next to you?
Rajesh Kumar Naidu Yabaji:
As we've highlighted Blackbuck's vision is unique and hence the whole execution is pretty unique and the whole avatar of Blackbuck which you see today essentially is nothing but

 an iterative version of trying to get to the vision and we've gotten here which really looks like a payments company, in a telematics company with a loads company with a loan origination company. It's very like looks very different but when played on a platform and when understood the story we all know that it's all originating from the same platform. So, because of that literally at broad scale there is literally no competition from an overall end-to-end perspective but if you look at segment wise . If you look at let's say assuming payments right, there are a lot of banks which do this because they have customers and they do this business for retail. So , they also extend this towards commercial vehicles. So, definitely there are banks in the tolling business. In telematics business, there is a company there is a private company with which we compete with like they do decently well the telematics business that's one competition segmentally. From a classified loads perspective , the loads business perspective t here is basically not much any formidable competition. I think from a market share perspective classified we drive like a large number of loads on the platform where there is literally not much kind of formidable competition. So , if you look at it from this lens each of these verticals may have some competition

and in the recent past there is one public company which wants to try replicating something what we are doing but I think we've still not seen much execution yet going on a nd there is one more public company which is smaller they are also trying to replicate something but then still literally from a meaningful perspective having something in the 2% , 3% kind of a share also is not there yet.
Vishal Agarwal:
Okay. So just to clarify the public company would be Delhivery.
Rajesh Kumar Naidu Yabaji:
No comments but no comments on that point I said I didn't say yes.
Vishal Agarwal:
Okay. And second question is what's your target for superloads in terms of the coverage area number of cities like you now gone to nine cities. So , take it to 30, 100 or what's the potential? How many cities can you cover?
Rajesh Kumar Naidu Yabaji:
See last earnings call we've given a visibility. We were live in four. We decided to open 10 which will make it to 14. And we gave a visibility that by June 2026 is when we will be in 14. That's the visibility we gave in the last call. Broadly that visibil ity stays and largely it'll be predicated on how well the business is performing and in terms of ability to really ,

 scalably build this business with right economics. I think that's going to predicate the growth of this business which we today let's say don't have much visibility on.
Vishal Agarwal:
Okay thank you and all the best.
Moderator :
Thank you. We'll take the next question from the line of Parikshit Kabra. Parikshit, please go ahead.
Parikshit Kabra:
Hi, am I audible?
Moderator :
Yes.
Parikshit Kabra:
Great. Thank you. Thank you for the opportunity and congratulations on another set of good numbers. I think I'm going to get into the other expenses, and I think a lot of this conversation happened in the last call as well last quarter but I just wanted to dig into it a little bit more. When I adjust for the expenses your cost of goods for your superloads business and then look at your other expenses even then they're increasing rapidly. Now I know we're investing in superloads setting up offices and teams etc but when I look at it from a year -on-year perspective it's almost the 18 to 19 crore expense which is higher on a quarterly basis. Can you help us understand where all of this extra expenses are coming from?
Satyakam GN :
See Parikshit , broadly if you look at it there are two areas where this is coming from other than like you said cost of superloads . One would be manpower. The second would be in terms of let's say SIM cost for GPS etc. So , SIM cost of GPS etc. you can broadly track from the direct costs that we report. From a manpower point of view, the expansion is across. Even in the last quarter, we gave you flavo ur around how we are expanding teams on the core business side as well. And obviously we are expanding teams on superloads . So, there are no other significant increases other than manpower, the GPS related direct costs and the superloads direct costs.

 Parikshit Kabra:
Right? So the manpower that we increasing, we're not putting it under employee cost, we're putting the incremental manpower under the other expenses. Is that right?
Satyakam GN :
So, there are different models that we operate in. Who the employees who are on our payroll are reflected in the employee cost. The other models that we operate in might be off role might be other models. All of those are reflected in the manpower cost in the other expenses .
Parikshit Kabra:
So, would majority of the 19 crores compared to last year would majority of it be just the manpower cost then?

Satyakam GN :
Yes, majority would be manpower cost except for what is reflected in the increase in direct costs.
Parikshit Kabra:
Correct. So then let me move on to the next part of my question is that you know we have invested we were in Bangalore and we were already doing pretty well from there we went to four cities from there we've gone to nine cities and if I recall last quarter we said from 50 employees we're going to 250 employees correct me if I'm wrong. So , it seems like we are investing and of course the team takes time to ramp up but I'm just trying to understand that the growth from superloads from previous quarter to this quarter probably is of maybe four five crores additional. Are we struggling to ramp up in the other cities is it breaking down from what we saw in Bangalore is there a problem in the scaling up of how we're deploying resource s versus how the impact is actually happening.

Rajesh Kumar Naidu Yabaji:
See broadly your point is that there's a sequential something like a 25% kind of a growth right. Broadly that's what you're trying to say which is a four five cr ore kind of a growth number. So obviously the question is that can it be faster . The answer is yes . But the question also is that something which really builds out very fast also comes down that fast. So, the type of growth is something which I think we're very clearly indexed on in terms of high quality growth. Broadly at this point in time what we can share about

 superloads is that the operating model the crux of the operating model continues to deliver and work well. The cities which basically have been launched later continue on the similar path as the first city which is Bangalore and like probably day after day we are able to discover newer insights which are in the same direction as we speak today. So , most of the operating metrics continue to improve continue to compound well even in the superloads business. This is the visibility which we can provide at this point in time.
Parikshit Kabra:
Got it. And just a quick follow up and maybe you can and maybe you cannot. How's Bangalore doing? Is that also growing in line or has that plateaued to some extent?
Rajesh Kumar Naidu Yabaji:
No, it's also growing in line.
Parikshit Kabra:
All right, great. Thank you. Thank you.
Moderator :
Thank you. The next question is from the line of Rishi Jhunjhunwala . Rishi, please go ahead.
Rishi Jhunjhunwala :
Yes. Thank you. Rajesh, so just following up on the previous question, right? So , Bangalore is where we started first. Can you give us some sense in terms of where we are in Bangalore in terms of scaling up either in the form of number of leads that we are converting on a daily basis or the overall revenues we are generating. How far w e are from an ideal scale and an optimal scale and optimal will of course capture the full potential of the TAM there but ideal is somewhere where you would like you've been i n the past talked about say 5% or 10% market share. So somewhere around that if you can give some colo ur around that both on revenue side as well as on investment side to just understand how much time it takes to ramp up where we are in that is it enough success that we have gotten there which could be then replicated to other cities.
Rajesh Kumar Naidu Yabaji:
Yeah. So , I think assuming that if you believe that we've really built out the playbook the distance to that is let's say 100 right I believe in the city of Bangalore we are somewhere in the zone of 50 to 60. And this number probably let's say a quarter back would have been

 at 40-45 this number another quarter back would

have been at 30 -35 so there is a
continuous consistent progress in even the first city because we continue to deepen our costs continue to improve more customers continue to open up. More customer segments co ntinue to open up. Repeat rates continue to get better. Ability to like liquidity of the marketplace continues to improve. Availability which is very important which is a network effects driven phenomena where as marketplaces scale it's very hard to beat them on availability right because there are more trucks you know there are more shippers wanting to use it. If there are more shippers then more trucks will come in. If there more trucks then more shippers will come in right this whole virtuous cycle of th e

network effects I think in that dimension it's continued to compound well. So , if and then similarly as we mentioned Hyderabad probably was a market which probably was launched like a year or 6 -9 months later is again on the similar path as Bangalore lik e probably it would be like 6 months always away from Bangalore. So that has a much stronger take -off in the beginning right. So I would say that the playbook if it is 100 where we can believe that we have significant scale in a market which is called as a very good significant business not the ideal but the optimal stage where we can assume that the business is really working thumping the table I think we are at 50 -60% level at building that playbook and we're consistently improving and newer markets are f ollowing through the path which the first market followed and we are also getting multiple newer avenues to really accelerate this marketplace which I think leveraging technology leveraging AI we are able to do that. I think there's a lot of momentum there .

Rishi Jhunjhunwala :

And on the cost or the investment phase side are we kind of largely done the amount of investment we had too which are largely fixed in nature at least in the Bangalore side?

Rajesh Kumar Naidu Yabaji:

See the large fixed costs probably are done in terms of the top line like the top levels of people and resources but then the whole context is that because there is as you rightly said there's an optimal scale also which you need to hit. So , for that you need to keep investing. If we let's say assuming pause investing in Bangalore right for example we would break even in like few months but then that's not the objective the objective is to create a working capacity for that particular number so that incremental profits can be way higher. So , from an investment perspective I would say good part is done but not all.

 Rishi Jhunjhunwala :

Understood and just one question on the tolling fast tag business . On the take rate that we get on that I'm not talking about the gold programs but on the take rate has there been an improvement there?

Rajesh Kumar Naidu Yabaji:

As in overall take rate from an India perspective we're talking about?

Rishi Jhunjhunwala :

Yes the blended or something.

Rajesh Kumar Naidu Yabaji:

I see blended because blended mix between partners because one partner is at a higher take rate we get one partner we get a lower take rate. The mix definitely has changed. So , you may have seen some one bp or two bps kind of a change which is not a material change but you may have seen that.

Rishi Jhunjhunwala :

Okay but there's no major improvement there.

Rajesh Kumar Naidu Yabaji:

No standard change no major improvement largely same.

Rishi Jhunjhunwala :

Understood. All right thank you so much and maybe one question for Satya sorry this so you know on the tax rate side I mean how should we model that going forward as well and just want to understand has there been any change given that we had carry forward losses but of course I think we are recognizing defer

red taxes as well.

Satyakam GN:

Yeah, so broadly the current tax you should always model on as 25% of other income broadly that should hold true and the deferred tax you should model it as broadly about 25% of the EBITDA excluding the other income. That's broadly how what it what should hold true.

 Rishi Jhunjhunwala :
So, going forward just if we have to build ETR it still would remain around the 25 for the console overall entity?
Satyakam GN:
That's correct.
Rishi Jhunjhunwala :
Okay understood thank you.
Moderator :
The next question is from Gaurav. Gaurav, please go ahead.
Gaurav Rat eria:
Am I audible?
Moderator :
Yes, please go ahead.
Gaurav Rat eria:
Yeah. Hi, congrats on great execution. Rajesh, my first question is on your comment that you made on if the playbook is 100 and we are 50. Was it more to talk about the optimal stage of business where you can say that the business has reached a particular scale or was it to say that you have reached a potential of 50 versus the total 100 is optimal size of the business in some of the cities.
Rajesh Kumar Naidu Yabaji:
Sorry, both sound similar. Now whatever you said can you repeat again and help me understand?
Gaurav Rat eria:
Yeah. So, what one is a bare minimum size where you start calling out that your business has reached a particular scale at which you can start calling it out as a different segment individually in cities. And the second comment was more to say that okay the maximum potential in the city is 100 and I have already reached 50 means that headroom to grow is to just double the size from here on.

 Rajesh Kumar Naidu Yabaji:
No no no it's actually neither of these definitions it's more like if we reach and hit that scale of 100 we know how to build this business fully and after that it's only replication and expansion. So that's what I meant and at that 100 we will be under 5% of the market sorry under 2 .5% of the overall market and of the TAM under 5%. So , it would be like big headroom to grow still after that.
Gaurav Rat eria:
Okay. Okay. Got it. Secondly are we still targeting mostly the transporters or there will be a stage at which you know we will be directly possibly contracting with the shippers as well and the scope of the business will expan d substantially ?
Rajesh Kumar Naidu Yabaji:
As we have articulated like our marketplace strategy the end shippers are two: one is SMEs and other is basically corporates. Corporates are not equipped to work on a platform a spot kind of a platform where they can decide on a daily basis the rates . They will never ever come to a spot platform and that also involves working capital and involves the whole relationship management which is a little bit sticky and unscalable so we don't believe in that business. SM Es we have already started working as we've a lways articulated there are various markets in which we are probably doing a good share of the business from SM Es so we are directly working which is largely spot and cash and carry and we will continue to work with transporters through which the enterprise demand will essentially get channelized so that's how we will be working and we will never go to the end shipp ers because that's not a market we would want to directly interact with.

Gaurav Rat eria:
Got it. Last question for Satya. If you look at your investments in the growth businesses, is it fair to say that a substantial scale up has happened in FY26 so far and not so much in FY25 and therefore the incremental EBITDA margin that you see whatever margin has come down compared to last year is largely due to the investments in

growth and if you were to exclude that incremental margins would probably would not have changed compared to what you already delivered in FY25.
Satyakam GN:
Yeah. So, the scale up on the growth businesses significantly has happened in the current quarter. So , as Rajesh has articulated consistently the operating leverage in the core

 business continues to be supremely high. So , whatever we used to deliver in the past so that continues to be the case. So whatever dampening has happened on the EBITDA side from an operating leverage point of view is primarily or mostly driven by the investments in the growth businesses is all actua lly.
Gaurav Rat eria:
Yeah. All right. Thank you and all the very best.
Moderator :
Thank you. The next question is from Ankush Agrawal. Ankush please go ahead unmute yourself and go ahead.
Ankush Agrawal:
Sorry. My mic was on mute. So , Rajesh, first of all, very good performance. I'm still not sure about the superloads business. What I see is a kind of a 21% Q -o-Q growth which includes vehicle finance also. So , is this the trend that one can sort of forecast for the coming quarters? I mean is this the pace that you are comfortable operating at? That is one part of my question. Second is that what is the fixed cost currently and assuming a kind of a certain roll out what is the EBITDA margin potential? Suppose you are able to reach your ideal situation where you said the playbook is 100. Suppose you are able to roll out a ll 100 products and offerings what is the steady state EBITDA margin potential of the superloads business?
Rajesh Kumar Naidu Yabaji:
Yeah, see the first question in terms of like first of all the growth businesses are very dynamic in nature. So , ability to really give a guidance on what kind of a growth we can expect sequentially as we keep moving forward is a little hard. But as you rightly asked it's a blend of both and again reemphasizing vehicle finance like we only incorporate the commission revenue which we get from our partners the loans are on partners' books so it's largely a commission driven business for us and these businesse s are in the nature where we would want to take if we want to take hard calls in some quarter to really do the right things for the long term we will do that so hence they are in nature a bit dynamic so I would let's say we would when these businesses are at a stage where we would be able to give some forward visibility you guys will hear it from us. At this point in time , I would only articulate that these are new businesses and they are very dynamic in nature and it's very hard to project them out.

 Question number two is I think in terms of the businesses we've built and even what we're building most of them operate at a very high contribution profit businesses . Even the superloads business from the net revenue downwards typically has a very high contribution margin because the direct costs to the business are pretty low . And at a very and at the productivity levels which let's say so assuming we also operate this business with agents and people in our teams. So , as a business matures if you take the matured cohorts today right , they typically break even in like 3 to four months of addition in our company as well already right number one and number two the cohorts which are like 6 - 9 months old they would already be delivering EBITDA of like 30 -40%. So this business can easily be model led at the same EBITDA as our core businesses and we believe the nature of the business nature of the revenue at a net revenue level of the overall company by the addition of superloads is largely going to

be similar as the project out in a very long
term and that long -term you articulated that rolling out multiple products actually there's there are no multiple products it's only very simple service of getting a load from us if the trucker is in the city and we able to find him a load we he picks the load from us then we earn a commission and that commission is our net revenue and then you know it's we will probably we'll probably able to demonstrate that maybe 50 to 60% of that hit reve nue can flow into EBITDA on a long -term basis when the stability sort of comes in. Yeah. So that's broadly the colo ur of.

Ankush Agrawal:

So, thanks I just had a small follow up. See in the classified side you make like let's say 25 + 12 roughly 37 rupees per load that you find on the classified side. However , if one sort of benchmarks against what the unorganized brokers get per load assuming a 50,000 rupee kind of a trip and these people make around 10% of that. This is my understanding from hearing your calls in the past. So , they make roughly let's say 5,000 rupees. Even if you go in at a little bit of a discount and you say I make 3,000 rupees that's a very different kind of a revenue against a similar kind of a cost structure. So , two questions I'm asking basically if you were to reach I mean firstly is this 3,000 -4,000 per trip figure anywhere close to reality that is one and second if it is close to reality then your EBITDA margin should be much higher than what you have indicated.

Rajesh Kumar Naidu Yabaji:

Yeah so you're absolutely right in constructing the whole equation right I'll just articulate the difference in both the businesses. In classified business, people figure out each other. We manage the communication through only a like let's say we record the communication but we don't h ave control on what price they are doing what all how will

 they execute the whole in -transit the whole payment flow through and we are not accountable for even the trucker receiving the money effectively right so that's classified which is low touch and we get a subscription revenue it's not a per load revenue. So , it's a whatever you mentioned is more implied revenue. So , let's say if a shipper is posting loads, we sell him a subscription package for a period of 6 months for 2500 -3,000 rupees and he gets access to posting 200 loads or something like that. Right? S o that's the model in which the revenue gets accrued to us. Point number one and similar concept on the trucker side as well. When you flip this into superloads , right? Think of it as when you are basically browsing trying to buy products on Amazon and there are like products which are basically fulfilled by Amazon versus basically third party sellers right so on which there's a fulfilled by Amazon tick we typica lly have that trust of converting that hey the Amazon is doing all of this my returns will be easier everything will be easier so think of it as on the classified styles only there is a Blackbuck superloads style which the trucker knows that payments end to end execution everything be done by Blackbuck right . Now to be able to execute this we typically have built out the whole value prop which offline broker does into various teams. A broker in the market which you rightly said earns 4,000 to 5,000 rupees a transaction does his own supply development in our case that's comes from our platform. Second , he himself goes to the market does his demand development we have our own demand team in the market right he himself does the whole payment flow payments collections and everything for that we have our own like payments and execution team which sort of does that and internal to Blackbuck we typically have an agent who basically coordinates the whole matchmaking p rocess and

is essentially the
key account manager for both the shipper and for the trucker for the whole end -to-end transaction. So , these are incremental and additional costs to the classified model which

we incur and that is the reason why the steady sta te EBITDA number it will not be 90 -95 but then essentially it'll be in the range of that 50 percent number because there is a cost to executing all of these aspects.

Ankush Agrawal:

Fair enough only one part you left out Rajesh is a 3,000 per trip a fair ask?

Rajesh Kumar Naidu Yabaji:

Yeah. So in the longer lanes, so whatever you quoted 50,000 is actually national average pan India that would be between 40 and 50k. Today we operate largely regional lanes where the ARPU s are much smaller. Basically , we largely do the south based lanes where we originate probably in Bangalore, end in Hyderabad, end in Chennai, end in Mumbai, end in Kerala and end within Karnataka. I think assuming this is the kind of network we

 have. So obviously the lead distances are very small today and hence the revenue which you're projecting a 3,000 kind of a number from a pan India basis is very highly likely possible. Yeah.

Ankush Agrawal:

Got it. Got it. And in terms of going national considering your sphere of influence is essentially southern areas as you said intra -state and intra -southern states. What is the likelihood of success in areas where you naturally do not dominate? Let's say n orthern India and eastern India, central India.

Rajesh Kumar Naidu Yabaji:

Yeah, I think your question also had certain assumptions. Your assumptions were that we are predominantly a southern -driven company. I think that's not true because our supply our platform the supply on the platform is pretty much secular all across the co untry. In fact, like states like Rajasthan, we enjoy like something like a 70% kind of a market share and like states like Andhra which are still not like fully fledged buyers we enjoy 50 -55-60% kind of a market share. So , our market shares are anywhere in the range of 15 -20% to as high as 70% from a long -haul big capacity trucks. So , the platform is really widely secular because the fleet management business is present everywhere across the country in like 80-85-90% of the pin codes right. So , our ability to execute is fundamentally decided by the platform we've built. That platform is present everywhere and we have very high market shares in multiple other cities. It's about unlocking this business creating this whole whatever I talked about r ight a partic ular hub is a composition of all these like capabilities which we need to build in that hub we go there we activate that market build all these capabilities we unlock that business that's how the entire replication will happen.

Ankush Agrawal:

So, as you roll out pan India hubs and spokes and everything won't the lead distance also increase and won't the average increase and it can be.

Moderator :

That was the last question for the day. I now hand over the conference to Mr. Rajesh for his closing comments. Thank you and over to you.

 Rajesh Kumar Naidu Yabaji:

Yeah, I think that's all from my side. I'll just re -articulate that I think we're just consistently doing what we're doing from last 2 years, 3 years and nothing is changing and we continue to be excited quarter after quarter because last quarter actually we had lot of good revelations in terms of what we could do and how could we really recraft the journey

ahead and yeah and continue to build. Thank you so much for attending the call and look forward towards speaking to you guys next quarter. Thank you.
Moderator :

Thank you once again for your time and participation . On behalf of Blackbuck Limited , this concludes today's conference. For any questions, please feel free to write to us on the email ids mentioned on the invite. We appreciate your engagement and you may now disconnect your lines.

--------------- --

Disclaimer:
"This transcript is an edited version of the conference call recording and has been prepared for ease of reading and clarity. Certain immaterial corrections, formatting changes and corrections of obvious transcription or numerical errors may have been made , without changing the overall meaning. Readers are advised to refer to the audio recording and the results filed with the stock exchanges for full details, and the company accepts no responsibility for any remaining errors or for any decisions taken based on this document.”

Call: May 2026

Ref: BLACKBUCK/CORP/2026 -27/26
May 21, 202 6
To
National Stock Exchange of India Ltd.,
Exchange Plaza, C -1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001

Scrip Code: 5 44288, Scrip Symbol: BLACKBUCK, Series – EQ
ISIN - INE0UIZ01018

Dear Sir/ Madam,
Sub: Transcript of the Earnings Conference Call for Analysts and Investors conducted on May 19 , 2026 .
Ref: Disclosure under Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

Pursuant to Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby provide the transcript of the Earnings Conference Call for Analysts an d Investors conducted on Tues day, May 19, 2026 during 05:00 PM (IST) to 5:51 PM (IST) .

Enclosed is the transcript of the Earnings Conference Call, which is also hosted on the website of the company. The link to access the transcript is provided below:

https://a.blbk.in/Corporate_An nouncement

Kindly take the above information on record.

Thanking you

Yours Sincerely,
For BlackBuck Limited
(Formerly known as Zinka Logistics Solutions Limited)

____
Barun Pandey
Company Secretary and Compliance Officer
Membership No: A39508

Black Buck L imited
Q4 and FY26 Earnings Conference Call
May 19, 2026

Speakers:
Mr. Rajesh Kumar Naidu Yabaji - Chairman, Managing Director and CEO
Mr. Satyakam Naik - Chief Financial Officer

Moderator:
Ms. Vinita Pandya (Raadhi Capital)

 Moderator:
Good evening, ladies and gentlemen.
Welcome to the Q4 and FY26 earnings conference of Blackbuck Limited hosted by Raadhi Capital. As a reminder, all attendees will be in the listen only mode and there will be an opportunity for you to ask qu estions after the presentation concludes. If you have any questions, please feel free to press the raise hand button. We'll call you on in turn and unmute your line so you can speak.
Important note, if you need to ask a question, please ensure Microsoft Teams has permission to access your microphone when you log in. Otherwise, you will not be able to unmute. Please note that this conference is being recorded. Kindly also note that the audio of the earnings call is a corporate material of Blackbuck Limited and cannot be copied, rebroadcasted or attributed in the PR media without specific and written consent of the company. Please note that anything said on this call that reflects the outlook towards the future, which can be construed as a forward -looking st atement must be reviewed in conjunction with the risk that the company faces. A copy of the disclosure is available on the investor relations section of the website as well as on the stock exchanges. To give you an in -depth understanding of the company and answer all your queries, we have from the management side today, Mr. Rajesh Kumar Naidu Yabaji, Chairman, Managing Director and CEO and Mr. Satyakam, Chief Financial Officer. I now hand over the conference to Mr. Rajesh for his opening remarks. Thank you and over to you.
Rajesh Kumar Naidu Yabaji (Chairman, MD & CEO):
Thanks Vinita. Are you able to hear me? Is it clear?
Moderator:
Yes.
Rajesh Kumar Naidu Yabaji:
Cool. Thanks Vinita. Ladies and gentlemen, good evening. Welcome to our earnings call of the financial year 25 -26 end and for the Q4 of FY26. As in every earnings call, just re -articulating what we're trying to build at Blackbuck. Blackbuck was founded about 11 years back to solve the trucking problem of the country. Any space you pick up within trucking has massive opportunities, massive inefficiencies because of the fragmented nature of the space and application and use of technology. There are possibilit ies to lift it out and put it in an orbit where a new world of trucking for India could be imagined. That is how the whole journey of Blackbuck started. We have toyed

 around with a lot of experiments in this space. As we speak, Blackbuck's definition today is nothing but all the experiments, all the successes we've got over the last 11 years which has taught us a lot. We've learned a lot. And what has become is the largest digital platform for truckers in the country. We have close to about 8.5 lakh monthly transacting customers on an average across the whole financial year which roughly represents at a India level in excess of 25 to 30% close to of Indian truckers using this platform and they use this platform very deeply because the platform we have built has so many use cases solving for the trucker that he ends up spending 45 minutes on our platform or our mobile app, Blackbuck daily. And because of the nature of the business nature of the customers, we have we've got a very strong offline presence having over 10,000 touch points on the ground through which we service through which we acquire and retain our customers that's the crux of what Blackbuck is and what we've built.
Diving into a summary of numbers of last financial year on a Gross Income level we 've done close to about 715 crores in total income which is growth of about 55% on a year-on-year basis. On a EBITDA basis we have done close to 190 crores which is a 84% growth on a year -on-y

ear basis. This is our first full year of profitability at a PAT level. We have done 160 crores in PAT in the full year financial FY 25 -26. Not only the financial numbers, we continue to compound on our operating metrics which are the top of the funnel metrics for our revenues to grow and compound. We grew in our trans acting customers by 13% on a year -on-year basis to close to 8.2 lakh monthly transacting customers across the whole year. Users who use more than two services who are our power users, we've compounded at 22% year on year. That's why you find the revenue to be compounding much stronger than the transacting customers because customers use more and more products on the platform. One of the leading metrics on payments vertical is Tolling. The GTV of tolling for us in the last full year grew at about 27% on a ye ar-on-year basis in a very matured and penetrated industry largely driven by a strong product play and a distribution play.

Speaking about the core highlights of this growth, more talking about the recent quarter of FY26, the last quarter Q4 FY26, year -on-year growth on the Q4FY26 basis, we did about close to 52% on a year -on-year basis. And if we split that into core and the newer businesses or the growth businesses, core businesses grew by about close to 30% on a year -on-year basis in the last quarter. On a full year, 34%. This business obviously on the back of the payments business which is tolling business grew at 27% which we spoke about in the GTV growth was 27% which we spoke about in the last slide as well which when you compare to the NETC CV growth which was about 16% so still driving 11 percentage points delta over the industry growth largely because of a strong product and largely because of the strong distribution. Overall business

 definitely has grown at a higher level largely because a stronger growth in the telematics business which continue to deliver strong sales numbers. Under telematics business we have different product categories where there is a basic GPS, basic vehicle tracking service. Then there is a AIS specialized vehicle tracking s ervice which is largely driven through mandates. The sales of the AIS vertical doubled during the last quarter which was largely driven by mandates and largely driven by a strong distribution and a product play. So that's the narrative on the core business .

Coming to the growth businesses on a year -on-year basis they grew roughly close to about 300% in the Q4 of last year. Largely there, the gross revenues are composed of the vehicle finance business and the super loads business. Super loads business the narrative continues to be the same. Our mature or let's say our first hubs of Bangalore and Hyderabad, we continue to scale, continue to double down and these continue to show signs of strength from a unit economics from a scale perspective. We had updated t o you couple of quarters back that we started our business in 10 new cities. Most of those cities or all the cities are growing much faster than the earlier established cities and largely because of the network effects of existing customers relationships which we have activated in the older cities. They have translated to the business for these cities directly and the supply base which was activated on super loads in the existing cities continue to be leveraged and utilized in the new cities as well. So, th at narrative continues to be the same and we're doing everything it takes to grow that faster. In the vehicle finance business, which is under the growth business a bit older business compared to super loads. There, this last two quarters were very strong in terms of disbursals for that particular business. The previous quarter we delivered a growth of 30%. On top of that the disbursal further grew

by 25%. Definitely a
seasonally strong quarter for that business but on top of that strong execution has led to driving this growth. Good part about the vehicle finance business under the growth business umbrella is that as you all know we basically are investing a lot of money in our growth businesses. A lot of money which we generate in the core businesses we are investing in the growth businesses. Vehicle finance business probably by the end of this financial year would no longer be in the investment mode and would start probably churning cash flows which will also enable us to move that into a core business kin d of a trajectory from a narrative perspective.

Moving forward, commentary on profitability, broadly following the trends of the last three quarters overall yearly growth in EBITDA has been at 84% which has moved to 190 growth trajectory which we spoke abo ut. On a recent quarter basis there the growth in profitability is 30% on a year -on-year basis and we delivered 50.2 crores of adjusted EBITDA in the last quarter. Largely the narrative if you cut across, the momentum and the quality of revenue growth and profitability growth has largely been

 consistent compared to the last 8 to 12 quarters in the core businesses regardless of a bit of unfavourable macro headwinds in the last quarter we continue to execute and deliver this profitability right. And even if y ou look at metrics like operating leverage in terms of translating the revenue growth moving into profits most of that is holding good in the core businesses as we speak. Moving into the newer businesses that's where we continue to step up our investments because these are in the rapid expansion phases. We are conducting multiple experiments, be it on the supply side, be it on the demand side, be it for faster scale up, be it for quality customer service, be it for maximizing profitability, be it for blitz scaling in certain customer segments. We are taking up most of these experiments parallelly which makes it imperative to add teams, add product and technology team members. This is also the area of strong investments in AI for us because super loads probab ly will be one of those businesses which will be an AI native business for us as we strongly execute this vertical.
One area we wanted to give a heads up, I think this is something which is not a hidden topic, but everybody knows about this probably being in the heavy truck movement intercity movement which typically can feel the headwinds maybe quite early on compared to others right. So we believe that the west Asia conflict which is a widespread conflict not only for us but for the whole Indian economy w ill have short - term headwinds with anticipated drag on trade movement and which obviously because most of our revenue comes from flow throughs but we continue to climb on our revenues that will be consistent but maybe create a drag on our short -term growth . Long -term growth profile, long -term projection of how operating metrics will play, around everything will largely remain same. Long -term retention rates long -term ARPU rates everything will be consistent, but I think in the short term there would be some headwind which we need to be watchful of. We need to be prepared into, and we are actively doing that. One small narrative on that which is a very direct impact is as you know that we have a fuel business which is basically built on top of the loyalty pro gram which OMC's work on and they have suspended their loyalty program temporarily. That's a bad part. The good part is this has happened a bit of hiccups on this business segment has happened in the past as well. And some of this takes a bit of short time then it comes back but yes some of these minor headwinds you'll be facing. Some of this impact has

already been absorbed in the last quarter's profitability and some of this impact will show up in the next quarter as well but again reiterating none of the se is a structural change or none of these impacts long -term customer acquisition neither long on customer retention neither ARPUs. So that's the broad narrative on the business giving you a broad highlight on the P&L as we have narrated already on the top line 46% on a quarterly year -on-year basis on a full year basis 55%. Net revenue growth 31% on the recent quarter on a year -on-year basis. Adjusted EBITDA growth

 of 30% right and full year. As you can see here, adjusted EBITDA is 190 crores and PAT is 160 crores. And we've always given this narrative that our registered EBITDA mimics the free cash flow from operations. So, in the full year of financial year, we've delivered close to 185 -190 crores of free cash flow which has been a consistent trend of EBI TDA to adjusted EBITDA to free cash flow conversion for us. And that's again on a registered EBITDA basis a growth of full year growth of 84% on a year -on-year basis.
Broadly zooming out and giving you a 4 -year view, broadly from the timeline we went publi c, so that it's easier to look at these trends because we articulated that this is sort of the business model which will be playing out. So, if you can see on a adjusted EBITDA basis from FY23 where we were in a strong user acquisition mode. We continue to be in a strong user acquisition mode, but the annuity revenues had not

played out till then and that converted into roughly close to -6 crores in FY24 and then turned around a strong profitability on adjusted EBITDA of 23 crores last year that has moved u p to 190 crores. So that's a fillip of close to 364 crores over a 3 -year sort of a time period. Same thing on PAT is even more stark to observe from a negative of 290 crores in FY23. That's a 450 crores turnaround in profitability in three financial years and that has been the trend and as we have accelerated in FY 25 -26 into newer businesses we are investing. The core businesses will have a continuing follow -through trend as you can see here but the growth businesses will consume money and in the overall b asis we will have a balanced trade off of continuing to churn profits from core businesses and continuing to invest in the future so that we probably end up building a massively large company and massively transformative company in this space in the long t erm. Reiterating a strategy as I always explain, I personally take a pride in executing the same strategy every year because that also gives a testimony that the strategy articulated a year back largely was profound and sound and it helps us have a longer run through and our decisions stick with the test of time.

So, strategy largely remains same that we have core businesses on tolling, fuelling, fuel sensor, vehicle tracking, AIS GPS and multiple experiments within the core businesses. The new businesses u nder core here the key focus will be to continue to compound on profitability which will be enabled through operating leverage. We'll continue to expand our market share. As the landscape continues to evolve because the space is attractive will continue to attract few players here and there. So, we will keep track of that, and we will not let the long -term picture go out and we will keep investing in this business as well. And while we've delivered consistent operating leverage in this business in the last two three quarters also, we've also stepped -up investments in core businesses as well. Last time I highlighted that I thought I will remind that again. In the growth businesses again the playbook is same we are betting

 on super loads and vehicle finance ov er here and classified continues to grow and we have an armoury of new experiments which we continue to do and these are the businesses we believe in with a very long -term potential and as we execute the road map continues to get clear the confidence on ex ecution in these businesses continue to improve and some of these businesses if God's kind and we execute well will move into the left side of core businesses as we move into the next year. So simply put, doubling down on execution in the core and turning more and more innovative and stepping up investments on the growth businesses. That's a summary of the strategy for the next year as well. We will pause here and we can take questions. That's from my side.

Moderator:

Thank you. We will now open the call f or questions. Kindly raise your hand to ask a question. We will unmute your line. Please announce your name and organization name before you ask the question. And as a reminder, we request all the participant to restrict themselves to two questions and com e back in the queue. The first question is from the line of Atul Borse. Atul, please go ahead. Unmute your line.

Atul Borse:

Hi team. Hope you can hear me. Thanks for the opportunity. My first question is basically on the super load business while you hav e mentioned in the PPT that Bangalore and Hyderabad are showing strong unit economics. Do you want to elaborate a bit on this. Are these hubs operating on break even any quantifiable metric that you can share or highlight that's my first question.

Rajesh K umar Naidu Yabaji:

I think largely it depends on it's a technology business enabled through manpower right so the cost the direct cost of business are manpower costs so largely upon tenuring of manpower people hit break even periods. So, more tenure manpo wer is definitely returns money to the company. Newly hired manpower does not. So, from that point of view, it's consistent right and upon continuous scalability the equation continues to hold. So that ’s the strengthening unit economics part. When you laun ch a new business, you first reach an ability to plot a P&L for the business in the future. I think we are able to do that strongly and I think that's all we can share at this point in

time.
Atul Borse:
Just on that phase are we continuing to invest in ou r existing cities as well for the manpower are we increasing manpower in those?

 Rajesh Kumar Naidu Yabaji:
Yes. We continue to scale teams rapidly in the existing cities also. If we stop that we can break even very fast but that's not the objective.
Atul Borse:
Okay. And in the vehicle financing piece could you shed some colour on what's the book size as of FY26. How much is on our books or let's say disbursal growth or ticket size growth. Any metrics you want to highlight?
Rajesh Kumar Naidu Yabaji:
Close to 600 crores is the assets managed by our partners overall in our books. About 10 percentage is basically on our books. Their strategy remains constant. Basically, whenever we onboard a new partner for the new partner's confidence we do a co - lending bo ok together. And any new experiments so if you see our book large part of the book is new experiments as well. So, anything we want to launch, or we want to see we first perfected on our book. So, our book we will only use for newer experiments and to prob ably launch new partnerships. So, we continue to build the vehicle finance on asset light model as we have always articulated the last 3 years the strategy remains same. And as you always understand because we get a sourcing fee and then we get a operation al fee continuously. So, as and when partners make more and more money from the book the

absolute revenue made by us also increases. So, that's
the broad nature of this business and the fixed costs if they get covered out this business will enter the break -even phase.
Atul Borse:
All right. If I can just squeeze last question. You have seen the improvement in your working capital days mainly because payable has increased. Where is that coming from? Is it mainly because of the super load business?
Rajesh Ku mar Naidu Yabaji:
I'll ask to take this question.
Satyakam:
Working capital days always has been pretty robust for us. If you can see no receivables exceed more than 3 months. Everything comes in at least 50% of the revenues are received in advance for a year if you look at the telematics business. On the other businesses it's less than 30 days. On payables there's nothing much that is

 there. It's a very small number. Some of the purchase of telematics etc is what would be the AP that would have been buil t up but nothing material has changed.
Atul Borse:
Okay. Thank you. Those were my questions. Best of luck.
Moderator:
Thank you. The next question is from Raghav Mittal. Raghav, please unmute your line and go ahead.
Raghav Mittal:
Hi, good evening. Thank you for taking the question. I wanted to touch upon Rajesh on the MLFF system that the government is now aggressively trying to target. The couple of pilots as per news articles has gone well and they're targeting 200 corridors in a couple of years a nd potentially nationwide roll out by 2029 -30. So, can you just talk about MLFF being postpaid? Of course, you can also have a prepaid fast tag

wallet, but how do you think about our relevance to our customers sort of reducing over time and how do we mitig ate that? Thank you.

Rajesh Kumar Naidu Yabaji:

Basically, the whole framework of MLFF is on prepaid collection. That's point number one, right? Because in India small ticket sizes, post -paid and enforcement and the cost of collection of that is going to be very high and even now in the current framework if you pay later there's a penalty fee of double right. So, when you use the word postpaid first of all it'll be prepaid right and second is that in the MLFF construct right the way to understand is that t here are two ecosystems. There's acquirer ecosystem and there is issuer ecosystem. 100 % of our revenues are from the issuer ecosystem. Right? The MLFF replaces the existing acquisition ecosystem to a MLFF based acquisition ecosystem which uses cameras and much better quality RFID readers. Right? So that's the construct and in the full scale roll out of MLFF as well the payment ecosystem the payments methodology is basically fast tag that is what has been articulated and that will continue. So, point number one the relevance of issuer ecosystem in terms of fast tag being the lead vector of conducting payments from the issuer side is going to be there forever. Now so that's base case right. Then the next context is MLFF graduating into a satellites -based syst em is basically the next thing. Even in that change the change is again on the acquirer ecosystem not on the issuer ecosystem. Even if you fast forward MLFF into the satellite GNSS based tolling era right. Now answering your question on in MLFF again right because MLFF again provides an opportunity on the acquisition side to enter because largely it's a

 telematics led capability with a technology stack led capability and being present in this ecosystem for a long period of time we as Blackbuck would be look ing at keen to participate on the acquirer side right so that is something we are in talks with various players to discuss and see if we can

jointly enter into some of these opportunities as we move forward.

Raghav Mittal:

That's very helpful just as a fo llow up, what percentage of MLFF payments today are prepaid is it 100% or is it lower because I might be wrong from what I read is yes there's a penalty if you don't complete the fine with the stipulated period but it's a post arrangement.

Rajesh Kumar Nai du Yabaji:

Whatever offline information we've received we believe 99% plus of the payments are prepaid.

Rajesh Kumar Naidu Yabaji:

Because if the tag doesn't have a balance it's considered as an offense as per the way it is defined and there is a penalty for it that you don't have a balance in your tag and you've crossed it. It's a penalization framework and not an encouragement of postpaid framework.

Raghav Mittal:

But how will you even check the tag because there is no barrier where you're stopping to check your tag.

Rajesh Kumar Naidu Yabaji:

So, the whole gantry system which is created on top of the toll gate the RFID readers which erstwhile used to be very close to the RFID tag are now on top of these gantry systems number one. And number two is tha t they're using cameras to read the number plate and government with one vehicle on one fast tag has already implemented the unified mechanism where a truck or a car only has one fast tag. So, with this whole ecosystem they are able to achieve this high -level accuracy of collections.

Raghav Mittal:

Okay. And lastly what kind of partnerships are you exploring when it comes to the acquirer side of things?

 Rajesh Kumar Naidu Yabaji:
We are in very early stages yes; we are in very early stages of exploring th ese once there is more concrete plan on this we would be happy to share.
Raghav Mittal:
Okay thank you so much all the best.
Moderator:
Thank you participants please announce your organization name before asking the question. Next question is from Mr. Ri twik Agarwal. Ritwik, please unmute your line and announce your organization name and go ahead.
Ritwik Agarwal:
Hi, my name is Ritwik. I'm from 3P Investment Managers. Just had one question wanted to understand more on the telematics business. Any updates on the number of telematic devices that we have now and how do we see the growth in this business going forward?
Rajesh Kumar Naidu Yabaji:
Telematics business growth, I'll give you some colour so that you will be able to get a feel of where the devices may be. Basically, if you split the business of telematics into three to four parts one is our core vehicle tracking device which is regardles s of mandates which is a basic GPS tracking. Second is the AIS device which is driven by mandates right and third is your fuel sensor and the new initiatives dash cam etc right. The basic GPS device penetration obviously coupled by a bit of cannibalization by AIS because AIS is now mandatory across 10 states which drives the growth of AIS but for the basic vehicle tracking device that growth rate is on a lower side than the overall core business growth rate in the range of that 15% levels. The AIS device be cause it's a mandatory device in various different geographies is seeing a very strong growth as we also gave you a narrative that over the sequential quarter, we doubled the AIS numbers as well so sales is increasing at a very fast pace, and revenue will follow suit in time or the other. Fuel sensor business again because it's a newer business in the stack that continues to compound right. So, overall, as a telematics category because of a mix of each of these businesses put together delivers a much higher growth rate than the rest of the core businesses this is the broad model to understand.
Ritwik Agarwal:

 Understood and the second question on the disruption from the Middle East. Just wanted to understand is that the reason why we have shifted to a tolli ng GTV only metric.
Rajesh Kumar Naidu Yabaji:
Yes. To be able to better appreciate what's happening beneath we segregated that metric and started giving tolling GTV. That's a largest part of the payments GTV also and also drives large part of the revenue also. So that gives you a direct indicator.
Ritwik Agarwal:
Any on how much percentage would be tolling GTV of the total payment GTV
Rajesh Kumar Naidu Yabaji:
I think broadly you can assume 90%ish basically.
Ritwik Agarwal:
Understood okay that's all from my side thank you.
Moderator:
Thank you the next question is from the line of Jitu Punjabi. Jitu, please unmute your line mention your organization name and go ahead.
Jitu Punjabi:
Hi I ‘am Jitu Punjabi from EM Capital Advisors. Okay, so my question is, sorry, I joined a little late, but the headline question was that I saw the growth numbers. Your growth numbers look good, but your margins have softened. Is that a function of y'all investing

more capital or more money into the growth businesses and thus those costs adding up and coming and hitting margins.

Rajesh Kumar Naidu Yabaji:

Of course. Yes.

Jitu Punjabi:

Okay. Second linked question is, is there a thought process in terms of the balance between growth and profitability and how would you man age that as you navigate the next three four years and also what is in your mind the growth that you'd be comfortable with over the next year or two to guide?

Rajesh Kumar Naidu Yabaji:

 Good question but I think the way we think about growth and the balan ce of profitability is a little opposite. Because for us growth is actually an outcome because we don't manufacture a growth rate let's say for example core businesses are there, they are basis some of the strong fundamentals of the economy works and how o ur acquisition engine works right. And at every point in time, we try to invest till the time it's not profitable to acquire that customer anymore. Right? So that's the way we go about driving growth and the growth percentage comes as an outcome. Right? Th at's point number one because getting a customer in an unprofitable way doesn't help the company doesn't help anyone in the long term because that's not sustainable. Right? Point number one. Point number two on how we balance growth versus profitability from a long run perspective, again whatever compound profitability number you are seeing. It's again not a calculation that we should have done 100 of core profit and then we should have invested only 20 and 80 we should delivered as profit. Again, that's no t a number. We are in a very large industry right it's a $200 billion kind of an industry and we've built a company which is very small till now and there are so many avenues to grow right. So, the way we look at always is that are there opportunities to pursue. Are there in the testing phase is what will it take to really invest into these opportunities and God's being kind the kind of platform we have built most of the new opportunities we're able to test it out on a very small base so that does not ever affect burn. The burn comes in only when we try to scale up and that scale up has a very strong bar on being able to define micro markets, being able to define ability to turn profitable whenever we want right so the way to look at is we define the quality in which we want to build a business and inside that if we get an opportunity to invest and an investment makes sense right we typically look at allocating capital regardless of what that quantum is right. So, this is ou

r framework of going about newer in itiatives and the existing core businesses because this just keeps it very clear in terms of that we are building a company which always has to be highly innovative. We will invest in every opportunity we get to if that's going to be long -term profitable a nd that's going to solve a customer's problem and that's going to return immensely to shareholders in the very long term. Right? So that's how we look at it and whatever you are seeing it is an outcome of such a input process

Jitu Punjabi:

Thank you and t hat helped clarify a lot of things, but what kind of growth headline growth do you think the company will sustain at?

Rajesh Kumar Naidu Yabaji:

 We generally don't give growth guidance I think this is we've typically helped you guys to plot how to look at the business, how it will scale, etc. But we have decided not to give guidance on our numbers.

Jitu Punjabi:

Okay. And one last question if I may sneak in. There was someone the senior team who left can you talk about the reasons and what happened there?

Rajesh Kumar Naidu Yabaji:

We've spoken about this topic in the past. The team at Blackbuck which reports into me typically has an average tenure in the company of 8 years, right? And that was the case even when the company is 11 years old and that was the case even when we were going public because we were going public when we were 9 years old and the average tenure of people who were reporting to me was 7 years. So, they were the earliest of the employees built the whole company did good for themselves right. So, three people left from a SMB perspective right one of them I think left within about 2 to 3 years and other two of them were very long with us 7 to 9 years. One of them left to pursue building his own company, one of them left to pursue sort of more balance on health etc so that's the context.

Jitu Punjabi:

Okay thank you very much good wishes all the best.

Moderator:

Thank you. Next question is from the line of Ankush Agarwal. Ankush please unmute your line and mention organization name.

Ankush Agarwal:

Hi, am I audible?

Moderator:

Yes, you are.

Ankush Agarwal:

Hi, this is Ankush from Surge Capital. Just one question. So, few quarters back the growth business was I'm looking at net revenues was around 10 -11 odd crores and last few quart ers as we have scaled up the super loads, we have reached around 15 odd crores of say run rate. So about 5 crores extra. What I'm trying to understand is when do we expect this say 5 crores of super loads kind of net revenue is starting to

 become say 20, 3 0, 40, 50 crores kind of number because in terms of cost I think even if we consider that there are some extra incremental investment the core business the cost base has jumped from say 70 -75 odd crores to 100 crores now so obviously the investment look ki nd of high versus the incremental net revenues that we're generating on the super loads at 4 -5 crores it's quite basic to be honest to begin with.

Rajesh Kumar Naidu Yabaji:

I think the question is absolutely right. I think the pace of super loads definit ely could have been much stronger. In terms of when that would come through probably when the confidence on really going further all out in terms of strategies across all the newer hubs etc. Maybe, I think that is a time when such kind of a scaling can be expected. And talking about the increase in the overall cost. Remember that the investments in the core businesses also have been stepped up. So, the number which you're looking at a good part of that has also gone into the core businesses. It's not only t he cost

of

super loads right. And a good part of that also has gone into scaling up of vehicle finance though the revenue growth of vehicle finance continues to be at a higher pace than the investments if you have increase in investments obviously right. A nd part of that has gone into super loads. So completely is not super loads. Point number one. Point number two definitely the growth rate could have been faster right and that's also our pursuit to make that happen. But as we have always maintained the pl aybook building on super loads is taking time and we are also taking a native approach to ensure that we build the business in a much faster way and a better way and so that's some of the narrative on how we are going about it. But yes, we can expect that we don't know when is it one year down the line or two years down the line but that's the goal.

Ankush Agarwal:

Right, I mean the reason for asking this was I think we peaked in terms of profitability say back in say Q1 of FY26 almost 36% of say adjusted EBITDA margin and now we have sort of stabilized around 31% odd. So just trying to understand is this the kind of profit average that we could expect for say next one two years during which you sort of scale super loads and some of the newer growth busines ses because unless those businesses scale up quite rapidly the profitability might even come down or say at this stable level about 30ish percentage. Is that the right way to assume that that's how things play?

Rajesh Kumar Naidu Yabaji:

I think the way t he earlier gentleman was asking the question right profit percentage is actually again a much more further outcome because we generate X in core, we

 invest Y. Now we see rapid growth, we increase Y, right? X largely follows the secular trend which I was me ntioning, follows the operating leverage construct, follows the growth construct. Y is all independent on that quarter need and probably subsequent two three quarters, right? So I would say that it's hard to put a number to this, but the way to look at it is that it's an outcome metric and it is determined by X + Y and X minus Y in fact Y is a negative sign and then depending on what Y is your X comes and X divided by overall net revenue is a percentage. So that's why you see because the overall revenue gro wth happens and then there is increase in burn also and then you have a profit which also increases. So, it's a pretty much composite metric, right? X minus Y by total R, right? RX plus RY. So that's how you should look at it.

Ankush Agarwal:

Right. So, w ould it be possible to sort of split how we're splitting revenues for the core and growth business. Would it possible to split the profitability as well because then it's better for us to appreciate how the core business is playing out and the investment if you're doing in a growth business and even if this burning cash I mean that is understandable as investors but if we have a combined metric it is very difficult to judge how the core business is performing.

Rajesh Kumar Naidu Yabaji:

Fully agree with yo u but we believe it's still too early we will evaluate this down the line when can we improve the visibility and I definitely understand your pain because modelling is tough for you.

Ankush Agarwal:

Okay, that was all. Thank you.

Moderator:

Thank you. Th e next question is from the line of Abhishek Banerjee. Abhishek, please unmute yourself and go ahead please mention your organization name.

Abhishek Banerjee:

Hi this is Abhishek from I Sec. Hi thanks for the opportunity. Rajesh, I wanted to understand ju st a couple of things. One is you gave kind of a cautious outlook on the Middle East conflict. I mean how bad do you see your revenues getting impacted as in if you could give some idea whether it's a g

rowth slowdown or could there be some sort of a declin e also that would be really helpful and secondly on the vehicle financing business. There's a question that I keep getting from investors so wanted to also check with you is there any right to win that we have in this business. Is there something of

 a uniq ue offering that we are doing which is kind of giving us the confidence to try to build here given that there is already enough number of NBFCs and financial companies who operate in the space.

Rajesh Kumar Naidu Yabaji:

I'll answer the question sequentially so the Middle East crisis the cautionary context was in terms of as I clearly articulated also, I think there'll be a drag on growth, right? I think that's the thought process. Point number one, right? And what we are seeing as I was mentioning because intercity trucks typically sit at the top end of the value chain and mostly till March, I think there was a lot of inventory stocks which would definitely move but going into April and May we're finding some kind of drag on it in taking off. So, I think that's the broad I don't think because a lot of our revenues are also compounding in nature. So, you will see it in the very small subsection some kind of a number up down here there, but I think that's the broad narrative on the Middle East crisis. On vehicle finance I think very good question. See basically, vehicle finance the major players who do large competency. One of the large capabilities or differentiations or right to win there for all of them is distribution, rig ht? And obviously the whole aspect of credit engine, building intelligence with respect to customer, right? Distribution and being very close to the customer is one of the most important right to wins for them. And the whole if you look at for a truck oper ator digital means Blackbuck, right? So, our vehicle finance play is largely predicated on being a digital first company being our mobile app is in the pocket of large number of fleet operators across the country. We generate real -time data about these tru ck operators. So, our vehicle finance play is predicated on this aspect and that's yielding results and it's also a growing market. It's a very big market and the whole technology led approach to vehicle finance in terms of from right from meeting a custom er to disbursing the loan for a large part of the customers we able to do it within 24 hours to 48 hours. 24 hours is something which we've achieved for a lot of customers. So, I think there is a technology play where there are small 1xs when you add up it clearly gives a 8x to 10x play but that's true from a differentiation perspective. But if you look at it from a technology kind of a business where you can architect a nonlinearity, we believe that at the end of the day it's a risk business for our partne rs right. So, partners will take cautious calls continuously so we believe that it may not be a nonlinear business and we have to work with the partners with their own approach to cycles, with their own credit writing frameworks and delinquency management. So, we believe that it'll be a strong tech led vehicle finance origination play which is not nonlinear but will give sufficient profit generation in the long term if built in the right way with the right partners. I think that's the broad takeaway of that business.

 Abhishek Banerjee:

Sorry just to expand a little bit more on this bit. So, you are not going to guarantee any sort of performance of these loans from their transaction behaviour on your platform. Right. So that is a call which is completely wit h your lending partner.

Rajesh Kumar Naidu Ya

baji:

Yes, that is completely with the lending partner, and we make origination fee and a collection fee depending on how well the portfolio behaves for them.

Abhishek Banerjee:

Got it. Thank you. Thank you so much. This is very helpful. Thanks.

Moderator:

Thank you. Next question is from Avnish Tiwari. Avnish, please unmute yourself and go ahead. Mention your organization name please.

Avnish Tiwari:

Hi, this is Avnish from Vicaria. My question is around this growth business. Is this business you said it's investment mode. So do you have any profits at contribution level or there also because of being in investment mode it remains a negative number.

Rajesh Kumar Naidu Yabaji:

This is the good part and also ho lds us back from going crazy. So, in trucking business what we've understood over the years is that building a business with negative contribution creates a lot of negative behaviour and sentiment amongst the market participants because the nature is at th e end of the day it's a B2B relationship right. So, most or all our businesses across regardless they are new or experiments or whatever we are always contribution margin positive. We make money on every order we do so if orders scale our profitability con verges.

Avnish Tiwari:

Great so it's only at the EBITDA level or below that around that line item it would be negative number, right?

Rajesh Kumar Naidu Yabaji:

Yes.
Avnish Tiwari:

 Great thank you and wish you really best.
Moderator:
Thank you. Thank y ou. That was the last question for the day. I now hand over the call to Mr. Rajesh for his closing comments. Thank you and over to you.
Rajesh Kumar Naidu Yabaji:
I think that's all from our side and I think we've covered everything which was on top of the mind. At least has given you a flavour so that you guys have a feel of what we're building. And again, as I articulate, we always love to keep it consistent because I think building businesses with consistent strategies over a long period of time with laser sharp focus on few values and tenets creates, I think big businesses and enduring businesses. I think that's what we are here to build and thank you so much for attending our financial year end earnings call and see you guys soon.
Moderator:
Thank y ou once again for your time and participation. On behalf of Blackbuck Limited, this concludes today's conference. For any questions, please feel free to write to us on the email ids mentioned on the invite. We appreciate your engagement. You may now discon nect your lines.

Disclaimer:
"This transcript is an edited version of the conference call recording and has been prepared for ease of reading and clarity. Certain immaterial corrections, formatting changes and corrections of obvious transcription or numerical errors may have been made, without changing the overall meaning. Readers are advised to refer to the audio recording and the results filed with the stock exchanges for full details, and the company accepts no responsibility for any remaining erro rs or for any decisions taken based on this document. ”